BUSINESS & ENTREPRENEURSHIP (INDIA)

Freelancing & Consulting from India

Entity choice and worked tax comparisons, Section 44ADA presumptive taxation, GST zero-rating and LUT for service exporters, export invoicing, FEMA inward remittance, DTAA and W-8BEN, pricing, client acquisition, contracts and collections for Indian software and AI consultants.

india · freelancing · consulting · 44ada · income-tax · gst · export-of-services · lut · fema · invoicing · dtaa · w-8ben · pricing · contracts · collections · msme

Study Pack · Comprehensive reference & interview prep · ~196 min read · 43,068 words

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The Opportunity and the Honest Trade-offs

An Indian software engineer with five to fifteen years of real delivery experience can, today, bill a US or European client at rates that are three to eight times what an Indian employer pays for the same hours. That arbitrage is real, it is legal, and it is the single largest financial lever available to most engineers in this country. It is also the most over-sold idea on the internet. This guide is the operating manual for the unglamorous half: the registrations, the tax computations, the LUT you forgot to renew, the invoice the bank will not release without a purpose code, the client who goes quiet at 60 days, and the rate card that keeps you solvent through a three-month dry spell.

> ✕ **This is educational material, not legal, tax or financial advice**
> Indian income tax, GST, exchange control (FEMA) and contract law are statutory, fact-specific and change with every Union Budget, notification and circular. Nothing here is advice on your facts. Before you choose an entity, elect presumptive taxation, file an LUT, sign a master services agreement, or decide not to register for GST, engage a qualified **Chartered Accountant (CA)** and, for contracts, an **advocate**, and have them confirm the current position for your situation and your state. Every rate, threshold, fee, form number and due date in this guide is stated **as at FY 2025-26 / early 2026** and **must be re-verified** on the official portal before you act.

⚠ **Four things are in flight — verify current status before relying on anything here**

(1) The Income-tax Act, 2025 is scheduled to replace the Income-tax Act, 1961 from **1 April 2026**, collapsing "previous year" and "assessment year" into a single **"tax year"**. **Section numbers will change.** Every section reference in this guide follows the 1961 Act — cross-check it against the new section map published on **incometax.gov.in** before you quote it to anyone. **(2) The GST rate rationalisation of September 2025** restructured the slabs to principally **5% and 18%** with a **40% demerit rate**. Professional and IT services have historically sat at 18%; confirm the current rate for your exact SAC code on **gst.gov.in** / **cbic.gov.in**. **(3) The DPDP Act 2023 Rules** were notified in **late 2025** with **phased compliance deadlines**. If you process client personal data — and a consultant almost always does — confirm which phase binds you at **meity.gov.in**. **(4) The equalisation levy is gone.** The 2% e-commerce supply levy was withdrawn with effect from **1 August 2024** and the 6% online advertisement levy with effect from **1 April 2025**. Any blog post or template contract that still deducts "EL" is out of date. Confirm on **incometax.gov.in**.

Official sources — bookmark these, trust nothing else

Portal	Authoritative for	What you will actually do there
incometax.gov.in	Income Tax Department / CBDT	ITR-3 / ITR-4, advance tax challans (ITNS 280), Form 26AS and AIS, Form 10F, Form 67, TDS credit checks
gst.gov.in	GSTN	Registration (REG-01), LUT (RFD-11), GSTR-1, GSTR-3B, GSTR-9, refunds (RFD-01)
rbi.org.in	Reserve Bank of India	FEMA Master Direction on Export of Goods and Services, purpose codes, EEFC rules, realisation timelines
dgft.gov.in	Directorate General of Foreign Trade	IEC application/modification, electronic Bank Realisation Certificate (e-BRC)
stpi.in	Software Technology Parks of India	Non-STPI unit registration, SOFTEX filing and certification
udyamregistration.gov.in	Ministry of MSME	Free Udyam registration; **samadhaan.msme.gov.in** for delayed-payment complaints
mca.gov.in	Ministry of Corporate Affairs	Only if you incorporate an OPC, LLP or Pvt Ltd — SPICe+, FiLLiP, annual filings
ipindia.gov.in	Controller General of Patents, Designs & Trade Marks	Trade mark search and TM-A filing for your consulting brand
Your **state commercial tax / labour portal**	State government	Professional tax enrolment, Shops & Establishment registration

> **Currency convention used throughout**
> Rupee amounts are written Indian-style with the numeric equivalent in brackets on first use — ₹50 lakh (₹5,000,000), ₹1 crore (₹10,000,000). Dollar examples assume **US$1 = ₹88.00**, roughly the level in late 2025 / early 2026. The spot rate moves; recompute with the actual rate on your invoice date, and note that the **rate you book for accounting**, the **rate GST uses** and the **rate your bank actually gives you** are three different numbers. That gap is covered in the invoicing section.

Why the arbitrage exists, and how long it lasts

A US company hiring a senior engineer in San Francisco carries a fully loaded cost — salary, payroll taxes, health insurance, 401(k) match, equity, office, recruiting amortisation — in the region of US$280,000–380,000 (₹2.46 crore–₹3.34 crore) a year. The same company engaging an independent contractor pays an hourly rate with none of that load and no severance exposure. At US$85/hour (₹7,480), a contractor working 1,500 billable hours costs them US$127,500 (₹1.12 crore) with zero benefits obligation and a 30-day termination clause. For the client that is cheap. For you, ₹1.12 crore of gross receipts is a life-changing number against an Indian cost of living.

The arbitrage is not charity and it is not permanent. It persists because of three things: a genuine shortage of senior engineers in the US and Western Europe, the normalisation of remote contracting after 2020, and the fact that Indian cost of living remains roughly one-fifth to one-eighth of coastal US cost of living. It compresses when: the client discovers an agency that will supply three people for your price; the exchange rate moves against you; or you are selling a commodity skill (basic CRUD web development, generic QA, first-line support) that is being automated or that fifty thousand other people also sell. The defence is specialisation, not effort.

₹44 lakh
TYPICAL SENIOR IN-HOUSE CTC, TIER-1 INDIAN PRODUCT CO.

$60–120/hr
COMMON US/EU CONTRACT BAND FOR SENIOR INDIAN ENGINEERS

1,400–1,600
REALISTIC BILLABLE HOURS PER YEAR, SOLO

65–75%
UTILISATION YOU SHOULD PLAN FOR, NOT 100%

3–6 months
RUNWAY BEFORE YOUR FIRST GOOD CLIENT



Gross receipts are not income. Model the leaks before you quote, not after.

What independence actually costs

Salaried employment in India bundles a quantity of value that becomes invisible until it is gone. Price it explicitly, because every rupee of it moves onto your own balance sheet the day you resign.

What you lose	Employer value (typical, senior IC)	What you must now do	Annual self-funded cost
Employer PF contribution	12% of basic, capped in practice; ₹21,600–₹1,80,000 depending on structure	Voluntary PPF (₹1.5 lakh cap) and/or NPS Tier-I; no employer match exists	₹1,50,000–₹3,00,000 if you want equivalent accumulation
Group health insurance	₹5–10 lakh family floater, zero premium to you, no waiting period, maternity often covered	Buy individual family floater + super top-up; serve waiting periods for pre-existing conditions	₹35,000–₹90,000 for ₹10 lakh base + ₹50 lakh top-up, family of three, age 35
Group term life + personal accident	2–4× annual salary, free	Buy individual term cover (₹1–2 crore) and personal accident cover	₹18,000–₹35,000
Paid leave	~24 earned + ~10 casual/sick + ~10 public holidays = 44 paid days	Every day off is a day unbilled; build it into the rate	44 days × your day rate — often ₹8–15 lakh of foregone billing
Gratuity	15 days' wages per completed year after 5 years, tax-exempt up to ₹20 lakh	Nothing equivalent; self-fund	~4.81% of basic per year
Income stability	Salary lands on the 30th regardless of client mood	Hold 6–9 months of expenses in liquid funds; expect 45–75 day collection cycles	Opportunity cost of ₹15–30 lakh sitting in liquid instruments
Loan eligibility	Home loans underwritten on salary slips; approval in days	Lenders want 2–3 years of ITRs, bank statements, often a higher margin and rate	Plan 24–36 months ahead of any home purchase
Apparatus	Laptop, licences, cloud credits, L&D budget, conference tickets	All of it is yours; some is deductible, none is free	₹1,50,000–₹4,00,000
Legal and tax back-office	Payroll team files your TDS; you sign Form 16 and move on	You file advance tax, GST returns, LUT, Softex, ITR; you engage a CA	₹25,000–₹1,20,000 of professional fees + ~10 hours a month

⚠ **The number that kills most new consultants is not the tax rate — it is utilisation**

A ₹1 crore (₹10,000,000) revenue plan at US$100/hour implicitly assumes 1,136 billable hours — roughly 22 billable hours every single week, 52 weeks a year, with no gaps, no holidays, and no unpaid sales time. Model 65–75% utilisation across 46 working weeks and the honest capacity is 1,200–1,380 hours. If your plan needs more than that, the plan is wrong, not you.

The income maths that makes it work

Here is the comparison that matters, computed three ways. Assume a senior engineer in Bengaluru, 2026, married, one child, no home loan, choosing between a salaried role and independent consulting.

TEXT

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SCENARIO A — SALARIED, ₹48,00,000 CTC (TIER-1 INDIAN PRODUCT COMPANY)
──────────────────────────────────────────────────────────────────────

CTC                                                  48,00,000
  less employer PF (12% of basic 40%)               (2,30,400)
  less gratuity provision (4.81% of basic)             (92,352)
  less group insurance (employer-borne)                (45,000)
Gross salary in hand terms                           44,32,248
  less standard deduction (new regime, FY25-26)       (75,000)
Taxable salary                                       43,57,248

Tax, new regime slabs FY 2025-26:
  0 – 4,00,000            @  0%                              0
  4,00,001 – 8,00,000     @  5%                         20,000
  8,00,001 – 12,00,000    @ 10%                         40,000
  12,00,001 – 16,00,000   @ 15%                         60,000
  16,00,001 – 20,00,000   @ 20%                         80,000
  20,00,001 – 24,00,000   @ 25%                      1,00,000
  24,00,001 – 43,57,248   @ 30%                      5,87,174
                                    Tax              9,87,174
  Surcharge (income < 50L)                                  0
  Health & education cess @ 4%                         39,487
                                    TOTAL           10,26,661

Net cash to you                                      33,30,587 (approx.)
PLUS employer PF accrual 2,30,400 + gratuity 92,352 + insurance 45,000
Economic value received                              37,00,000 (approx.)


SCENARIO B — CONSULTING, ₹50,00,000 GROSS RECEIPTS, SECTION 44ADA
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Gross receipts (export of services, no GST)          50,00,000
Deemed profit under s.44ADA @ 50%                    25,00,000
  (no further expense deduction permitted)
Less: 80C/80D etc. — NOT available in new regime; assume NEW regime
Total income                                         25,00,000

Tax, new regime slabs FY 2025-26:
  0 – 4,00,000            @  0%                              0
  4,00,001 – 8,00,000     @  5%                         20,000
  8,00,001 – 12,00,000    @ 10%                         40,000
  12,00,001 – 16,00,000   @ 15%                         60,000
  16,00,001 – 20,00,000   @ 20%                         80,000
  20,00,001 – 24,00,000   @ 25%                      1,00,000
  24,00,001 – 25,00,000   @ 30%                         30,000
                                    Tax              3,30,000
  Cess @ 4%                                            13,200
                                    TOTAL            3,43,200
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Real cash expenses actually incurred (not deductible
  under 44ADA, but they still leave your bank):     6,00,000
Net cash to you    50,00,000 − 3,43,200 − 6,00,000 = 40,56,800

Self-funded benefits to reach parity with Scenario A:
  health + term + PA insurance                      (60,000)
  retirement contribution (PPF 1.5L + NPS 1L)    (2,50,000)
Comparable economic value                         37,46,800


SCENARIO C — CONSULTING, US$120,000 @ ₹88 = ₹1,05,60,000 GROSS
──────────────────────────────────────────────────────────────

Gross receipts                                  1,05,60,000
44ADA NOT available (receipts > 75,00,000 limit)
Regular computation with books under s.44AA, audit u/s 44AB
  Less: actual business expenses                (14,00,000)
    laptop/depn, internet, co-working, software,
    CA/legal, insurance (business), travel,
    sub-contractor payments, bank/FX charges
Net profit / professional income                91,60,000
  Less: deductions — NEW regime: none material
Total income                                    91,60,000

Tax, new regime slabs FY 2025-26:
  first 24,00,000 (per slab build-up above)       2,40,000
  24,00,001 − 91,60,000  @ 30%                   20,28,000
                                    Tax          22,68,000
  Surcharge @ 10% (income > 50L, ≤ 1 cr)          2,26,800
  Cess @ 4% on (tax + surcharge)                     99,792
                                    TOTAL        25,94,592

Net cash               1,05,60,000 − 14,00,000 − 25,94,592 = 65,65,408
Self-funded benefits                             (3,10,000)
Comparable economic value                        62,55,408
```

Read the three scenarios together

At ₹50 lakh of gross receipts under Section 44ADA, consulting is roughly **at parity** with a ₹48 lakh CTC salaried job once you self-fund benefits — but with far more risk and far more admin. The economics only decisively beat employment somewhere above **₹60–70 lakh of gross receipts**, and they become dramatic above **₹1 crore**. If your realistic billing ceiling is ₹35–45 lakh, independence is a lifestyle choice, not a financial one. Be honest with yourself about which you are making. **All slab rates, surcharge thresholds and the ₹75 lakh 44ADA limit are as at FY 2025-26 — verify on incometax.gov.in.**

Who should not do this

- [ ] You have less than four years of experience and no identifiable specialism. You will compete on price with people who can survive on less.
- [ ] You have no savings buffer. Six months of household expenses in a liquid fund is the floor, nine is sensible.
- [ ] You are the sole earner with large fixed obligations — a ₹90,000 monthly EMI does not tolerate a 70-day payment delay.
- [ ] You hate selling. Consulting is 30% engineering and 70% finding, scoping, pricing, reassuring and invoicing. If you will not do the 70%, you are looking for a remote job, which is a perfectly good thing to look for instead.
- [ ] Your employment contract has a genuine, enforceable restriction and you have not yet exited. See the next section.
- [ ] You need validation from a brand name. For the first two years nobody will have heard of you.

The three business models, and which one you are actually running

STAFF AUGMENTATION

You bill hours into a client's team, attend their standups, use their Jira. Easy to sell, easy to start, commoditised, and dangerously close to disguised employment. Rate ceiling is low because the client is comparing you to a salary. Classification risk is highest here.

PROJECT / OUTCOME DELIVERY

You take a defined scope, deliver it, get paid against milestones. Higher rate, higher risk, needs real scoping discipline and a contract with change control. This is where most independent engineers should aim.

ADVISORY / EXPERTISE

You are paid for judgement, not hours — architecture reviews, AI strategy, due diligence, fractional CTO. Highest rate per hour, lowest volume, requires demonstrable authority. Usually arrives after two or three years of the above.

Staff aug → **Project delivery** → **Retainer advisory** → **Productised service** → **Small agency or product**

Moonlighting and Employment Conflicts

Most Indian consultants start while employed. That is sensible — it de-risks the transition — and it is also where people blow up their careers, their references and occasionally their bank balances. The legal position in India is more nuanced than either "moonlighting is illegal" or "they can't stop me". What actually matters is your contract, your employer's policy, whose time and equipment you used, and whether there is any overlap with the employer's business.

✕ **Read your own contract before you read anything else**

There is no single Indian statute that makes moonlighting unlawful for a private-sector software employee. What binds you is (a) your **employment contract**, (b) your employer's **code of conduct** and **IP policy**, (c) your **state Shops and Establishments Act** (some state Acts contain "double employment" restrictions), and (d) general law on **confidentiality**, **fiduciary duty** and **IP ownership**. The analysis is document-specific. Have an advocate read your actual contract if there is real money at stake.

The clauses that restrict outside work — and how to read them

Clause type	Typical wording	What it really means	Practical risk
Exclusive service / full time and attention	"Employee shall devote their whole time, attention and skill to the business of the Company and shall not, during employment, engage in any other business or occupation, whether or not for remuneration."	A blanket bar on any outside paid work during employment. Enforceable as a contractual term *during* the employment relationship — Section 27 of the Contract Act voids restraints *after* employment, not during.	High Breach is a disciplinary matter; termination for cause, loss of notice pay, possibly withheld relieving letter
Prior written consent	"...shall not undertake any other engagement without the prior written consent of the Company, such consent not to be unreasonably withheld."	The workable version. Ask. Get it in email. Many employers say yes to non-competing, non-conflicting work.	Low if you ask High if you do not and are discovered
Conflict of interest	"Employee shall not engage in any activity that conflicts, or may reasonably appear to conflict, with the interests of the Company or its customers."	Broad and subjective. Consulting for a competitor, a customer, or a prospect of your employer is squarely inside it. Building an unrelated Shopify plugin usually is not.	High for same-sector work; Low for genuinely unrelated work
IP assignment	"All inventions, works and developments conceived or created by the Employee **during the period of employment**, whether or not during working hours and whether or not using Company resources, shall vest in the Company."	The dangerous one. Read the exact trigger. "During the period of employment" with no resource or subject-matter limit is an aggressive clause that claims your weekend project. Narrower clauses limit to work "relating to the Company's business" or "using Company resources".	Very high This is how you lose ownership of the thing you built

Company property / systems use	"Company devices, networks and accounts shall be used solely for Company business."	Using the work laptop, work VPN, work GitHub or work Google account for client work is both a policy breach and the evidence trail that proves it.	**High** Trivially discoverable through MDM, DLP and SSO logs
Non-solicit (clients and staff)	"...shall not, during employment and for 12 months thereafter, solicit any client or employee of the Company."	Partially enforceable in India as to clients you dealt with and confidential information; see the Contracts & IP guide.	**Medium** Indian courts have granted injunctions on narrow, reasonable non-solicits
Non-compete (post-employment)	"...shall not for 12 months after termination work for any competing business."	**Void under Section 27 of the Indian Contract Act 1872** as a restraint of trade — Indian courts have consistently declined to enforce post-employment non-competes. During employment, however, it is enforceable.	**Low post-exit** but expect threatening letters anyway
Moonlighting / dual employment policy	Handbook clause requiring disclosure of any external engagement	Usually incorporated into the contract by reference. Disclosure obligation is real even if the work is permitted.	**Medium** Non-disclosure is often treated as the offence, not the work

> **Section 27 of the Indian Contract Act, 1872 — the thing everyone half-remembers**
> "Every agreement by which any one is restrained from exercising a lawful profession, trade or business of any kind, is to that extent void." The settled Indian position is that this voids **post-termination** non-competes. It does **not** void restrictions that operate **during** the subsistence of employment — a court will treat an exclusivity clause in a live employment contract as a legitimate term of service. So "non-competes are void in India" is true and irrelevant while you are still on payroll.

Where the real exposure sits

In practice, Indian employers rarely sue a departing engineer for moonlighting. Litigation is slow, expensive and reputationally awkward. What they actually do is cheaper and more damaging to you:

1. **Termination for cause**
   Immediate, no notice pay, no relieving letter. The relieving letter is the practical weapon — a large number of Indian employers and visa processes require it, and background verification agencies will flag "terminated for misconduct".

2. **Clawback of variable pay and unvested equity**
   Most ESOP plans contain a "termination for cause" forfeiture trigger that takes vested-but-unexercised options as well.

3. **Negative background verification**
   A BGV agency calls HR. HR says "not eligible for rehire, separation for policy violation". That follows you for years.

4. **IP claim over what you built**
   The genuinely expensive one. If your contract assigns everything created during employment and you built a product on weekends, the employer can assert ownership. This has killed startup fundraises at diligence.

5. **Injunction and damages**
   Rare, but real where you took confidential information, solicited a named client, or used employer source code. The claim is then breach of confidence and copyright infringement, not "moonlighting".

6. **Tax and PF mismatch exposure**
   Two employers both treating you as the primary employer produces under-deducted TDS and a demand with interest under Sections 234B/234C, plus a visible paper trail in Form 26AS that your employer's payroll team can see if they look.

✕ **The two absolute red lines**
(1) Never use employer time, devices, networks, accounts or code for client work. MDM agents, DLP, SSO logs, VPN logs and GitHub audit logs make this trivially provable, and it converts a contractual dispute into a credible claim of breach of confidence and misuse of company property. **(2) Never take on work for your employer's customer, competitor or active prospect.** That single fact turns a technical policy breach into a demonstrable conflict of interest with quantifiable loss, which is the fact pattern employers actually litigate.

If you must moonlight, do it cleanly

- [ ] Obtain the contract and the employee handbook and read the exclusivity, COI, IP and systems-use clauses. Save PDF copies now — you lose portal access on your last day.

- [ ] Seek written consent where the contract allows it. A two-line email to your manager and HR, describing the engagement in general terms and confirming no overlap, is worth more than any argument later.
- [ ] Separate everything physically: your own laptop, your own Google/Microsoft account, your own GitHub, your own phone number, your own VPN, your own password manager vault.
- [ ] Work strictly outside contracted hours and outside any on-call window. Keep a simple log.
- [ ] Choose work in a different sector or a different problem space from your employer's business. If you cannot explain in one sentence why there is no conflict, there is one.
- [ ] Do not name your employer in your marketing. "Senior engineer at a large fintech" is fine; a logo on your website is not.
- [ ] Do not reuse your employer's code, designs, architecture documents, prompts, datasets or customer lists. Not even "the general approach we used".
- [ ] Keep the engagement small enough that it does not degrade your day job. The first visible symptom of moonlighting is missed deadlines, not an audit.
- [ ] Get a PAN-linked trail right: your own invoices, your own bank account, declare the income in your ITR. Trying to hide it creates a tax problem on top of an employment problem.
- [ ] Have a clean exit plan with a date. Moonlighting is a bridge, not a destination.

Disclosure email that usually works

TEXT

```
To: manager@employer.com
Cc: hr-partner@employer.com
Subject: Disclosure — proposed external engagement (no conflict)

Hi Rohit, Priya,

I'd like to formally disclose a proposed external engagement and confirm
it is permitted under Clause 8.3 of my employment agreement, which allows
outside work with prior written consent.

Engagement:   Part-time technical advisory, ~6 hours per week
Counterparty: A Netherlands-based logistics software company
Sector:       Freight-forwarding SaaS — not a customer, competitor or
              prospect of [Employer], to the best of my knowledge, and I
              will re-check against the CRM prospect list if you prefer
Scope:        Review of their Postgres data model and query performance
Timing:       Weekends and after 8pm IST only; no overlap with my on-call
              rotation or core hours
Resources:    My own personal laptop, personal accounts and personal
              network throughout. No [Employer] device, system, account,
              code, document or confidential information will be used.
IP:           Any work product is created entirely outside the scope of my
              duties and without [Employer] resources.

Please confirm in writing that [Employer] has no objection. If you would
like me to decline the engagement, or to narrow it, I'm happy to do so —
my day-job commitments take priority and are unaffected.

Thanks,
Ananya
```

✦ **Why that email is worth writing even if they say no**

It converts an undisclosed side activity into a documented, refused request. If they say yes, you are protected. If they say no, you know where you stand and you have not committed a policy breach. If they say nothing for two weeks, you have a dated record of good-faith disclosure — not consent, but a materially better position than silence.

The special case: consulting during notice period or garden leave

You are still an employee during notice period. Exclusivity and IP clauses still bite. Garden leave — where the employer pays you but keeps you away from work — is contractually fine in India and the employment relationship subsists throughout, so the same restrictions apply. The day your employment actually terminates (check the relieving letter date, not your last working day), post-employment

restraints collapse to: confidentiality (enforceable), non-solicit (partially), IP already assigned (binding), non-compete (void under Section 27).

> **My offer letter is silent on outside work. Can I freelance?**
>
> Probably, but check the **employee handbook** and **code of conduct** — they are almost always incorporated by reference ("the Employee shall comply with Company policies as amended from time to time") and that is where the moonlighting policy usually lives. Also check whether your state's Shops and Establishments Act contains a double-employment restriction. Even with no express clause, a conflict of interest or use of employer resources is still actionable.

Entity Choice for a Solo Consultant

The question "should I register a company?" is almost always asked too early and answered emotionally. The correct answer depends on three things in this order: your expected gross receipts, whether you want Section 44ADA presumptive taxation, and what your clients need to see on a contract. For most Indian software consultants billing under ₹75 lakh (₹7,500,000) to overseas clients, a **sole proprietorship** is not just adequate — it is the tax-optimal structure, by a large margin.

> ⚠ **Rates, thresholds and fees in this section are as at FY 2025-26 / early 2026**
>
> Corporate tax rates, surcharge slabs, the Section 44ADA limits, LLP remuneration limits under Section 40(b), Section 194T, MCA filing fees and audit thresholds all change with the annual Finance Act. Verify at **incometax.gov.in** and **mca.gov.in** before acting. Note also that the **Income-tax Act, 2025** takes effect from **1 April 2026** and renumbers sections — cross-check the mapping.

The four options at a glance

	Sole proprietorship	One Person Company (OPC)	LLP	Private Limited
Governing law	None — it *is* you	Companies Act 2013, s.2(62)	LLP Act 2008	Companies Act 2013
Separate legal person	No	Yes	Yes	Yes
Limited liability	**No** — personal assets exposed	Yes (with lifting-the-veil exceptions)	Yes	Yes
Minimum people	1	1 member + 1 nominee	2 partners	2 directors + 2 shareholders
Section 44ADA presumptive	**Yes** — this is the whole point	No	**No** — LLPs expressly excluded	No
Tax rate on profit	Individual slabs (0–30% + sc + cess)	25% / 22% u/s 115BAA (eff. 25.17%)	30% + 12% sc above ₹1cr + 4% cess	25% / 22% u/s 115BAA (eff. 25.17%)
Second layer of tax on taking money out	**None** — the profit is your income	Dividend taxed at your slab; or salary (deductible, taxed as salary)	Partner remuneration deductible u/s 40(b) within limits; share of profit exempt u/s 10(2A)	Same as OPC
Audit trigger	s.44AB — receipts > ₹50L (prof.), or 44ADA opt-out below 50%	**Mandatory statutory audit** every year, any turnover	Audit if turnover > ₹40L or contribution > ₹25L	**Mandatory statutory audit** every year
Annual compliance cost	₹8,000–₹30,000	₹35,000–₹80,000	₹25,000–₹60,000	₹50,000–₹1,50,000
Setup cost / time	₹0–₹5,000 / 1–7 days	₹8,000–₹20,000 / 7–15 days	₹7,000–₹18,000 / 10–20 days	₹10,000–₹25,000 / 7–15 days

Annual filings	ITR-3/ITR-4 only (+GST if registered)	AOC-4, MGT-7A, ADT-1, DIR-3 KYC, ITR-6	Form 8, Form 11, DIR-3 KYC, ITR-5	AOC-4, MGT-7, ADT-1, DIR-3 KYC, ITR-6, board meetings
Client perception (enterprise)	Adequate for most; some procurement portals struggle	Good	Good	**Best** — frictionless vendor onboarding
Raising equity	Impossible	Effectively impossible (single member)	Difficult — VCs will not invest	**Only real option**
Hiring employees	Possible; PF/ESIC obligations apply at thresholds	Yes	Yes	Yes
Closing it down	Stop. Surrender GST. Done.	Strike-off STK-2, ~4–8 months	Form 24, ~4–8 months	Strike-off STK-2, ~4–8 months

✕ **The single most expensive mistake new consultants make**

Incorporating a Private Limited company "because it looks professional" while billing ₹40 lakh of export services. You have just (a) lost access to Section 44ADA, (b) added mandatory statutory audit and roughly ₹1 lakh of annual compliance, (c) created a two-layer tax structure where profit is taxed at ~25.17% and then taxed *again* at your slab rate when you pay a dividend, and (d) gained limited liability protection that your professional indemnity insurance would have given you for ₹20,000 a year. Incorporate when there is a *reason* — co-founders, investors, employees, or a client who genuinely will not contract with an individual.

Worked tax comparison at ₹20 lakh of gross receipts

TEXT

```
ASSUMPTIONS COMMON TO ALL FOUR
  Gross receipts (export of services)              20,00,000
  Actual cash business expenses                     3,00,000
  Owner wants to extract ALL post-tax profit
  New personal tax regime u/s 115BAC assumed
  FY 2025-26 rates. VERIFY on incometax.gov.in.

(A) SOLE PROPRIETORSHIP – SECTION 44ADA
  Gross receipts                                   20,00,000
  Deemed profit @ 50%                              10,00,000
  Total income                                     10,00,000
  Tax: 0-4L nil; 4-8L @5% = 20,000; 8-10L @10% = 20,000
       Tax before rebate                              40,000
       Rebate u/s 87A (total income ≤ 12,00,000)     (40,000)
       Tax                                                0
       Cess                                               0
  TOTAL TAX                                               0
  Cash out of pocket (real expenses)               (3,00,000)
  NET IN HAND                                      17,00,000

(B) ONE PERSON COMPANY (u/s 115BAA, 22% + 10% sc + 4% cess)
  Revenue                                          20,00,000
  Less actual expenses                             (3,00,000)
  Less director's salary (say)                     (8,00,000)
  Profit before tax                                 9,00,000
  Corporate tax @ 25.168% effective                (2,26,512)
  Profit after tax                                  6,73,488
  Dividend of PAT to self                           6,73,488
  Personal tax on salary 8,00,000:
     less standard deduction 75,000  ⇒ 7,25,000
     0-4L nil; 4-7.25L @5% = 16,250
     Rebate 87A applies (total income incl. dividend?)
     TOTAL personal income = 7,25,000 + 6,73,488 = 13,98,488
     Tax: 0-4L nil; 4-8L @5% 20,000; 8-12L @10% 40,000;
          12-13,98,488 @15% = 29,773  ⇒ 89,773
     No 87A rebate (income > 12,00,000)
     Cess 4%                                          3,591
     Personal tax                                    93,364
  TOTAL TAX (2,26,512 + 93,364)                     3,19,876
  Compliance cost (audit, ROC, CS)                   (55,000)
  NET IN HAND  20,00,000-3,00,000-3,19,876-55,000 = 13,25,124

(C) LLP (two partners required; assume spouse as nominal partner)
  Revenue                                          20,00,000
  Less actual expenses                             (3,00,000)
  Book profit before remuneration                  17,00,000
  Partner remuneration allowable u/s 40(b):
     on first 6,00,000 of book profit: higher of
```

```
        3,00,000 or 90% of 6,00,000 = 5,40,000
     on balance 11,00,000 @ 60%     = 6,60,000
     Maximum allowable                 12,00,000
  Pay remuneration of                                12,00,000
  LLP taxable income                                  5,00,000
  LLP tax @ 30% + 4% cess                            (1,56,000)
  Partner's personal tax on 12,00,000 remuneration:
     (business income, no standard deduction)
     0–4L nil; 4–8L @5% 20,000; 8–12L @10% 40,000 = 60,000
     Rebate 87A: total income = 12,00,000 exactly → rebate applies
     Tax                                                     0
  s.194T TDS @10% on remuneration applies from 1 Apr 2025
     (cash-flow only; credited back on assessment)
  TOTAL TAX                                           1,56,000
  Compliance cost                                      (40,000)
  NET IN HAND  20,00,000-3,00,000-1,56,000-40,000 = 15,04,000

(D) PRIVATE LIMITED – same arithmetic as OPC, plus a second
    shareholder and higher compliance
  TOTAL TAX                                           3,19,876
  Compliance cost                                      (85,000)
  NET IN HAND                                        12,95,124

VERDICT AT 20 LAKH:  Proprietorship + 44ADA wins by ~₹3.7 lakh
                     over an OPC. It is not close.
```

Worked tax comparison at ₹50 lakh of gross receipts

TEXT

```
ASSUMPTIONS
  Gross receipts                                    50,00,000
  Actual cash business expenses                      7,00,000
  New personal regime. FY 2025-26. VERIFY.

(A) SOLE PROPRIETORSHIP – SECTION 44ADA
  Deemed profit @ 50%                               25,00,000
  Tax (slab build-up, as computed earlier)           3,30,000
  Cess 4%                                               13,200
  TOTAL TAX                                          3,43,200
  Compliance (CA, GST, LUT)                           (45,000)
  NET  50,00,000 – 7,00,000 – 3,43,200 – 45,000 =   39,11,800

(A2) SOLE PROPRIETORSHIP – REGULAR, WITH BOOKS
  Revenue                                           50,00,000
  Less actual expenses                              (7,00,000)
  Net professional income                           43,00,000
  Tax: first 24L = 2,40,000; 24–43L @30% = 5,70,000
       Tax                                           8,10,000
       Cess 4%                                          32,400
  TOTAL TAX                                          8,42,400
  Audit u/s 44AB required (receipts > 50L? No – exactly 50L,
     but books under 44AA required)                   (60,000)
  NET  50,00,000 – 7,00,000 – 8,42,400 – 60,000 =   33,97,600

  >>> The ₹4.99 lakh gap between (A) and (A2) is the entire
      value of Section 44ADA. It is a deduction of
      ₹18,00,000 of income you never actually spent.

(B) ONE PERSON COMPANY
  Revenue                                           50,00,000
  Less actual expenses                              (7,00,000)
  Less director salary                             (20,00,000)
  PBT                                               23,00,000
  Corporate tax @ 25.168%                           (5,78,864)
  PAT / dividend                                    17,21,136
  Personal: salary 20,00,000 – 75,000 = 19,25,000
            + dividend 17,21,136
            Total income                            36,46,136
  Tax: first 24L = 2,40,000; 24–36.46L @30% = 3,73,841
       Tax                                           6,13,841
       Cess 4%                                          24,554
       Personal tax                                  6,38,395
  TOTAL TAX (5,78,864 + 6,38,395)                   12,17,259
  Compliance                                          (70,000)
  NET  50,00,000–7,00,000–12,17,259–70,000      =   30,12,741

(C) LLP
```

```
  Book profit before remuneration                  43,00,000
  Max remuneration u/s 40(b):
     first 6,00,000 → 5,40,000 ; balance 37,00,000 @60% = 22,20,000
     Maximum                                       27,60,000
  LLP taxable income                               15,40,000
  LLP tax @ 30% + 4% cess                          (4,80,480)
  Partner tax on 27,60,000:
     first 24L = 2,40,000 ; 24–27.6L @30% = 1,08,000
     Tax 3,48,000 + cess 13,920                     3,61,920
  TOTAL TAX                                         8,42,400
  Compliance                                         (50,000)
  NET  50,00,000−7,00,000−8,42,400−50,000       =  34,07,600

VERDICT AT 50 LAKH: Proprietorship + 44ADA still wins decisively
  (₹39.1L vs ₹34.1L LLP vs ₹30.1L OPC). Note how the LLP and the
  regular-books proprietorship land within ₹10,000 of each other —
  the LLP buys you limited liability for ~₹50,000 a year, nothing more.
```

Worked tax comparison at ₹1 crore of gross receipts

TEXT

```
ASSUMPTIONS
  Gross receipts                                  1,00,00,000
  Actual cash business expenses                     15,00,000
     (includes two sub-contractors at ₹4L each)
  Section 44ADA is NOT available: receipts exceed the
     ₹75,00,000 ceiling (cash receipts ≤ 5% variant).
  New personal regime. FY 2025-26. VERIFY.

(A) SOLE PROPRIETORSHIP — REGULAR, BOOKS + TAX AUDIT
  Net professional income                           85,00,000
  Tax: first 24L = 2,40,000 ; 24-85L @30% = 18,30,000
       Tax                                          20,70,000
       Surcharge @10% (income 50L-1cr)               2,07,000
       Cess 4% on (tax+surcharge)                       91,080
  TOTAL TAX                                         23,68,080
  Tax audit u/s 44AB + CA + GST                       (90,000)
  NET  1,00,00,000-15,00,000-23,68,080-90,000   =   60,41,920

(B) ONE PERSON COMPANY (115BAA)
  Revenue                                         1,00,00,000
  Less expenses                                    (15,00,000)
  Less director salary                             (35,00,000)
  PBT                                               50,00,000
  Corporate tax @ 25.168%                          (12,58,400)
  PAT / dividend                                    37,41,600
  Personal: salary 35,00,000 - 75,000 = 34,25,000
            + dividend 37,41,600 = 71,66,600
  Tax: first 24L = 2,40,000 ; 24-71.67L @30% = 14,30,000
       Tax                                          16,70,000
       Surcharge @10%                                1,67,000
       Cess 4%                                          73,480
       Personal tax                                 19,10,480
  TOTAL TAX (12,58,400 + 19,10,480)                 31,68,880
  Compliance                                         (90,000)
  NET  1,00,00,000-15,00,000-31,68,880-90,000   =   52,41,120

(B2) OPC BUT RETAINING PROFIT IN THE COMPANY
  (you only draw ₹35L salary; ₹37.4L PAT stays inside)
  Corporate tax                                    (12,58,400)
  Personal tax on 34,25,000 salary:
     first 24L 2,40,000 ; 24-34.25L @30% = 3,07,500
     Tax 5,47,500 + cess 21,900                      5,69,400
  TAX PAID THIS YEAR                                18,27,800
  Cash in your hands                                29,55,600
  Cash retained in company (post-tax)               37,41,600
  >>> Defers, does not avoid, the dividend tax. Useful if you
      are reinvesting into hiring or a product. Useless if you
      need the money for your household.
```

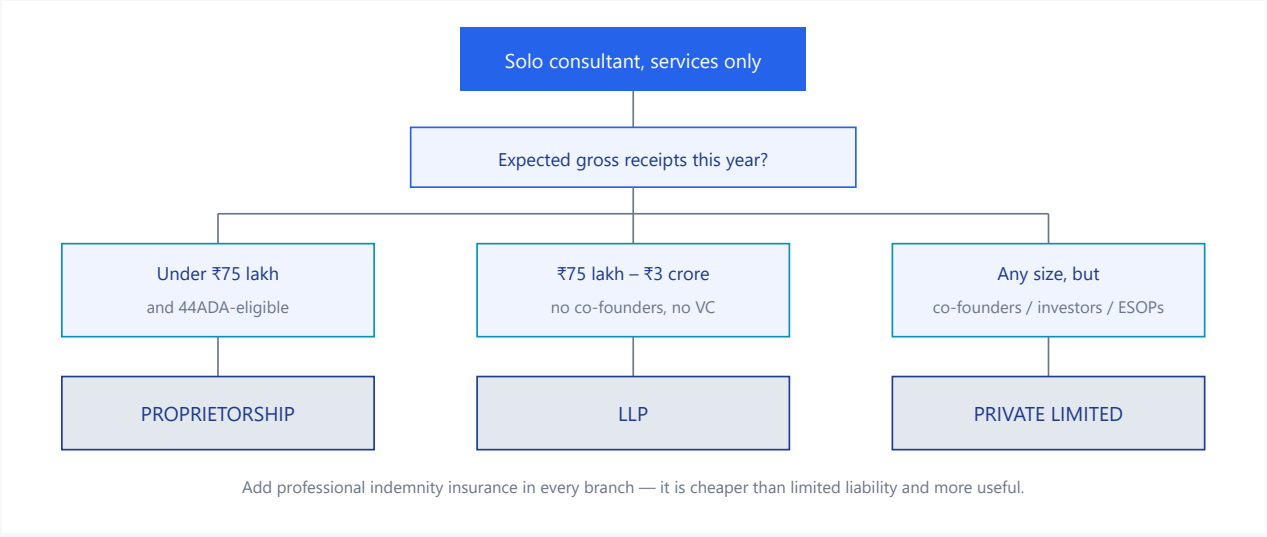
```
(C) LLP
  Book profit before remuneration                  85,00,000
  Max remuneration u/s 40(b):
     first 6,00,000 → 5,40,000 ; balance 79,00,000 @60% = 47,40,000
     Maximum                                       52,80,000
  LLP taxable income                               32,20,000
  LLP tax @ 30%                                     9,66,000
     surcharge nil (income < 1 crore)
     cess 4%                                           38,640
     LLP tax                                       10,04,640
  Partner tax on 52,80,000:
     first 24L 2,40,000 ; 24-52.8L @30% = 8,64,000
     Tax 11,04,000 ; surcharge @10% = 1,10,400
     cess 4% = 48,576                              12,62,976
  TOTAL TAX                                        22,67,616
  Compliance                                        (70,000)
  NET  1,00,00,000-15,00,000-22,67,616-70,000   =  61,62,384

VERDICT AT 1 CRORE: The LLP edges ahead of the proprietorship
  (₹61.6L vs ₹60.4L) because remuneration splits income across
  two taxable persons at different effective rates, and the OPC
  is ₹9 lakh behind because of double taxation on extraction.
  The LLP advantage is real but modest and assumes a genuine
  second partner. Do NOT create a sham partner for tax.
```

⚠ **Section 40(b) remuneration limits and Section 194T — both changed recently**

The partner-remuneration limits used above (₹3,00,000 or 90% of the first ₹6,00,000 of book profit, whichever is higher; 60% of the balance) reflect the position after the **Finance (No. 2) Act, 2024** with effect from **AY 2025-26**. Separately, **Section 194T**, effective **1 April 2025**, requires a firm/LLP to deduct TDS at **10%** on partner remuneration, interest, commission or bonus exceeding **₹20,000** in a financial year. Both are easy to get wrong. **Verify current limits on incometax.gov.in.**

Decision rule



Entity choice follows receipts and shareholder intent, not vanity.

Client perception — what actually happens at vendor onboarding

Client type	Will they contract with an individual proprietor?	Friction you will hit	Workaround
US/EU startup, <100 people	Yes, routinely	None. They sign a one-page contractor agreement and pay by Wise.	—
US/EU scale-up, 100–1,000	Usually	Vendor portal wants a "company name" and a tax ID; W-8BEN as individual; sometimes a COI (certificate of insurance)	Use "Ananya Rao, trading as Rao Systems"; buy professional indemnity cover
Fortune 500 / regulated (banking, pharma, defence)	Often no	Supplier code of conduct, minimum insurance limits (US$1–5m), SOC 2 questionnaire, background check, sometimes a requirement for an incorporated entity	Sub-contract through an existing vendor, or incorporate
Indian enterprise	Yes	Wants GSTIN, PAN, cancelled cheque, MSME certificate; TDS under s.194J @10%	Register GST + Udyam; MSME status also gets you the 45-day payment rule
Marketplace (Upwork, Toptal, Contra)	Yes	Platform is the contracting counterparty; their terms govern	Read the platform's withholding and FX terms carefully
Agency sub-contracting	Yes	Back-to-back terms, non-solicit of the end client, often lower rate	Negotiate a carve-out to approach the end client after 12 months

Proprietorship: what you actually "register", because there is no registration

When the OPC is genuinely the right answer

✦ **You can change your mind, and it is cheaper than you think**

Start as a proprietorship. If you cross ₹75 lakh, or you hire a second person, or a client blocks you at procurement, incorporate then and run both in parallel for a quarter — the proprietorship finishes its contracts, the company signs the new ones. Migration costs you a few weeks of paperwork and about ₹25,000. Starting with a Pvt Ltd "to be safe" costs you lakhs in unnecessary tax every year you stay small.

Registrations You Actually Need

Indian business registration advice on the internet is written by people who sell registration services. The honest answer for a solo software consultant exporting services is that you need **PAN** (you have it), probably **Udyam** (free, two minutes), **GST** only above the threshold or if a client demands it, **professional tax** in some states, and **almost certainly not IEC**. Everything else depends on facts. Here is the decision table, and then the detail.

⚠ **Thresholds, fees and portal names below are as at FY 2025-26 / early 2026**

GST registration thresholds are set by notification under Sections 22 and 24 of the CGST Act 2017; MSME classification limits were revised with effect from **1 April 2025**; IEC requirements flow from the Foreign Trade (Development and Regulation) Act 1992 and the Foreign Trade Policy. Verify on **gst.gov.in**, **udyamregistration.gov.in** and **dgft.gov.in** respectively before relying on any number here.

"Does this apply to me?" — the decision table

Registration	Required if…	Not required if…	Cost	Time
PAN	Always. It is your tax identity and every client, bank and portal will ask.	—	₹107 (new)	7–15 days
Aadhaar–PAN linkage	Always, for residents. An unlinked PAN becomes inoperative and TDS gets deducted at higher rates.	—	₹1,000 late fee if overdue	Instant
GST registration	Aggregate turnover exceeds **₹20 lakh** (₹2,000,000) in a financial year for services — **₹10 lakh** in the special category states; **or** you make taxable supplies to Indian clients and want to charge/collect GST; **or** you are liable under reverse charge; **or** a client contractually requires a GSTIN.	You export services only and aggregate turnover is below the threshold (see the GST section — the inter-state-supply trap and its exemption).	Free	3–7 working days (Aadhaar-authenticated), longer if physica verification

Letter of Undertaking (LUT)	You are GST-registered **and** export services **and** want to export without paying IGST.	You are not GST-registered; or you choose to pay IGST and claim refund.	Free	Same day (auto-approved)
Udyam / MSME	Strongly recommended for everyone. Gives MSME status, the Section 15 MSMED 45-day payment right, bank acceptance as proof of business, government tender eligibility, reduced IP filing fees.	Nothing stops you; there is no downside.	Free	Instant
IEC (Importer Exporter Code)	You export or import **goods**; or you export services and wish to claim benefits under the Foreign Trade Policy; or your bank insists.	**Most service exporters.** Per DGFT, IEC is not mandatory for export of services unless the service provider takes FTP benefits.	₹500	1–2 days
Non-STPI registration	You export software/ITES and your AD bank requires SOFTEX certification to close the EDPMS entry against your inward remittance.	Your bank processes remittances without SOFTEX (varies by bank and value). **Ask your bank first.**	Registration ~₹1,000–₹5,000 + annual service charges on export value (slab-based)	7–20 days

Shops & Establishment	State law — most states require registration of any commercial establishment, including a home office, typically within 30 days of commencement.	Some states exempt establishments with no employees; check your state Act.	₹300–₹5,000 depending on state and headcount	1–15 days
Professional tax (enrolment)	You carry on a profession/trade in a state that levies PT — Karnataka, Maharashtra, West Bengal, Tamil Nadu, Telangana, Andhra Pradesh, Gujarat, Madhya Pradesh, Kerala, Assam, Odisha, Bihar and others.	Your state does not levy it — **Delhi, Haryana, Uttar Pradesh, Rajasthan, Punjab (varies), Uttarakhand** and some others.	Typically ₹2,500/yr cap	1–7 days
EPF / ESIC	You employ 20+ (EPF) or 10+ (ESIC, state-dependent) persons.	**Solo consultants.** There is no self-employed PF.	Free to register	1–5 days
Trade mark (TM-A)	Your brand name matters commercially and you want exclusivity in your classes.	You trade under your own personal name only.	₹4,500/class online for individual/startup/small enterprise (verify current fee)	Filing instant; registration 8–24 months

GST registration — the question that actually confuses everyone

Here is the sequence of provisions that determines whether a pure service exporter must register. Read it in order.

1 **Section 22(1), CGST Act 2017**

A supplier must register if "aggregate turnover" in a financial year exceeds ₹20 lakh (₹10 lakh for special category states). Services do not get the ₹40 lakh goods threshold.

2 **Section 2(6), CGST Act**

"Aggregate turnover" **includes exports** and exempt supplies. So your ₹60 lakh of US billings absolutely counts towards the ₹20 lakh threshold. You cannot argue that exports are outside turnover.

3 **Section 7(5), IGST Act 2017**

Supply of services where the supplier is in India and the place of supply is outside India is treated as an **inter-State supply** .

4 **Section 24(i), CGST Act**

Persons making any inter-State taxable supply must register **compulsorily, irrespective of turnover** . Read literally, this would force every ₹3 lakh freelancer with one foreign client into GST registration.

5 **Notification No. 10/2017 – Integrated Tax, dated 13 October 2017**

This is the rescue. It exempts persons making inter-State supplies of **taxable services** with aggregate turnover below the Section 22 threshold from the compulsory registration requirement of Section 24(i). So a service exporter below ₹20 lakh of aggregate turnover is **not** obliged to register.

6 **Conclusion**

Register when aggregate turnover (exports included) crosses ₹20 lakh, or earlier by choice. **Verify both the notification's continued operation and the current threshold on gst.gov.in / cbic.gov.in — this is a notification-level position that can change.**

The timing trap

The obligation to register arises when you **cross** the threshold, and you must apply within **30 days** of becoming liable (Section 25(1)). Your registration is effective from the date you became liable if you apply within 30 days — otherwise from the date of grant. If you cross ₹20 lakh in November and apply in February, you have a gap during which you were liable and unregistered, you cannot have filed an LUT for that period, and the department's position may be that your exports in that window were not validly zero-rated. Track your rolling aggregate turnover monthly in a spreadsheet. This is a five-minute monthly task that prevents a six-figure problem.

Should an exporter register voluntarily even when below the threshold?

Argument for registering	Argument against
You can claim **refund of unutilised input tax credit** on business inputs — AWS, GitHub, laptops, co-working, CA fees. On ₹8 lakh of annual GST-bearing expenses at 18%, that is ₹1.44 lakh of refundable credit you otherwise simply lose.	Monthly/quarterly return filing discipline (GSTR-1 and GSTR-3B) forever, even for nil periods. Late fees accrue per return per day.
Indian clients will not onboard an unregistered vendor without friction; many procurement systems require a GSTIN field.	Annual LUT filing, or you must pay IGST and chase refunds.
You are "GST-ready" the day you sign a domestic client, rather than scrambling.	Refunds under RFD-01 take 2–8 weeks and sometimes require officer follow-up; the working-capital cost is real.
A GSTIN is one of the two documents a bank wants to open a current account.	You come onto the department's radar; mismatches, notices and ASMT-10 queries become your problem.
Cancelling later is possible (REG-16) if it turns out to be a mistake.	Professional fees for a monthly GST compliance retainer: ₹1,000–₹3,000/month.

> **Rule of thumb**
> If your annual GST-bearing business expenses exceed roughly **₹4–5 lakh** (₹400,000–₹500,000), voluntary registration usually pays for itself through ITC refunds. Below that, stay unregistered until you cross the threshold. Model it with your actual expense list before deciding, and get your CA to confirm that your inputs are eligible for refund under the zero-rated route.

Udyam registration — do this today

TEXT

```
UDYAM REGISTRATION — 10 MINUTES, FREE, NO DOCUMENTS TO UPLOAD
Portal:  udyamregistration.gov.in   (beware of look-alike paid sites)

You need:   Aadhaar number of the proprietor (OTP to linked mobile)
            PAN
            Bank account number and IFSC
            NIC code for your activity — software consultancy is
              commonly 62021 / 62022 / 62099 (verify the current
              NIC-2008 code list on the portal)
            Investment in plant/machinery or equipment (your laptops)
            Turnover (auto-fetched from GST/ITR where available)

MSME CLASSIFICATION LIMITS (revised w.e.f. 1 April 2025 — VERIFY)
  Micro    : investment ≤ ₹2.5 crore   AND turnover ≤ ₹10 crore
  Small    : investment ≤ ₹25 crore    AND turnover ≤ ₹100 crore
  Medium   : investment ≤ ₹125 crore   AND turnover ≤ ₹500 crore
  (A solo consultant is Micro by a very wide margin.)

WHAT IT GETS YOU
  1. Section 15, MSMED Act 2006 — buyers must pay a registered
     micro/small enterprise within the agreed period, capped at
     45 days. Section 16 interest = 3x the RBI bank rate,
     compounded monthly, and it is NOT deductible to the buyer.
  2. Section 43B(h), Income-tax Act — a buyer who does not pay a
     registered micro/small supplier within the statutory period
     cannot deduct the expense in that year. This gives your
     Indian clients a strong tax reason to pay you on time.
     Say so in your onboarding email.
  3. MSME Samadhaan (samadhaan.msme.gov.in) — free online
     delayed-payment complaint to a Facilitation Council.
  4. Reduced fees on patent (80% rebate) and trade mark filings.
  5. A document banks accept as proof of business.
```

> **Udyam does not help against foreign clients**
> The MSMED Act binds buyers in India. A Delaware LLC that does not pay you is governed by your contract and whatever law it names, not Section 15. Udyam is a domestic-collections tool.

IEC — the registration you probably do not need

The Importer Exporter Code is issued by DGFT under the Foreign Trade (Development and Regulation) Act 1992. It is mandatory for import and export of **goods**. For **services**, DGFT's position has been that IEC is required only where the service provider is taking benefits under the Foreign Trade Policy (for example, the erstwhile SEIS scheme) or where the service falls within a notified category. A software consultant receiving bank wires for consultancy generally does not need one.

Two practical caveats. First, some bank relationship managers ask for an IEC reflexively when a foreign remittance arrives, because their goods-export playbook says so. It costs ₹500 and takes a day, so if your bank is blocking a ₹8 lakh remittance over it, just get one rather than arguing. Second, if you ever need an **e-BRC** (electronic Bank Realisation Certificate) from the DGFT portal — occasionally demanded for government tenders or scheme claims — you need an IEC to generate it. **Verify the current service-export position at dgft.gov.in.**

Non-STPI registration and SOFTEX — the one nobody warns you about

Export of software, including software services delivered electronically, is a "software export" for exchange-control purposes. Under the RBI's **Master Direction on Export of Goods and Services**, software exports are declared in **Form SOFTEX**, which must be certified by a designated authority — in practice **STPI**, or the Development Commissioner for an SEZ unit. A consultant who is not in an STP or SEZ scheme registers as a **non-STPI unit** at stpi.in in order to get SOFTEX forms certified.

1. **Register as a non-STPI unit**
   Apply online at stpi.in with PAN, incorporation/registration proof, IEC (if held), a board resolution or proprietor declaration, address proof and a brief project profile. A registration certificate issues, usually valid for a defined period and renewable.

2. **File SOFTEX periodically**
   Typically monthly, listing each export invoice with invoice number, date, value, currency, client details and the purpose code. Many jurisdictions allow a consolidated monthly statement rather than one form per invoice.

3. **Get it certified**
   STPI validates and returns certified SOFTEX. Service charges are slab-based on annual export value and payable annually.

4. **Bank closes the EDPMS entry**

Your authorised dealer bank matches the certified SOFTEX against the inward remittance in the Export Data Processing and Monitoring System and closes the shipping-bill-equivalent entry.

5

Realisation timeline

Export proceeds must be realised and repatriated within the period prescribed in the RBI Master Direction (commonly cited as **nine months** from the date of export for non-SEZ exporters). Extensions are possible through the AD bank. **Verify the current period at rbi.org.in.**

⚠ **Ask your bank before you spend money on this**

Practice varies enormously. Some banks process software-consultancy inward remittances with nothing more than a purpose code and a self-declaration, especially at smaller values. Others will not release funds, or will keep the EDPMS entry open and start sending you reminders, until certified SOFTEX is produced. The economical approach: ask your relationship manager in writing, "*For inward remittances under purpose code P0802 of approximately US$X per month, will you require certified SOFTEX, and at what value threshold?*" Act on the written answer. Thresholds, waivers and the Master Direction itself change — **verify current status at rbi.org.in and stpi.in**.

Professional tax — small money, annoying penalties

State	Levied?	Typical enrolment liability for a self-employed professional	Portal
Karnataka	Yes	₹2,500 per year (annual payment, due by 30 April in practice)	Karnataka commercial taxes e-PT
Maharashtra	Yes	₹2,500 per year enrolment certificate (PTEC)	mahagst.gov.in
West Bengal	Yes	Slab-based, capped at ₹2,500 per year	wbcomtax.gov.in
Telangana / Andhra Pradesh	Yes	Slab-based, capped at ₹2,500 per year	State commercial tax portal
Tamil Nadu	Yes (municipal)	Half-yearly, levied by the local body	Municipal corporation portal
Gujarat, Madhya Pradesh, Kerala, Odisha, Assam, Bihar, Jharkhand, Chhattisgarh, Meghalaya, Tripura, Sikkim, Nagaland, Manipur, Mizoram, Puducherry	Yes	State slabs, constitutionally capped at ₹2,500 per person per year (Article 276)	State portal
Delhi, Haryana, Uttar Pradesh, Rajasthan, Uttarakhand, Himachal Pradesh, Goa, Chandigarh, J&K, Andaman & Nicobar	**No**	Nothing to do	—

ℹ **Article 276 of the Constitution caps professional tax at ₹2,500 per person per year.** That is why no state can charge more. Penalties for non-enrolment, however, are state-specific and can exceed the tax several times over. If your state levies it, enrol — it is a one-time form and a standing instruction. **Verify slabs and due dates on your state commercial tax portal.**

Your registration pack — what a client, bank or auditor will ask for

- ☐ PAN card (and PAN–Aadhaar linkage confirmation)
- ☐ GST registration certificate (Form REG-06) showing your GSTIN, if registered
- ☐ Current LUT acknowledgement (Form GST RFD-11) for the current financial year, if exporting
- ☐ Udyam Registration Certificate with the UDYAM-XX-00-0000000 number
- ☐ Cancelled cheque or bank letter showing account number, IFSC and SWIFT code
- ☐ Shops & Establishment certificate (state)
- ☐ Professional tax enrolment certificate (state, where applicable)
- ☐ IEC certificate, if held
- ☐ Non-STPI registration certificate, if obtained
- ☐ Signed W-8BEN (individual) or W-8BEN-E (entity) for US clients
- ☐ Tax Residency Certificate (Form 10FB, issued by the Indian tax authority on Form 10FA application) plus electronically filed Form 10F, where a client requires DTAA relief documentation
- ☐ Certificate of professional indemnity insurance, if you carry it

Income Tax for the Independent Professional

Section 44ADA of the Income-tax Act 1961 is the most valuable provision in Indian law for a software consultant, and it is routinely misunderstood. It lets a qualifying professional declare **50% of gross receipts** as income, pay tax on that, keep no books, face no audit, and pay advance tax in a single instalment. On ₹50 lakh of receipts that is a ₹25 lakh deduction you did not have to spend or document. This section explains exactly who qualifies, exactly what the limits are, what happens when you cross them, and when regular taxation is actually better.

⚠ **Every figure in this section is as at FY 2025-26 (AY 2026-27)**

Slab rates, the rebate under Section 87A, surcharge thresholds, the Section 44ADA ceilings and the audit thresholds under Section 44AB are all set annually by the Finance Act. **Verify on incometax.gov.in.** Note further that the **Income-tax Act, 2025** is scheduled to replace the 1961 Act from **1 April 2026** with a unified "tax year" concept and renumbered provisions — the substance of presumptive taxation is expected to carry over, but the section numbers used throughout this guide will change. Always cross-check against the new section map.

Section 44ADA, precisely

Element	The rule	What it means in practice
Who is eligible	A person **resident in India** being an **individual** or a **partnership firm other than a limited liability partnership**, engaged in a profession referred to in **Section 44AA(1)**.	A proprietor consultant: yes. An LLP: expressly excluded. A company: not eligible. A non-resident: not eligible.
Which professions	Section 44AA(1) lists: legal, medical, engineering, architectural, accountancy, **technical consultancy**, interior decoration, authorised representative, film artist, company secretary, and **information technology** (notified).	An independent software/AI consultant is normally within "technical consultancy" and/or the notified IT profession. Pure product resale, SaaS subscription revenue or training-course sales are **business**, not profession — see Section 44AD.
Deemed income	**50% of total gross receipts**, or a higher sum actually earned if the assessee declares it.	Not 50% of profit. 50% of **receipts**. The other 50% is deemed to cover all expenses and depreciation.
Base limit	Total gross receipts must not exceed **₹50 lakh** (₹5,000,000) in the previous year.	This is the hard default limit.
Enhanced limit	**₹75 lakh** (₹7,500,000) where **cash receipts do not exceed 5%** of total gross receipts (proviso inserted with effect from AY 2024-25).	Receipt by a mode other than account-payee cheque/draft/electronic clearing is "cash" for this test. A bank wire from a US client is electronic — fine. Payment in physical cash or a bearer cheque is not.
No further deductions	Sections 30 to 38 are deemed to have been allowed. Written-down value of assets is deemed to have been reduced by the depreciation allowed.	You cannot claim rent, laptop depreciation, internet, software or salary **on top of** the 50%. The 50% *is* all of that. However, **Chapter VI-A deductions** (80C, 80D, 80CCD(1B)) and the Section 24(b) home-loan interest on let-out property remain separately available **if you are in the old regime**.

No books, no audit	Section 44AA books-of-account and Section 44AB audit requirements do not apply to an assessee declaring income under 44ADA at or above 50%.	This saves ₹40,000–₹1,00,000 a year and a great deal of friction. Keep bank statements and invoices anyway.
Declaring lower than 50%	If you declare profits **lower** than 50% **and** your total income exceeds the basic exemption limit, you must maintain books under Section 44AA(1) and get them audited under Section 44AB(d).	So you cannot say "my real margin was 28%" without triggering full books and audit. That is the price.
Lock-in	**There is no five-year lock-in in 44ADA.** The restriction in Section 44AD(4) — opting out and then being barred for five years — applies to 44AD only.	You may use 44ADA in one year and regular computation the next without penalty. Confirm with your CA for your facts.
Return form	**ITR-4 (Sugam)** if 44ADA/44AD is your only presumptive income and other conditions are met; otherwise ITR-3.	ITR-4 is markedly simpler. You will fall out of ITR-4 eligibility if you have capital gains above the small threshold, foreign assets, more than one house property, or income above ₹50 lakh total income.
Advance tax	Proviso to **Section 211(1)** — the whole advance tax is payable in a single instalment on or before **15 March**.	A huge cash-flow advantage, and a huge trap if you forget. See the advance tax section.

✕ **"Profession" versus "business" is a real classification question**

Section 44ADA applies to **professions** under Section 44AA(1) at 50%. Section 44AD applies to **eligible businesses** at 8% (6% for digital receipts) — a much better deemed rate — but **expressly excludes** a person carrying on a profession referred to in Section 44AA(1), a person earning income by way of commission or brokerage, and a person carrying on any agency business. Consultants sometimes try to characterise their work as "software development business" to access the 6% rate. The department's position is that technical consultancy and IT services are professional. Trying to use 44AD for consultancy receipts is an aggressive position that invites reassessment. **Get a written opinion from your CA before taking it.**

Section 44AD — for genuine business income

Element	Rule
Eligible assessee	Resident individual, HUF, or partnership firm (not LLP), who has not claimed deductions under Sections 10AA or 80-IA to 80RRB in the relevant year
Eligible business	Any business **except**: a profession under 44AA(1); income from commission or brokerage; an agency business; plying/hiring/leasing goods carriages (covered by 44AE)
Deemed income	**8%** of turnover/gross receipts, reduced to **6%** to the extent receipts are by account-payee cheque/draft/electronic mode received on or before the ITR due date
Turnover limit	**₹2 crore** (₹20,000,000), enhanced to **₹3 crore** (₹30,000,000) where cash receipts do not exceed 5% of total turnover
Lock-in — Section 44AD(4)	If you declare under 44AD and then in any of the **next five** assessment years declare profits **not** in accordance with 44AD, you are **barred from 44AD for five assessment years** following that year, and must maintain books and get audited if income exceeds the exemption limit
Advance tax	Single instalment by **15 March**, same proviso to Section 211(1)

Where this matters for a software person: if you sell a **product** (a SaaS subscription, a plugin, a course, an app) rather than your personal professional services, that is business income and 44AD at 6% may be available. A consultant who also runs a ₹12 lakh SaaS side-line may genuinely have both heads of income in the same return — professional receipts under 44ADA and business turnover under 44AD. That is permissible and common. **Verify eligibility with your CA for each stream.**

The full three-way worked comparison at ₹48 lakh of receipts

TEXT

```
FACTS
  Gross receipts, export of AI consulting services  48,00,000
  Actual, documented business expenses               9,20,000
      laptop + monitor (depreciable)      1,80,000
      internet + mobile                      66,000
      cloud/API/software subscriptions     2,40,000
      co-working desk                      1,20,000
      professional fees (CA, legal)          85,000
      insurance (PI + cyber)                 52,000
      conferences + courses                  95,000
      bank/FX charges                        82,000
  Chapter VI-A eligible: 80C 1,50,000 ; 80D 48,000 ;
                         80CCD(1B) 50,000
  FY 2025-26. VERIFY ALL RATES ON incometax.gov.in.

_____________________________________________________________

OPTION 1 — 44ADA, NEW REGIME u/s 115BAC
_____________________________________________________________

  Deemed income @ 50%                                24,00,000
  Chapter VI-A: NOT available in new regime                  0
  Total income                                       24,00,000
  Tax:  0-4L nil
        4-8L   @5%     20,000
        8-12L  @10%    40,000
        12-16L @15%    60,000
        16-20L @20%    80,000
        20-24L @25%  1,00,000
                   = 3,00,000
  Surcharge (income < 50L)                                   0
  Cess @4%                                              12,000
  TAX PAYABLE                                        3,12,000
  Effective rate on receipts                            6.50%

_____________________________________________________________

OPTION 2 — 44ADA, OLD REGIME
_____________________________________________________________

  Deemed income @ 50%                                24,00,000
  Less 80C                                           (1,50,000)
  Less 80D                                              (48,000)
  Less 80CCD(1B)                                        (50,000)
  Total income                                       21,52,000
  Tax (old slabs):
        0-2,50,000      nil                                  0
        2,50,001-5,00,000 @5%                           12,500
        5,00,001-10,00,000 @20%                      1,00,000
        10,00,001-21,52,000 @30%                     3,45,600
                                          Tax        4,58,100
  Cess @4%                                              18,324
```

```
  TAX PAYABLE                                          4,76,424
  Effective rate on receipts                              9.93%

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OPTION 3 — REGULAR COMPUTATION WITH BOOKS, NEW REGIME
──────────────────────────────────────────────────────────────────

  Gross receipts                                      48,00,000
  Less actual expenses (with depreciation
       on laptop @40% for computers instead of
       full cost: 1,80,000 x 40% = 72,000, so
       allowable expenses = 9,20,000 - 1,80,000
       + 72,000 = 8,12,000)                           (8,12,000)
  Net professional income                             39,88,000
  Total income                                        39,88,000
  Tax:  first 24,00,000 (as above)                     3,00,000
        24,00,001-39,88,000 @30%                       4,76,400
                                        Tax            7,76,400
  Cess @4%                                                31,056
  TAX PAYABLE                                          8,07,456
  PLUS: books under s.44AA, tax audit u/s 44AB
        (receipts ≤ 50L so audit only if profits
         declared below 50% — here 83% so no audit,
         but books are still required)
  Effective rate on receipts                             16.82%

──────────────────────────────────────────────────────────────────

SUMMARY
  Option 1  44ADA + new regime      Tax 3,12,000   <<< WINNER
  Option 2  44ADA + old regime      Tax 4,76,424
  Option 3  Regular + new regime    Tax 8,07,456
  Difference between best and worst: ₹4,95,456 on identical
  facts, decided entirely by which boxes you tick.
```

> **Why the old regime almost never wins for a 44ADA consultant**
>
> Under the old regime you unlock 80C/80D/80CCD(1B) — about ₹2.48 lakh of deductions — but you pay the old 30% rate from ₹10 lakh instead of the new regime's graduated band up to ₹24 lakh. The new regime's wider slabs are worth far more than ₹2.48 lakh of deductions for anyone with deemed income above roughly ₹13–15 lakh. Run both. The ITR utility computes both automatically; do not take anyone's word for it, including this guide's.

The trap of crossing the limit mid-year

Section 44ADA's ₹50 lakh / ₹75 lakh test is applied to **gross receipts for the whole previous year**, not prospectively. There is no pro-rating and no partial relief. If you bill ₹72 lakh by January and a client pays

an unexpected ₹6 lakh in March, your receipts are ₹78 lakh and **44ADA is unavailable for the entire year**, retrospectively.

TEXT

```
WORKED FAILURE — THE MARCH SURPRISE

Apr–Jan   receipts from three US clients           68,00,000
Feb       receipts                                  4,00,000
                                  running total    72,00,000
          (you are comfortably inside ₹75,00,000)

22 March  A client clears two disputed invoices     6,40,000
                                  FINAL TOTAL      78,40,000

CONSEQUENCE
  44ADA unavailable for FY as a whole.
  Income must be computed under normal provisions.
  Books of account required from 1 April — which you did
     not keep, because you were on 44ADA.
  Tax audit u/s 44AB(a) triggered: gross receipts from
     profession exceed ₹50,00,000.
  Form 3CA/3CB + 3CD due; auditor needs ledgers,
     bills, bank reconciliations, fixed asset register.
  Advance tax was paid on the 15-March single-instalment
     basis assuming 50% deemed income of 36,00,000.
     Actual income, after ₹11,00,000 of real expenses,
     is 67,40,000.
     Advance tax paid:   approx 7,96,800
     Actual liability:   approx 19,30,000
     Shortfall:          approx 11,33,200
  Section 234B interest @1% per month from 1 April on
     the shortfall, until payment.
  Section 234C interest for deferment.
  Penalty u/s 271B for failure to get accounts audited:
     0.5% of gross receipts, capped at ₹1,50,000 — if you
     cannot produce an audit report by the due date.

THE FIX THAT COSTS NOTHING
  1. Keep a rolling receipts tracker updated weekly.
  2. At ₹60,00,000 of receipts, switch to maintaining
     proper books "just in case" — a Zoho Books subscription
     is ₹10,000 a year.
  3. From December onward, ask every client with open
     invoices whether they intend to pay before 31 March,
     and where you have discretion, agree a 2 April value
     date instead of a 29 March one. Receipt date, not
     invoice date, is what counts.
  4. If you are going to cross, cross properly: plan for
     books + audit and claim every real expense, which at
     high receipts is often better than 50% anyway.
```

✦ **The 50% crossover point**

44ADA is worth having while your real expense ratio is **below 50%** of receipts. Most solo software consultants run at 15–25% real expenses, so 44ADA is strongly favourable. If you are sub-contracting heavily — say you pay out ₹30 lakh to three associates on ₹60 lakh of receipts — your real ratio is 50%+ and regular computation with books is better *and* you are probably over the ceiling anyway. Compute both before deciding.

Residential status — the precondition everyone skips

Section 44ADA requires you to be **resident in India**. Residence under Section 6 turns on days of physical presence: broadly, 182 days or more in the previous year, or 60 days or more in the previous year together with 365 days or more in the preceding four years (with relaxations to 182 days for citizens leaving for employment and, in certain cases, 120 days for visiting Indian citizens/PIOs with Indian income above ₹15 lakh). A consultant who spends eight months a year with a client in Dubai may become non-resident and lose 44ADA entirely, while gaining a different and more complex set of problems. **If you travel heavily, track your days and get a residency opinion annually. Verify Section 6 as currently in force on incometax.gov.in.**

Deductions and Expenses Without Presumptive Taxation

If you are above the 44ADA ceiling, or your real cost base exceeds 50%, you compute professional income the ordinary way: receipts minus expenses "wholly and exclusively" incurred for the profession, under Sections 30 to 37 of the Income-tax Act 1961. That phrase — *wholly and exclusively* — is where most disputes live. This section covers what is allowable, at what rate, what documentation survives scrutiny, and what the assessing officer will disallow.

⚠ **Depreciation rates, Chapter VI-A limits and regime rules are as at FY 2025-26**

Depreciation rates are prescribed in Appendix I to the Income-tax Rules 1962; Chapter VI-A limits and the Section 115BAC regime conditions change with the Finance Act. **Verify on incometax.gov.in.** Section numbering changes under the Income-tax Act 2025 from 1 April 2026.

The allowability test

WHOLLY AND EXCLUSIVELY

Section 37(1). The expense must be for the purpose of the profession, not personal. Mixed-use items (home, car, phone) must be apportioned on a defensible basis and the basis documented contemporaneously.

NOT CAPITAL IN NATURE

A laptop is capital — you claim depreciation, not the full cost. A ₹2,400 monthly SaaS subscription is revenue — fully deductible. The line matters for cash flow and for the written-down value block.

NOT SPECIFICALLY DISALLOWED

Section 40(a)(ia) disallows 30% of a payment to a resident where TDS was deductible and not deducted. Section 40A(3) disallows cash payments above ₹10,000 to a person in a day. Section 43B(h) disallows unpaid MSE dues.

The expense catalogue

Expense	Treatment	Rate / limit	Evidence that survives scrutiny	What gets disallowed
Home office — rent	Proportionate deduction of rent attributable to the work area	Area-based apportionment, e.g. 1 room of 4 = 25%	Rent agreement, rent receipts, bank transfer to landlord, a dated floor-plan note setting out the apportionment	100% of a family home; rent paid i cash; rent to a spouse at an inflated rate with agreement
Home office — electricity, maintenance, society charges	Same apportionment as rent	Same percentage, applied consistently	Utility bills in your name, bank payment trail	Arbitrary percentages that change year to ye
Laptop, desktop, monitors, peripherals	**Capital** — depreciation under Section 32	**40%** WDV for computers and computer software (Appendix I, Block III(5)); **50% of the rate** if put to use for less than 180 days in the year	GST invoice in your business name, payment trail, a fixed asset register with date of put-to-use	Claiming full cost year one; persona gaming rigs; a second laptop wi no business justification
Office furniture, chair, desk	Capital — depreciation	**10%** WDV (furniture and fittings)	Invoice, asset register	Home furniture w incidental work u
Mobile phone handset	Capital — depreciation at the plant-and-machinery rate; many practitioners claim 15%	15% WDV, apportioned for personal use	Invoice; a note on business/personal split	100% business us of your only personal phone
Internet and mobile bills	Revenue, apportioned	Commonly 70–80% business for a full-time consultant;	Bills in your name, bank payment trail	Family plans claimed at 100%; prepaid top-ups with no bill

		document the basis		
Software and SaaS subscriptions	Revenue (if annual/periodic licence) or capital (if perpetual licence of substantial value)	Full deduction for subscriptions; 40% depreciation for capitalised software	Invoices, card statements, and a list showing business purpose of each tool	Netflix; Spotify; a personal Adobe licence
Cloud and API spend (AWS, Azure, OpenAI, Anthropic)	Revenue, fully deductible	100% if used for client work and your own R&D	Monthly invoices; ideally tagged by client/project	Credits consume on a personal hobby project if challenged
Co-working desk / office rent	Revenue, fully deductible	100%	Tax invoice with your GSTIN, agreement, payment trail	A membership yo used twice
Domestic travel for client work	Revenue	100% if purely business	Tickets, boarding passes, hotel invoices, the client email requesting the visit, and a trip note	Trips with family attached; "busine development" holidays
International travel	Revenue if wholly for the profession	100%; expect scrutiny	Client invitation, agenda, meeting notes, visa, and an invoice to the client if reimbursable	Conference in Ba with two meeting attached; spouse' ticket
Conferences, courses, certifications, books	Revenue — professional development	100% if it maintains or updates existing professional skill	Registration receipt, certificate, syllabus	A degree that qualifies you for a *new* profession ca be challenged as capital/personal
Professional fees — CA, advocate, CS	Revenue	100%	Invoice with their membership number; TDS u/s	Personal income-return preparatio for family membe

			194J @10% if you exceed the threshold	
Salary to staff / assistant	Revenue	100%; TDS u/s 192 if above exemption; PF/ESIC at headcount thresholds	Appointment letter, attendance, bank salary transfer, Form 16	Salary to a non-working spouse o parent with no evidence of servi — classic Section disallowance
Sub-contractor / associate payments	Revenue	100%; **TDS u/s 194J @10% (professional) or @2% (technical services)** — threshold ₹50,000 per payee per FY (raised by Finance Act 2025; verify)	Their invoice, contract, bank transfer, TDS challan and Form 16A	Section 40(a)(ia) disallows **30%** of the payment if TD was deductible a not deducted/deposi
Bank charges, FX conversion, wire fees	Revenue	100%	Bank statement, FIRA/advice showing charges	Personal account charges
Business insurance — professional indemnity, cyber	Revenue	100%	Policy schedule, premium receipt	Personal life insurance (that is 80C, not an expense)
Health insurance premium	**Not** a business expense — a Chapter VI-A deduction under **Section 80D**	₹25,000 self/family; ₹50,000 if self or spouse is a senior citizen; additional ₹25,000/₹50,000 for parents (**old regime only**)	Premium receipt, non-cash payment	Cash-paid premiums (excep preventive health check-up up to ₹5,000)

Car	Capital — depreciation at 15% WDV; running costs apportioned	Personal-use portion disallowed; expect 30–50% disallowance on a single family car	Logbook of business trips, fuel bills, insurance	100% claims on t only family car; luxury vehicles wi thin business rationale
Client entertainment / gifts	Revenue, but contentious	Modest, documented amounts	Bill with the client name and purpose noted	Alcohol-heavy bil anything that loo like a facilitation payment
Website, hosting, branding, design	Revenue for hosting/maintenance; a substantial one-off build may be capitalised	100% / 40% depreciation if capitalised as software	Invoices, domain registration	Personal blog wit no business connection

Section 40A(3) — the ₹10,000 cash rule
Any expenditure for which payment exceeding **₹10,000** is made to a single person in a single day otherwise than by account-payee cheque, account-payee draft or electronic mode is **wholly disallowed** (₹35,000 for payments to transporters). Pay everything by bank transfer or card. There is no partial relief and no "but I have the bill" defence.

Depreciation, worked

TEXT

```
BLOCK OF ASSETS — COMPUTERS (RATE 40% WDV)
Rates per Appendix I, Income-tax Rules 1962. VERIFY current rates.

FY 2024-25
  Opening WDV                                              0
  Add: MacBook Pro purchased 12 May 2024           2,40,000
       (put to use ≥ 180 days, full rate)
  Add: 32-inch monitor purchased 3 Feb 2025           48,000
       (put to use < 180 days, HALF rate)
  ──────────────────────────────────────────────────────────
  Depreciation on 2,40,000 @ 40%                      96,000
  Depreciation on   48,000 @ 20% (half of 40%)         9,600
  Total depreciation FY 2024-25                    1,05,600
  Closing WDV  (2,40,000 + 48,000 − 1,05,600)      1,82,400

FY 2025-26
  Opening WDV                                      1,82,400
  Add: external GPU box purchased 8 June 2025      1,10,000
  ──────────────────────────────────────────────────────────
  Depreciation on (1,82,400 + 1,10,000) @ 40%      1,16,960
  Closing WDV                                      1,75,440

NOTE: the half-rate rule applies only in the YEAR OF
ACQUISITION. From the next year the asset sits in the
block and earns the full 40%.

NOTE: under Section 44ADA you claim NONE of this
separately — but the WDV is deemed to have been reduced
as if depreciation had been allowed, so when you exit
44ADA your opening WDV is the notionally depreciated
figure, not the cost. Keep the register even on 44ADA.
```

Chapter VI-A: old regime versus new regime

Deduction	Section	Limit (FY 2025-26)	Old regime	New regime u/s 115BAC
Life insurance, PPF, ELSS, principal on home loan, tuition fees, 5-yr FD	80C	₹1,50,000	Available	Not available
Health insurance premium (self/family/parents)	80D	₹25,000 + ₹25,000; ₹50,000 each where senior citizen	Available	Not available
Additional NPS contribution	80CCD(1B)	₹50,000	Available	Not available
Employer NPS contribution (salaried only)	80CCD(2)	14% of salary (central govt); 14% under new regime for others — verify	Available	Available
Interest on education loan	80E	No cap, 8 years	Available	Not available
Donations to approved funds/institutions	80G	50% or 100%, with/without qualifying limit	Available	Not available
Interest on savings account	80TTA	₹10,000	Available	Not available
Standard deduction	16(ia)	₹75,000 (new regime) / ₹50,000 (old regime)	Salary income only	Salary income only — NOT professional income
Interest on self-occupied house loan	24(b)	₹2,00,000	Available	Not available for self-occupied

> ⚠ **The standard deduction does not apply to professional income**
> This catches a large number of consultants. The ₹75,000 standard deduction under Section 16(ia) is a deduction from **salary**. A consultant with no salary income gets none of it. If you have both a salaried job and consulting income in the same year, you get it against the salary component only. **Verify the current amount on incometax.gov.in.**

The regime election — a rule that bites professionals specifically

Under Section 115BAC as it now operates, the new regime is the **default**. A person with income from business or profession who wishes to opt **out** into the old regime must furnish **Form 10-IEA** on or before the due date for filing the return under Section 139(1). Critically, a business/professional assessee may switch out of the new regime and back only **once** in a lifetime — having opted out and then returned to the new regime, you cannot opt out again. A salaried person may choose afresh each year; a professional cannot. **Model both regimes before your first Form 10-IEA, and verify the current rule and form number on incometax.gov.in.**

Record-keeping that survives an assessment

- [ ] A separate **current account** used only for the profession. Mixing personal and business transactions is the single most damaging habit, because it makes every expense arguable.
- [ ] Every expense paid by bank transfer, UPI from the business account, or a business credit card. Nothing in cash above ₹10,000 and preferably nothing in cash at all.
- [ ] A monthly folder structure: `2025-26/09-Sep/invoices-in/`, `invoices-out/`, `bank/`, `contracts/`. Name files `YYYY-MM-DD_vendor_amount.pdf`.
- [ ] A **fixed asset register** with date of purchase, date put to use, cost, block, and WDV carried forward — maintained even on 44ADA.
- [ ] A **TDS register** for every payment you make to a sub-contractor or professional, with challan numbers and Form 16A issued.
- [ ] Contemporaneous notes for apportioned expenses: a one-page memo setting out the home-office area percentage and the phone business-use percentage, dated at the start of the year.
- [ ] Retention: Rule 6F requires specified professionals to keep books for **six years** from the end of the relevant assessment year. Keep seven, digitally, in two places.
- [ ] Download **Form 26AS** and the **Annual Information Statement (AIS)** every quarter and reconcile them against your own records. Mismatches are the number one trigger for an automated notice

under Section 143(1)(a).

Advance Tax and the Quarterly Rhythm

A salaried engineer never thinks about advance tax because payroll deducts TDS every month. A consultant receiving gross wires from a US client has **no TDS at all**, which means the entire year's tax is yours to compute, fund and deposit on a statutory schedule. Miss it and you pay 1% a month under Sections 234B and 234C — not catastrophic, but entirely avoidable, and the interest is not deductible.

> ⚠ **Due dates and interest rates below are as at FY 2025-26**
> Advance tax instalments are prescribed by **Section 211**; interest for default by **Sections 234B and 234C**; both of the Income-tax Act 1961. **Verify on incometax.gov.in.** Section numbers change under the Income-tax Act 2025 from 1 April 2026.

Who must pay advance tax

Section 208: every person whose estimated tax liability for the year, after reducing TDS and TCS credit, is **₹10,000 or more**. For a consultant billing anything above roughly ₹9 lakh of deemed income, that is certain. Resident senior citizens (60+) with no business or professional income are exempt — which excludes you.

The two schedules

Due date	Ordinary assessee — cumulative advance tax payable	Assessee under Section 44AD or 44ADA
15 June	Not less than **15%** of assessed tax	Nil
15 September	Not less than **45%**	Nil
15 December	Not less than **75%**	Nil
15 March	**100%**	**100%** — the whole liability in one instalment (proviso to Section 211(1))
31 March	Tax paid on or before 31 March is still treated as advance tax for Section 234B purposes, but the 15 March deadline governs 234C	

✦ **The 44ADA single-instalment rule is a genuine cash-flow gift**

You hold the entire year's tax money in your own account until 15 March. On ₹25 lakh of deemed income that is roughly ₹3.4 lakh sitting with you for most of the year. Park it in a liquid fund or a sweep-in FD and earn on it — but put it somewhere you will not spend it, because on 15 March it must be there in full.

Section 234C — interest for deferment of instalments

Shortfall at	If advance tax paid is less than	Interest	Period
15 June	12% of assessed tax (a 3% grace band below the 15% requirement)	1% per month simple	3 months
15 September	36% of assessed tax (grace band below 45%)	1% per month	3 months
15 December	75% of assessed tax	1% per month	3 months
15 March	100% of assessed tax	1% per month	1 month
44AD/44ADA assessee	100% by 15 March	1% per month	1 month

"Assessed tax" means tax on total income less TDS/TCS and relief under Sections 89/90/90A/91 and MAT/AMT credit. Interest under 234C is capped at the deferment periods above; it does not run indefinitely.

Section 234B — interest for shortfall in payment

If advance tax paid during the year is **less than 90%** of assessed tax, interest at **1% per month or part of a month** runs on the shortfall from **1 April** of the assessment year until the date of payment (or regular assessment). Unlike 234C, this one keeps running. File late and pay late and it compounds with Section 234A interest for late filing.

Worked example — getting it wrong

TEXT

```
FACTS
  Consultant on 44ADA. FY 2025-26.
  Gross receipts turn out to be                    52,00,000
  Deemed income @ 50%                              26,00,000
  New regime. Tax on 26,00,000:
     first 24,00,000 (slab build-up)                3,00,000
     24,00,001-26,00,000 @30%                          60,000
                                   Tax               3,60,000
     Cess @4%                                          14,400
     ASSESSED TAX                                   3,74,400
  TDS credit (one Indian client, s.194J)              (38,000)
  Advance tax required                               3,36,400

WHAT ACTUALLY HAPPENED
  Paid NOTHING by 15 March 2026.
  Paid ₹1,50,000 on 20 June 2026.
  Paid the balance ₹1,86,400 on 10 September 2026
     when filing the return.

INTEREST UNDER SECTION 234C
  Shortfall at 15 March = 3,36,400 - 0 = 3,36,400
  1% x 1 month                                          3,364

INTEREST UNDER SECTION 234B
  Advance tax paid during FY = 0
  90% of assessed tax = 90% x 3,74,400 = 3,36,960
  Paid 0, which is < 3,36,960, so 234B applies.
  Shortfall base = assessed tax - advance tax paid
                 = 3,74,400 - 38,000 (TDS) - 0 = 3,36,400
                 rounded down to nearest 100 = 3,36,400

  Apr, May, Jun 2026 (3 months, part months count fully)
     on 3,36,400 @1%                                10,092
     (payment of 1,50,000 on 20 June reduces the base
      from July)
  Jul, Aug, Sep 2026 (3 months)
     on 1,86,400 @1%                                 5,592
  TOTAL 234B                                        15,684

INTEREST UNDER SECTION 234A (late filing)
  Return filed 10 Sep 2026; due date 31 Jul 2026
  (non-audit case) --> 2 months late
     on 1,86,400 @1% x 2                             3,728

LATE FILING FEE u/s 234F
  Total income > 5,00,000, filed after due date        5,000

TOTAL AVOIDABLE COST                                27,768
```

```
on a tax liability of 3,74,400 — a 7.4% penalty for
not making one bank transfer in March.

WHAT IT WOULD HAVE COST TO DO IT RIGHT
  One challan of 3,36,400 on 14 March 2026.
  Interest: ZERO.
```

The AIS makes under-reporting pointless

Your Annual Information Statement on incometax.gov.in now aggregates bank-reported inward foreign remittances, interest, dividends, securities transactions, property transactions and high-value card spends. The department sees the ₹1.04 crore that landed in your account. Declaring ₹40 lakh of receipts is not a tax strategy; it is a guaranteed Section 148 reassessment with penalty under Section 270A at 50% (under-reporting) or 200% (mis-reporting) of the tax on the under-reported income.

How to budget tax from every invoice — the three-account method

TEXT

```
THE DISCIPLINE THAT MAKES 15 MARCH A NON-EVENT

Open three accounts:
  [1] OPERATING   — current account; all client money lands here
  [2] TAX RESERVE — separate savings or liquid fund; never spend
  [3] PERSONAL    — your household account

On the day any client payment clears into [1]:

  Step 1  Compute the INR credited AFTER bank charges and FX.
  Step 2  Transfer a fixed percentage to [2] immediately.
          Same day. Standing rule, not a decision.
  Step 3  Transfer your "salary" to [3] on the 1st of the month.
  Step 4  Leave 2 months of business expenses in [1].

WHAT PERCENTAGE?
  44ADA, deemed income ~₹25L, new regime
     effective tax on receipts ~6.9%   → reserve 10%
  44ADA, deemed income ~₹37L, new regime
     effective tax on receipts ~9.5%   → reserve 13%
  Regular books, income ₹85L, new regime
     effective tax on receipts ~23.7%  → reserve 28%
  If GST-registered and charging domestic clients
     add the GST collected — it is NOT your money

  Always round UP. A surplus in [2] on 31 March is a bonus;
  a deficit is 1% a month.

WORKED, ONE INVOICE
  Invoice to US client        US$ 12,000
  Wise mid-market rate 88.10, fee US$ 61
  INR credited                      ₹10,51,329
  Transfer to TAX RESERVE @13%       ₹1,36,673
  Remains in OPERATING               ₹9,14,656

  Over a year of 10 such invoices the reserve accumulates
  ₹13,66,730 against an actual liability of about
  ₹12,90,000 — comfortable, and the surplus funds your
  Q1 of the next year.
```

The consultant's annual tax calendar

Date	Action	Form / mechanism	Applies to
7th of every month	Deposit TDS you deducted from sub-contractors last month	Challan ITNS 281 via e-Pay Tax	Anyone paying associates/professionals above threshold
11th / 13th of every month	GSTR-1 (monthly filers) / IFF (QRMP)	gst.gov.in	GST-registered
20th of every month	GSTR-3B and tax payment (monthly filers)	gst.gov.in	GST-registered
22nd / 24th (QRMP)	Quarterly GSTR-3B by state group	gst.gov.in	GST-registered under QRMP
15 June	Advance tax instalment 1 (15%)	Challan ITNS 280	Non-presumptive
31 July	Quarterly TDS return Q1	Form 26Q	Deductors
31 July	**ITR filing due date, non-audit cases**	ITR-4 / ITR-3	All
15 September	Advance tax instalment 2 (cumulative 45%)	ITNS 280	Non-presumptive
30 September	Tax audit report, where applicable	Form 3CA/3CB + 3CD	Audit cases
31 October	ITR due date for audit cases	ITR-3	Audit cases
15 December	Advance tax instalment 3 (cumulative 75%)	ITNS 280	Non-presumptive
31 December	Belated/revised return deadline (subject to current law)	ITR	Late filers
31 December	GSTR-9 / 9C annual return for the previous FY	gst.gov.in	GST-registered above thresholds

15 March	**Advance tax — final instalment, and the ONLY instalment for 44ADA/44AD**	ITNS 280	Everyone
Before 31 March	**File next year's LUT** (Form GST RFD-11) so it is live on 1 April	gst.gov.in	GST-registered exporters
31 March	Complete 80C/80D investments if in old regime	—	Old regime

> ℹ **Due dates get extended, and you should never plan around that**
> The CBDT and GSTN extend deadlines most years, usually in the last week before the deadline, usually because the portal is failing. Treat extensions as luck. File a week early and the portal outage on the last day is somebody else's problem.

GST for Service Exporters, In Depth

Export of services from India is **zero-rated** — you charge no GST, and you recover the GST you paid on inputs. But "export of services" is a defined term with five cumulative conditions, and the place-of-supply rules in Section 13 of the IGST Act contain a trap (the "intermediary" rule) that has caught a great many consultants and agencies. This section goes through the mechanics in the order you will meet them.

> ⚠ **GST law as at early 2026 — verify everything**
> The provisions cited are from the **CGST Act 2017** and **IGST Act 2017** as amended, plus notifications. The **rate rationalisation of September 2025** changed the slab structure; the intermediary provision in **Section 13(8)(b)** has been the subject of sustained constitutional litigation and GST Council recommendations for omission. **Confirm the current text of Sections 2(6), 13 and 16, the applicable rate for your SAC code, and the status of Section 13(8)(b) at gst.gov.in and cbic.gov.in before relying on this.**

The five conditions — Section 2(6), IGST Act 2017

"Export of services" means the supply of any service when **all five** of the following are satisfied:

#	Condition	What it means for you	How it fails
1	The **supplier of service is located in India**	You are in India. Satisfied.	You relocated to Dubai and are now supplying from there
2	The **recipient of service is located outside India**	The contracting entity must be outside India. Check the entity on the contract, not the person on the call.	You contract with the Indian subsidiary of a US group, or a GCC in Bengaluru. That is a domestic supply at 18%.
3	The **place of supply of service is outside India**	Determined by Section 13 IGST Act. For general consulting this is the recipient's location — outside India. **But see the intermediary trap.**	You are an "intermediary" under Section 2(13); or the service relates to immovable property in India; or it is performance-based on goods physically in India
4	**Payment has been received in convertible foreign exchange** or in Indian rupees where permitted by the RBI	A USD/EUR/GBP wire into your INR account with a FIRA/advice naming the foreign currency. Satisfied.	Your US client pays you from their Indian entity's INR account; or a friend in India settles on their behalf
5	The supplier and recipient are **not merely establishments of a distinct person** under Explanation 1 to Section 8	You are independent of the client. Satisfied.	You export to your own foreign branch or your own overseas company — that is not an export of services

✕ **Condition 2 is where real money is lost**

A US client asks you to raise the invoice on their **Indian GCC** because "the budget sits there". That single change converts a zero-rated export into a domestic supply, which means you must charge **18% IGST/CGST+SGST**, they will deduct **TDS under Section 194J at 10%**, and your LUT is irrelevant. If you have already quoted a net rate, you have just lost 18% of the contract value — unless your contract says fees are "exclusive of all taxes". Always ask, at proposal stage: "*Which legal entity will be the contracting party and which entity will pay?*"

Place of supply — Section 13, IGST Act

Sub-section	Service	Place of supply	Relevance to a software consultant
13(2)	**Default rule** — all services not covered by 13(3) to 13(13)	**Location of the recipient** of services	This is your rule. Software development, AI consulting, architecture review, code audit, training delivered remotely — all default to the recipient's location, i.e. outside India. Export.
13(3)(a)	Services in respect of goods required to be made physically available by the recipient	Location where services are actually performed	Hardware repair, on-site device work. Rarely relevant.
13(3)(b)	Services requiring physical presence of the recipient or their representative	Location where services are performed	In-person training delivered in India to a foreign client's Indian staff is a domestic supply
13(4)	Services directly in relation to **immovable property**	Location of the property	PropTech work tied to a specific Indian building could be caught
13(5)	Admission to or organisation of events	Where the event is held	Running a workshop in Bengaluru for a foreign client: Indian place of supply
13(8)(b)	**Intermediary services**	**Location of the SUPPLIER** — i.e. India	**The trap.** If you are an intermediary, your place of supply is India, condition 3 of Section 2(6) fails, and you must charge 18% GST even though your client is abroad.
13(9)	Transportation of goods	Destination of goods	Not relevant

13(12)	Online information and database access or retrieval (OIDAR) services	Location of recipient	Relevant if you run a SaaS product sold to foreign consumers

The intermediary trap, explained properly

Section 2(13) of the IGST Act defines an **intermediary** as "a broker, an agent or any other person, by whatever name called, who **arranges or facilitates** the supply of goods or services or both, or securities, between two or more persons, but does not include a person who supplies such goods or services or both or securities **on his own account**."

YOU ARE NOT AN INTERMEDIARY (GOOD)

You contract directly with the foreign client. You perform the work yourself or through people you employ and pay. You bear the delivery risk. You invoice your own fee for your own service. This is supply "on your own account" — Section 13(2) applies, place of supply is the client's location, it is an export, zero-rated.

YOU MAY BE AN INTERMEDIARY (BAD)

You introduce a foreign client to an Indian development shop and take a 15% commission. You run a marketplace matching foreign buyers with Indian engineers. You act as a sourcing agent. You are paid a "finder's fee" or "referral commission". Here you arrange a supply between two other persons — Section 13(8)(b) puts the place of supply in India and you must charge 18%.

TEXT

```
THE THREE-PARTY TEST (CBIC Circular 159/15/2021-GST guidance)

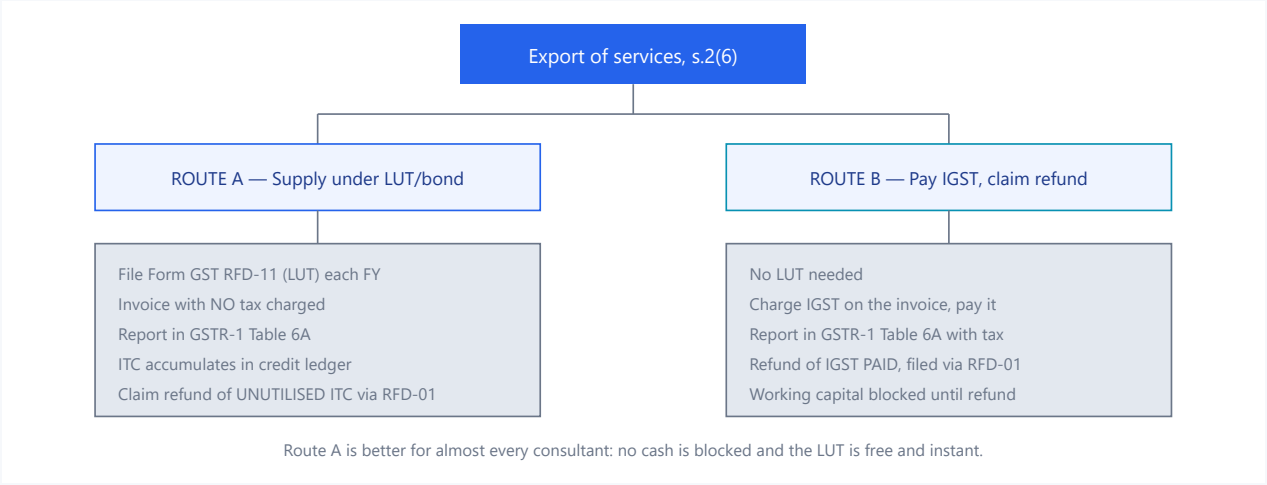
An intermediary arrangement requires:
  (a) MINIMUM THREE PARTIES — two principals and the intermediary
  (b) TWO DISTINCT SUPPLIES — the main supply between the
      principals, and the ancillary facilitation supply
  (c) The intermediary does NOT supply the main service
      on its own account
  (d) SUB-CONTRACTING IS EXPRESSLY NOT INTERMEDIATION — a person
      who sub-contracts the work but supplies it in their own
      name, on their own account, to the client is NOT an
      intermediary

PRACTICAL STRUCTURING
  BAD   You → finder's fee of 15% from Acme Inc for
        introducing them to DevShop Pvt Ltd, who contract
        directly with Acme.
        Three parties. Two supplies. You facilitate.
        ⇒ Intermediary risk. 18% GST on your commission.

  GOOD  You → contract with Acme Inc for the full project at
        US$100,000 in YOUR name, on YOUR account.
        You separately sub-contract DevShop Pvt Ltd at
        ₹55,00,000 under your own contract, bearing the
        delivery and payment risk.
        ⇒ Not an intermediary. Your supply to Acme is an
           export, zero-rated. DevShop's supply to you is a
           domestic supply on which you pay 18% and claim ITC
           (refundable under the zero-rated route).

ALWAYS VERIFY: Section 13(8)(b) has been challenged
constitutionally (notably before the Bombay High Court) and
the GST Council has considered its omission. CHECK THE
CURRENT STATUS at cbic.gov.in before structuring anything
on this basis.
```

Two routes to zero-rating — Section 16, IGST Act



Section 16(3), IGST Act — the two mechanisms for realising zero-rating.

The LUT — Form GST RFD-11

Question	Answer
What is it?	A Letter of Undertaking given to the department that you will complete the export and realise the proceeds within the prescribed period, in exchange for being allowed to export without payment of IGST
Who can file?	Any registered person intending to supply goods/services for export without payment of IGST, **except** a person who has been prosecuted for an offence under the GST laws or any earlier law where the tax evaded exceeds **₹250 lakh** (₹25,000,000) — such a person must furnish a **bond with bank guarantee** instead (Notification 37/2017-Central Tax). **Verify the current threshold.**
Where?	gst.gov.in → Services → User Services → Furnish Letter of Undertaking (RFD-11)
Cost	Free
Time	Auto-acknowledged on submission; an ARN is generated immediately
Validity	**One financial year.** A fresh LUT must be filed for each FY.
Witnesses	The form requires details of **two independent witnesses** — name, occupation, address. Have two ready (not family members in the same business).
Signature	DSC or EVC (OTP to the registered mobile/email of the authorised signatory)
If you forget to renew	Exports made in the period before the new LUT is filed are, strictly, exports **with** payment of tax. The department's position in such cases has varied; practitioners commonly file the LUT late, pay IGST on the affected invoices and claim refund, or seek condonation. It is an avoidable mess. **Set a calendar reminder for 20 March every year.**

TEXT

```
LUT FILING — STEP BY STEP, ABOUT SEVEN MINUTES

1. Log in at gst.gov.in with your GSTIN credentials.
2. Services > User Services > Furnish Letter of Undertaking (RFD-11)
3. Select the financial year from the dropdown.
     File for 2026-27 in the second half of March 2026.
4. If you filed an LUT last year, upload the previous
     year's LUT (PDF/JPEG, max 2 MB). Optional but useful.
5. Tick the three self-declarations:
     (a) export of goods/services within 3 months of the date
         of issue of the invoice, or such further period as
         the Commissioner allows
     (b) abide by GST law in respect of exports
     (c) pay IGST with interest at the prescribed rate if
         the export is not completed within the above period
6. Enter TWO INDEPENDENT WITNESSES:
     Name / Occupation / Full address for each.
     Your CA's office staff, a co-working neighbour, a
     fellow consultant. Not your spouse if they are a
     partner in the same business.
7. Enter place of filing, select the authorised signatory.
8. Sign with DSC or EVC.
9. Download the acknowledgement PDF with the ARN.
     SAVE IT. Clients and bankers occasionally ask for it.

REMINDER TO SET: 20 March, every year, "File next FY LUT".
```

> ✗ **Note the three-month export condition in the LUT self-declaration**
>
> The undertaking says you will complete the export within three months of the date of issue of the invoice (or an extended period allowed by the Commissioner). For services, "completion of export" is in practice tied to receipt of payment in convertible foreign exchange. If you invoice on 1 April on 90-day terms and the client pays on day 120, you are technically outside the window. This is widely ignored in practice and rarely pursued for services, but it is a reason to keep payment terms at 30 days and to document any delay. **Confirm the current wording of the undertaking when you file.**

Route B — paying IGST and claiming refund

If you have no LUT, you charge IGST on the export invoice at the applicable rate (18% for most IT and professional services; **verify your SAC rate post-September-2025 rationalisation**), pay it in cash or from credit, and then claim refund of the IGST paid under Section 54 read with Rule 96. For goods the refund is largely automated against shipping bills; **for services it is not** — you file **RFD-01** with a statement of invoices and the FIRC/BRC evidence.

Two practical problems make this the inferior route for a consultant. First, your client either pays the extra 18% (they will object, and it is not creditable to them) or you absorb it, which is a direct 18% hit until refunded. Second, service refunds require officer processing and documentary scrutiny, and the money is gone for 4–10 weeks. Use Route A.

Refund of unutilised input tax credit — Form RFD-01

TEXT

```
WHEN YOU EXPORT UNDER LUT, YOUR OUTPUT TAX IS ZERO BUT YOU
STILL PAY GST ON INPUTS. THAT CREDIT ACCUMULATES. CLAIM IT.

ELIGIBLE INPUTS FOR A SOLO CONSULTANT (indicative)
  AWS / Azure / GCP India invoices          18%
  Co-working membership                     18%
  Laptop, monitor, peripherals              18%
  Professional fees (CA, advocate)          18%
  Software subscriptions billed from India  18%
  Internet and telecom                      18%
  Advertising and marketing services        18%

NOT ELIGIBLE (blocked credit, s.17(5) CGST Act)
  Motor vehicles (with narrow exceptions)
  Food, beverages, outdoor catering
  Club and health/fitness memberships
  Health insurance (unless statutorily required)
  Goods/services for personal consumption
  Works contract for immovable property

THE FORMULA — Rule 89(4), CGST Rules 2017
  Refund = (Turnover of zero-rated supply of services
            x Net ITC) / Adjusted Total Turnover

  "Turnover of zero-rated supply of services" is defined as
  payments RECEIVED during the period for zero-rated services,
  plus services completed for which payment was received in
  advance in a prior period, minus advances for services not
  completed. In short: it is RECEIPTS-based for services,
  not invoice-based. Reconcile to your FIRA/bank credits.

WORKED EXAMPLE — ONE QUARTER
  Export receipts (zero-rated services)       28,00,000
  Domestic taxable supplies                    2,00,000
  Adjusted total turnover                     30,00,000
  Net ITC available in the period              1,62,000

  Refund = 28,00,000 / 30,00,000 x 1,62,000
         = 1,51,200

  The remaining 10,800 of ITC is used against the output
  tax on the domestic supplies.

FILING
  Form        RFD-01 on gst.gov.in
  Category    "Refund of ITC on export of services without
               payment of tax"
  Period      Any period, but must be in chronological order;
```

```
             cannot skip a period and come back
Deadline     Within TWO YEARS from the relevant date
             (s.54(1)); for export of services the relevant
             date is the later of the date of receipt of
             convertible foreign exchange or the date of
             issue of invoice
Documents    Statement 3 (invoice-wise details)
             FIRC / FIRA / BRC evidence of receipt in FX
             Declaration u/s 54(3)(ii) and Rule 89(2)(l)
             Undertaking re s.16(2)(c) and s.42(2)
             CA certificate if refund exceeds ₹2,00,000
                 (not required if claim is supported by
                  prescribed documentary evidence – verify)
Processing   Acknowledgement RFD-02 within 15 days;
             provisional refund of 90% within 7 days of
             acknowledgement for zero-rated claims (s.54(6));
             final order RFD-06. Deficiency memo RFD-03 if
             something is missing – which restarts the clock.
Interest     6% p.a. u/s 56 if not refunded within 60 days
             of the application (9% in certain appeal cases)
```

⚠ **Refund claims must be filed in chronological order and cannot be split across a financial year arbitrarily**

Rule 89 and the related circulars restrict clubbing of periods across financial years and require sequential filing. Decide your cadence — quarterly is the usual compromise between effort and working capital — and stick to it. **Verify the current clubbing rules at cbic.gov.in; this has been amended more than once.**

The voluntary registration decision, worked

TEXT

```
CONSULTANT, FY 2025-26, ALL EXPORT RECEIPTS, BELOW ₹20 LAKH

Export receipts                                  16,00,000
GST-bearing business inputs                       4,80,000
  (AWS ₹1.2L, co-working ₹1.44L, laptop ₹1.2L,
   CA ₹0.45L, software ₹0.51L)
GST embedded in those inputs @18%                   73,220
  (4,80,000 is inclusive → 4,80,000 x 18/118)

IF NOT REGISTERED
  GST on inputs is a COST. You lose               (73,220)
  Compliance cost                                        0
  Net position                                    (73,220)

IF VOLUNTARILY REGISTERED
  ITC claimable and refundable                      73,220
  Less: CA retainer for GST, ₹1,500 x 12          (18,000)
  Less: your time, ~2 hrs/month                   (not costed)
  Less: working capital held 6-10 weeks            (~2,000)
  Net position                                     +53,220

DIFFERENCE                                        1,26,440 in
favour of registering — on receipts of only ₹16 lakh.

TIPPING POINT
  Registration pays when annual GST-bearing inputs exceed
  roughly ₹1,30,000 (which embeds ~₹19,800 of GST) — i.e.
  roughly the point where recovered ITC beats the ₹18,000
  compliance retainer. For almost any consultant with a
  co-working desk and a cloud bill, that is immediately.

CAVEAT: once registered you cannot stop filing. Nil returns
are still returns, and late fees (₹20/day for nil, ₹50/day
otherwise, per return, per Act) accrue relentlessly. Verify
current late-fee rates at gst.gov.in.
```

GST on services you RECEIVE from abroad — reverse charge

This catches people who think "I only export, GST does not apply to me". Under **Section 5(3) of the IGST Act** read with Notification 10/2017-Integrated Tax (Rate), the **import of services** by a person in India for business purposes attracts IGST under **reverse charge** — the recipient pays. Your AWS invoice from AWS India carries GST normally; your Anthropic, OpenAI, Figma, Notion or Vercel invoice billed from a foreign entity may be an import of service on which **you** owe IGST at 18%.

Situation	GST consequence
You are GST-registered and import services for business	Pay IGST @18% under reverse charge in GSTR-3B Table 3.1(d), then claim it as ITC in the same return (Table 4A(2)) if otherwise eligible. Usually cash-neutral but it must be **reported**.
You are **not** GST-registered and import services for business	Section 24(iii) requires compulsory registration for persons required to pay tax under reverse charge. This is a real and frequently overlooked trigger. **Discuss with your CA.**
Vendor has registered in India and charges you GST on the invoice	Normal forward charge; claim ITC. Check the invoice for an Indian GSTIN.
OIDAR services supplied to a non-taxable online recipient	The foreign supplier is required to register and pay; different regime. Applies to individuals buying for personal use.

✕ **Reverse charge on imported services is the most commonly missed GST obligation among consultants**
A ₹40,000 monthly spend on foreign-billed AI APIs, design tools and infrastructure is ₹4.8 lakh a year of imported services carrying ₹86,400 of reverse-charge IGST that must be declared. If you are registered, declare and claim it — net zero but compliant. If you are not registered, Section 24(iii) may force registration. **Get a specific opinion from your CA on each vendor; the place-of-supply and OIDAR analysis is vendor-specific.**

Invoicing an Overseas Client

An export invoice has more mandatory content than a domestic one, and the details matter because three different parties will scrutinise it: your client's accounts payable, your bank's trade desk, and potentially a GST officer processing your refund. Get the template right once and never think about it again.

⚠ **Invoice content requirements are as at early 2026**
Mandatory particulars are prescribed by **Rule 46** of the CGST Rules 2017, with the export-specific endorsement under the proviso to Rule 46. Exchange-rate rules are in **Rule 34**. E-invoicing applicability thresholds under **Rule 48(4)** change by notification. **Verify on gst.gov.in / cbic.gov.in.**

Mandatory fields on a GST export invoice

Field	Requirement	Notes for exporters
Name, address, GSTIN of supplier	Mandatory	Exactly as on your REG-06 certificate
Consecutive serial number	Mandatory; unique for a financial year; max 16 characters; alphanumeric with "-" and "/" only	Use a separate series for exports, e.g. `EXP/25-26/001`
Date of issue	Mandatory	Drives the exchange rate and the three-month LUT condition
Name and address of recipient	Mandatory	The **legal entity name** exactly as on the contract, with full foreign address
Address of delivery with country name	Mandatory for exports	State the country explicitly — "United States of America", not "USA, CA"
Endorsement	Mandatory for exports — one of two prescribed legends	"**SUPPLY MEANT FOR EXPORT OF SERVICES UNDER LETTER OF UNDERTAKING WITHOUT PAYMENT OF INTEGRATED TAX**" or "...ON PAYMENT OF INTEGRATED TAX"
HSN/SAC code	Mandatory	Services use **SAC**. Common: **998313** information technology consulting and support services; **998314** IT design and development services; **998315** hosting and IT infrastructure provisioning; **998316** IT infrastructure and network management; **998311** management consulting. **Verify your SAC and its rate.**
Description of services	Mandatory	Be specific enough that a bank officer understands the purpose code. "Professional services" is too thin.
Quantity/unit where applicable	Mandatory where applicable	Hours, days, or "1 lot" for a milestone
Total value and taxable value	Mandatory	In the foreign currency, and optionally the INR equivalent

Rate and amount of tax	Mandatory	Under LUT, show **IGST 0%** and amount **NIL** — do not simply omit the tax row
Place of supply with state/country	Mandatory for inter-state	State the recipient's country; many templates wrongly show an Indian state
Whether tax is payable on reverse charge	Mandatory	"No"
Signature / digital signature	Mandatory	A scanned signature image is accepted in practice; a DSC is cleaner

A full worked export invoice

TEXT

TAX INVOICE (EXPORT OF SERVICES)

SUPPLY MEANT FOR EXPORT OF SERVICES UNDER LETTER OF UNDERTAKING WITHOUT PAYMENT OF INTEGRATED TAX
(LUT ARN: AD290325001234X, FY 2025-26, dated 22-Mar-2025)

SUPPLIER
Ananya Rao (Proprietor), trading as RAO SYSTEMS
No. 14, 2nd Floor, 5th Cross, Indiranagar
Bengaluru 560038, Karnataka, India
GSTIN : 29ABCDE1234F1Z5
PAN : ABCDE1234F
Udyam : UDYAM-KR-03-0123456
Email : ananya@raosystems.in Phone: +91 98450 00000

RECIPIENT (BILL TO AND SHIP TO)
Northwind Analytics, Inc.
Attn: Accounts Payable
1200 Market Street, Suite 400
San Francisco, CA 94102
UNITED STATES OF AMERICA
Client reference / PO : PO-2026-0147

INVOICE DETAILS
Invoice number : EXP/25-26/0031
Invoice date : 05-Feb-2026
Period covered : 01-Jan-2026 to 31-Jan-2026
Currency : USD
Payment terms : Net 15 days from invoice date
Due date : 20-Feb-2026
Place of supply : United States of America (outside India)
Reverse charge : No
Whether export : Yes - Export of Services

#	DESCRIPTION OF SERVICES	SAC	QTY	RATE	AMOUNT
1	Senior AI engineering consultancy - design and implementation of the retrieval-augmented generation pipeline, evaluation harness and production deployment on AWS (Jan 2026, per timesheet attached)	998313	96.0 hours	USD 110	USD 10,560.00
2	Architecture review and written recommendation report - data	998311	1.0 lot	USD 2,400	USD 2,400.00

platform migration readiness

Taxable value	USD	12,960.00
IGST @ 0%	USD	0.00
TOTAL DUE	USD	12,960.00

Amount in words: US Dollars Twelve Thousand Nine Hundred and Sixty Only.

INR equivalent for GST reporting purposes (Rule 34, CGST Rules):

- Exchange rate : 1 USD = INR 88.2150
- Rate source : CBIC notified rate / RBI reference rate applicable on 05-Feb-2026
- INR value : INR 11,43,266.40

REMITTANCE INSTRUCTIONS – PLEASE PAY BY SWIFT WIRE

- Beneficiary name : Ananya Rao
- Beneficiary address : No. 14, 2nd Floor, 5th Cross, Indiranagar, Bengaluru 560038, India
- Bank name : HDFC Bank Limited
- Branch : Indiranagar, Bengaluru
- Account number : 50200012345678
- Account type : Current
- IFSC : HDFC0000123
- SWIFT / BIC : HDFCINBBXXX
- Intermediary bank : (as advised by your bank for USD)
- Purpose code : P0802 – Software consultancy and implementation services
- Charges : Please remit under "OUR" – all correspondent charges to remitter, so that the full invoice value is credited to the beneficiary

NOTES

1. This is an export of services under Section 2(6) of the IGST Act, 2017. The supply is zero-rated under Section 16 of the IGST Act, 2017 and is made under a Letter of Undertaking without payment of integrated tax.
2. No withholding tax should be deducted. Services are performed entirely in India by a resident of India with no permanent establishment or fixed base in the United States. A signed Form W-8BEN is on file with you.
3. Payment received after the due date carries interest at 1.5% per month, per clause 6.4 of the Master Services Agreement dated 12-Nov-2025.

Declaration: We declare that this invoice shows the actual price of the services described and that all particulars are true and correct.

```
For RAO SYSTEMS

(signature)
Ananya Rao
Proprietor
═══════════════════════════════════════════════════════════
```

Exchange rate — three different numbers, three different purposes

Purpose	Rate to use	Source	Why it matters
GST valuation (Rule 34, CGST Rules 2017)	The rate of exchange **notified by CBIC under Section 14 of the Customs Act 1962**, or the rate determined under generally accepted accounting principles, **as at the time of supply**	cbic.gov.in exchange rate notifications	This is the figure that goes in GSTR-1 Table 6A. Using your bank's rate creates a mismatch.
Income-tax / books (Rule 115, Income-tax Rules 1962, and AS-11 / Ind AS 21)	Rate on the transaction date for recognition; restate monetary items at the closing rate; exchange differences go to P&L	RBI reference rate or your bank's card rate, applied consistently	The difference between invoice-date rate and realisation-date rate is a taxable/deductible **exchange gain or loss**, not part of professional receipts
What you actually receive	Your bank's or provider's conversion rate on the value date, net of spread and charges	Bank advice / FIRA	This is the cash. It is almost always 0.5%–2.5% worse than the mid-market rate.

TEXT

```
WORKED — THE THREE RATES ON ONE INVOICE

Invoice            USD 12,960.00 dated 05-Feb-2026
Payment received   03-Mar-2026

  CBIC notified rate 05-Feb-2026     88.2150
     GST value reported in GSTR-1    11,43,266.40

  RBI reference rate 05-Feb-2026     88.1800
     Revenue recognised in books     11,42,812.80

  Bank credit on 03-Mar-2026
     Mid-market on value date        88.5600
     Bank card rate applied          87.9200  (0.72% spread)
     Gross INR at bank rate          11,39,443.20
     Less: SWIFT/handling charge        (1,500.00)
     Less: GST on bank charge @18%       (270.00)
     Less: correspondent deduction
           (client remitted "SHA")       (2,215.00)
     NET CREDITED TO ACCOUNT         11,35,458.20

ACCOUNTING
  Revenue                            11,42,812.80
  Exchange loss (realisation vs
     recognition)                        (3,369.60)
  Bank charges (deductible expense)      (1,770.00)
  Correspondent deduction
     (deductible expense)                (2,215.00)
  Net cash                           11,35,458.20

LESSON: the USD 12,960 invoice delivered ₹11.35 lakh, not the
₹11.43 lakh you reported for GST. Both figures are correct for
their own purpose. Reconcile monthly or your books will not
tie to your bank, and your GST refund formula will be wrong.
```

Invoice numbering, credit notes and corrections

- [ ] **One unbroken series per financial year.** Rule 46 requires a consecutive serial number unique for a financial year. Gaps invite questions; duplicates are worse.
- [ ] Separate prefixes for separate streams: `EXP/25-26/nnn` for exports, `DOM/25-26/nnn` for domestic, `CN/25-26/nnn` for credit notes. Each series must itself be consecutive.
- [ ] **Never delete or renumber an issued invoice.** If an invoice was wrong, issue a **credit note** (Section 34, CGST Act) referencing the original invoice number and date, then issue a fresh invoice.

- [ ] Credit notes reducing tax liability must be declared in GSTR-1 by the **30 November** following the end of the financial year, or the date of filing the annual return, whichever is earlier. Beyond that, you may still issue a commercial credit note but cannot reduce your output tax. **Verify the current cut-off.**
- [ ] For export invoices under LUT where tax is nil, a credit note has no tax effect but still corrects the reported turnover in Table 6A — which matters for your refund formula.
- [ ] Keep a **register**: invoice number, date, client, currency, amount, INR at CBIC rate, due date, date paid, INR received, FIRA reference, SOFTEX reference. One spreadsheet. It answers every question anyone will ever ask you.

A domestic invoice, for comparison

TEXT

TAX INVOICE

SUPPLIER Ananya Rao, trading as RAO SYSTEMS
Bengaluru 560038, Karnataka
GSTIN 29ABCDE1234F1Z5 PAN ABCDE1234F
State: Karnataka State code: 29

RECIPIENT Kaveri Logistics Private Limited
Prestige Tech Park, Outer Ring Road
Bengaluru 560103, Karnataka
GSTIN 29PQRST5678G1Z2
State: Karnataka State code: 29

Invoice no. DOM/25-26/0012 Date 05-Feb-2026
Place of supply: Karnataka (29) Reverse charge: No
Payment terms: Net 30 Due: 07-Mar-2026

#	DESCRIPTION	SAC	AMOUNT (INR)
1	Data platform assessment and roadmap - fixed fee, milestone 1	998311	4,00,000.00

Taxable value	4,00,000.00
CGST @ 9%	36,000.00
SGST @ 9%	36,000.00
IGST	NIL
INVOICE TOTAL	4,72,000.00

Amount in words: Rupees Four Lakh Seventy Two Thousand Only.

TDS NOTE FOR THE CUSTOMER
Tax is deductible at source under Section 194J of the Income-tax Act, 1961 at 10% on the TAXABLE VALUE of ₹4,00,000 (i.e. ₹40,000), not on the GST-inclusive total. Please remit ₹4,32,000 and issue Form 16A for ₹40,000. (CBDT Circular 23/2017 - no TDS on the GST component where it is shown separately. VERIFY current position.)

MSME DECLARATION
The supplier is registered as a MICRO enterprise under the MSMED Act, 2006 (Udyam UDYAM-KR-03-0123456). Payment is due within 45 days under Section 15; interest under Section 16 applies thereafter and is not an allowable deduction to the buyer. Section 43B(h) of the Income-tax Act, 1961 may disallow the expense if unpaid within the statutory period.

```
BANK DETAILS
  Ananya Rao / HDFC Bank / A/c 50200012345678 / HDFC0000123
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KEY DIFFERENCES FROM THE EXPORT INVOICE
  1. Tax is actually charged. Intra-state: CGST + SGST.
     Inter-state (client in another state): IGST @18%.
  2. Place of supply is an Indian state with its code.
  3. No LUT endorsement, no purpose code, no W-8BEN note.
  4. TDS will be deducted — your cash is 10% short on day one
     and you recover it through your ITR.
  5. The MSME declaration gives you statutory leverage.
  6. E-invoicing (IRN from the Invoice Registration Portal)
     applies above the notified aggregate-turnover threshold.
     VERIFY the current threshold at einvoice.gst.gov.in —
     it has been reduced several times.
```

✦ **Put the TDS note on every domestic invoice**

Indian clients routinely deduct 10% TDS on the GST-inclusive amount instead of the taxable value, short-paying you by the TDS on the GST. Recovering it requires a correction to their TDS return, which they will not prioritise. One paragraph on the invoice prevents it.

Getting Paid From Abroad

The difference between the best and worst payment rail on a US$5,000 (₹4,40,000) invoice is roughly ₹12,000–₹18,000 — about 3–4% — and over a ₹1 crore year that is a ₹3 lakh decision made once. It is also a compliance decision: some rails produce clean FIRA documentation that your bank and the GST department will accept, and some do not.

⚠ **Fees and limits below are indicative as at early 2026**

Provider fee schedules, RBI permissions and bank charges change frequently. Every number here is an illustration of structure, not a quotation. **Check the provider's current public fee schedule and your own bank's trade tariff before choosing.** RBI rules on cross-border payments are in the FEMA Master Directions at **rbi.org.in**.

The rails, compared

Rail	Typical total cost on US$5,000	Speed	FX basis	Documentation produced	R p
SWIFT wire direct to your Indian current account	US$15–45 sender fee + correspondent deductions ₹0–₹2,500 + bank FX spread 0.5%–2.0% = **₹5,000–₹12,500**	1–3 business days	Bank card rate; negotiable above ~US$10,000 per wire	**FIRA / inward remittance advice from your AD bank** — the gold standard	Cl in re re ac pu
Wise (Business)	Fee ~0.4%–0.7% of amount + mid-market FX = **₹2,000–₹3,500**	Hours to 2 days	**Mid-market rate** — the main advantage	Wise provides a transaction confirmation and, for INR payouts, an **FIRA** is generally obtainable through their partner bank — confirm before relying on it	O th re pa pa In ar cc
Payoneer	Receiving account fee 0%–1% + withdrawal FX ~2% = **₹8,000–₹11,000**	1–3 days	Mark-up over mid-market, typically ~2%	Payment details and a transaction report; FIRA availability varies	W fu th lo
PayPal	Cross-border receiving fee ~4.4% + fixed fee + FX spread ~3%–4% = **₹22,000–₹30,000**	Minutes to receive; 1–3 days to withdraw	Heavy mark-up	Generates an FIRC-equivalent through their Indian partner for eligible transactions	Pe th O fr cc pe lir

Deel / Remote / Oyster (contractor-of-record)	Client pays the platform fee (US$29–79/month typically); your withdrawal FX 1%–2% = **₹4,500–₹9,000**	1–3 days after client funds	Platform rate, usually ~1% over mid-market	Platform invoice and payment report; FIRA availability varies — **ask before you sign**	Fu ar re cc cc m pl af "r lo In
Upwork / Toptal / Contra and similar marketplaces	Platform commission 5%–20% + withdrawal fee + FX = **₹25,000–₹60,000**	Platform escrow release cycle, often 5–14 days	Platform rate	Platform statements; some provide FIRC through partners	Fi pl th pa
Stripe / direct card collection	~2.9%–4.3% + cross-border and currency conversion fees = **₹16,000–₹24,000**	Settlement T+2 to T+7	Provider rate	Settlement reports; FIRA through the acquiring bank arrangement	Su pr of re ar si cc in
Crypto (USDT/USDC)	Network fee negligible + off-ramp spread 1%–3% + **30% tax under Section 115BBH** on any gain + **1% TDS under Section 194S**	Minutes	Exchange rate on the off-ramp	**None that satisfies "payment received in convertible foreign exchange"**	**Se pr** be

Why accepting crypto for consulting is a bad idea in India

(1) GST: Section 2(6)(iv) of the IGST Act requires payment "in convertible foreign exchange, or in Indian rupees wherever permitted by the Reserve Bank of India". A stablecoin transfer is neither. Your supply may therefore fail the export test and become a taxable domestic supply at 18%, payable by you out of your own pocket. **(2) FEMA:** there is no FIRA, no purpose code, no EDPMS entry and no realisation of export proceeds through an authorised dealer — which is the mechanism FEMA actually requires for export receipts. **(3) Income tax:** virtual digital assets are taxed under Section 115BBH at a flat 30% on gains with no deduction except cost of acquisition and no set-off of losses, plus 1% TDS under Section 194S on transfer. **(4) Banking:** explaining a large exchange off-ramp credit to your bank's compliance team is an unpleasant recurring conversation. If a client can only pay in crypto, treat that as information about the client. **Verify the current legal and tax treatment of VDAs at incometax.gov.in and rbi.org.in — this area changes.**

The real total cost on a US$5,000 invoice, line by line

TEXT

```
ASSUMPTION: mid-market rate on the day = ₹88.00 / US$
            "Ideal" INR if there were no costs = ₹4,40,000

_____________________________________________________________

RAIL 1 — SWIFT WIRE, CLIENT PAYS "OUR" (ALL CHARGES THEIRS)
_____________________________________________________________

  Gross received by your bank            US$ 5,000.00
  Correspondent deductions                        0.00  (OUR)
  Bank conversion rate                           87.34    (0.75% spread)
  INR credited gross                     ₹4,36,700.00
  Inward remittance handling charge         (1,000.00)
  GST on that charge @18%                     (180.00)
  SWIFT/FIRA issuance charge (if asked)       (500.00)
  GST on that @18%                             (90.00)
  ___________________________________________________
  NET CREDITED                           ₹4,34,930.00
  TOTAL COST vs IDEAL                       ₹5,070.00   (1.15%)

_____________________________________________________________

RAIL 2 — SWIFT WIRE, CLIENT PAYS "SHA" (SHARED — THE DEFAULT)
_____________________________________________________________

  Client sends                           US$ 5,000.00
  Correspondent bank 1 deduction              (20.00)
  Correspondent bank 2 deduction              (15.00)
  Received by your bank                  US$ 4,965.00
  Bank conversion rate                           87.34
  INR credited gross                     ₹4,33,643.10
  Handling + GST                            (1,180.00)
  ___________________________________________________
  NET CREDITED                           ₹4,32,463.10
  TOTAL COST vs IDEAL                       ₹7,536.90   (1.71%)

_____________________________________________________________

RAIL 3 — WISE BUSINESS, USD → INR
_____________________________________________________________

  Client sends                           US$ 5,000.00
  Wise fee (~0.52% for USD→INR)               (26.00)
  Converted at MID-MARKET                        88.00
  INR received                           ₹4,37,712.00
  Bank credit charges                             0.00
  ___________________________________________________
  NET CREDITED                           ₹4,37,712.00
  TOTAL COST vs IDEAL                       ₹2,288.00   (0.52%)

_____________________________________________________________

RAIL 4 — PAYONEER
_____________________________________________________________

  Client sends to your USD receiving a/c US$ 5,000.00
```

```
  Receiving fee (local transfer)                0.00
  Withdrawal to Indian bank, FX at ~2%
     over mid-market:  86.24                   86.24
  INR credited                               ₹4,31,200.00
  ──────────────────────────────────────────────────────
  NET CREDITED                               ₹4,31,200.00
  TOTAL COST vs IDEAL                           ₹8,800.00   (2.00%)


──────────────────────────────────────────────────────────────────
RAIL 5 — PAYPAL
──────────────────────────────────────────────────────────────────

  Client sends                               US$ 5,000.00
  PayPal cross-border receiving fee
     ~4.4% + US$0.30                          (220.30)
  Balance                                    US$ 4,779.70
  Conversion at ~3.5% below mid-market
     effective rate 84.92                      84.92
  INR credited                               ₹4,05,891.96
  ──────────────────────────────────────────────────────
  NET CREDITED                               ₹4,05,891.96
  TOTAL COST vs IDEAL                          ₹34,108.04   (7.75%)


──────────────────────────────────────────────────────────────────
SUMMARY — WHAT YOU KEEP FROM A US$5,000 INVOICE
   Wise                 ₹4,37,712   best
   SWIFT "OUR"          ₹4,34,930
   SWIFT "SHA"          ₹4,32,463
   Payoneer             ₹4,31,200
   PayPal               ₹4,05,892   worst — ₹31,820 behind Wise

   On ₹1 crore of annual billing, choosing PayPal over Wise
   costs roughly ₹7.2 lakh a year. This is the highest-ROI
   twenty minutes of admin available to you.
```

OUR / SHA / BEN — the three-letter code that costs you money

Code	Who pays what	Effect on you	What to put in the contract
OUR	The remitter pays all charges, including every correspondent bank in the chain	You receive the **full invoice amount** in the sending currency. Your own bank's inward charges still apply.	"All bank charges, including correspondent and intermediary bank charges, shall be borne by the Client (remittance to be made on an 'OUR' basis) such that the full invoiced amount is credited to the Consultant."
SHA (default)	Remitter pays their own bank's fee; correspondent and beneficiary charges come out of the transfer	You lose US$15–45 per wire, unpredictably, deducted mid-chain	Acceptable if you gross up your rate, but prefer OUR
BEN	Beneficiary pays everything, deducted from the transfer	Worst case for you. Refuse.	Never agree to BEN

✦ **If the client will not do OUR**

Add a flat "bank charges" line of US$40 to each invoice, or raise your rate by 0.5%. Do not argue about US$35 with a client who is paying you US$13,000 — just price it in. What you must **not** do is absorb it silently on 40 invoices a year.

Choosing your primary rail — a decision rule

1. **Invoices above US$10,000**

   Use a direct SWIFT wire and negotiate the FX rate with your bank's treasury desk. Above roughly US$10,000 per wire, most Indian banks will improve the card rate by 15–40 paise if you call before the conversion. That is ₹1,500–₹4,000 per wire for one phone call.

2. **Invoices US$1,000–US$10,000**

   Wise Business is usually cheapest and fastest, with mid-market FX. Confirm FIRA availability with Wise and with your CA before you make it your only rail.

3. **Invoices below US$1,000**

Wise or Payoneer. Do not use SWIFT — the fixed charges dominate.

4 **Clients who insist on their own platform**
Deel, Remote, Upwork. Accept it, read who the contracting party is, and check how you will evidence receipt in convertible foreign exchange.

5 **Always**
Run two rails. Platforms freeze accounts, banks have compliance queries, and a single point of failure in your cash collection is a business risk, not an inconvenience.

⚠ **FIRA availability is the deciding factor if you are GST-registered**
To claim a GST refund on zero-rated exports you must evidence receipt of payment in convertible foreign exchange. The clean evidence is a bank **Foreign Inward Remittance Advice/Certificate** naming the foreign currency, the remitter and the purpose code. Before you move all your billing onto any platform, get written confirmation of what documentation they will issue and show it to your CA. A 0.5% fee saving is worthless if it costs you a ₹1.5 lakh refund.

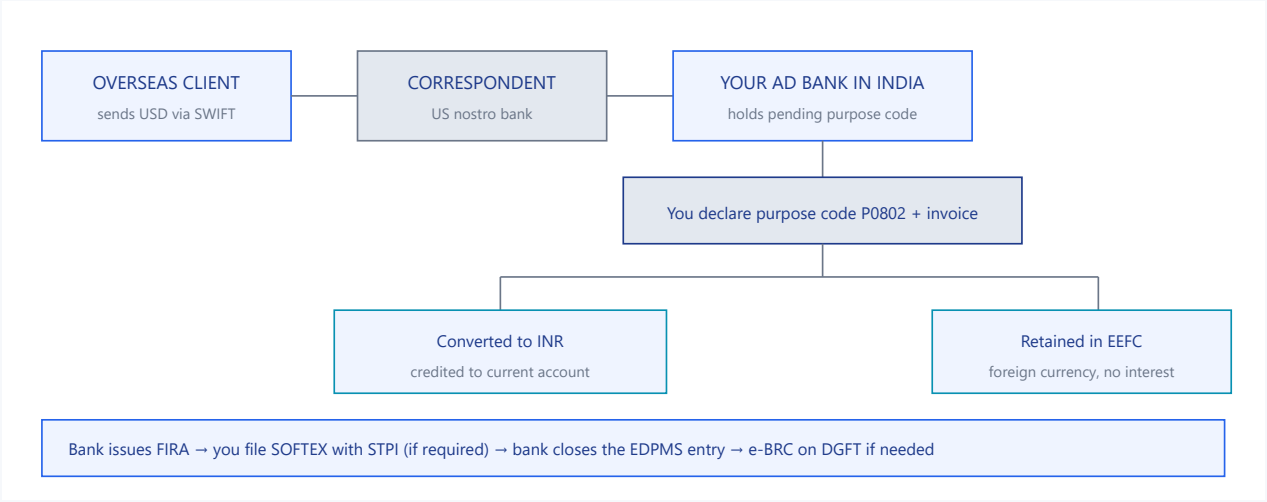
RBI and FEMA Compliance for Inward Remittance

Every dollar that enters India does so under the Foreign Exchange Management Act 1999, through an Authorised Dealer bank, against a purpose code, and — for software exports — with an export declaration trail. You will not be sent to jail for getting this wrong. You will, however, have remittances held, EDPMS entries left open, periodic nagging letters from your bank, and potentially a problem with your GST refund. Do it properly from the first invoice.

⚠ **FEMA positions change by Master Direction amendment, not by statute**
The governing instruments are the **Foreign Exchange Management Act 1999**, the **Foreign Exchange Management (Export of Goods and Services) Regulations**, and the RBI's consolidated **Master Direction on Export of Goods and Services**, all at **rbi.org.in**. Purpose codes are published by the RBI for balance-of-payments reporting. Realisation periods, SOFTEX thresholds and EEFC rules have all been amended multiple times. **Verify everything in this section against the current Master Direction.**

The flow of one export receipt

Invoice issued → **Client wires USD** → **AD bank receives** → **Purpose code declared** → **INR credited / EEFC** → **FIRA issued** → **SOFTEX filed** → **EDPMS entry closed**



One export receipt, end to end. The documentation trail matters more than the money movement.

Purpose codes a software consultant actually uses

Code	Description	Use it when
P0802	Software consultancy / implementation services	**The default for most consultants.** Development, implementation, integration, AI/ML engineering engagements.
P0807	Off-site software exports (software developed in India and exported)	Pure offshore development delivered electronically. Some banks prefer this for product-style software exports.
P0801	Hardware consultancy	Infrastructure/hardware architecture advisory
P0803	Database and data processing charges	Managed data services, data processing performed for a foreign client
P0804	Repair and maintenance of computers and software	Support and maintenance retainers
P0806	Other information services (news, subscriptions)	Rarely
P1006	Business and management consultancy, PR services	Strategy, process or management advisory with no software deliverable
P0301 / P0302	Technical, trade-related and other business services	Where the bank directs; some banks route engineering services here
Avoid	P1301 / P1302 (personal gifts, family maintenance)	**Never** use a personal-transfer code for business receipts. It breaks the export trail, invalidates the GST export evidence, and is a misdeclaration under FEMA.

✕ **Clients sometimes mark your invoice payment as a "gift" or "family support" to avoid their own compliance**

This happens with small foreign clients and with Indian-origin founders abroad. Refuse it. A receipt under a personal purpose code is not an export receipt. You cannot zero-rate against it, you cannot refund ITC against it, and you have a declared position on record that contradicts your tax return. **Verify the correct code with your AD bank's trade desk and put it on your invoice.**

FIRC, FIRA, e-BRC and the inward remittance advice

Document	Issued by	What it proves	When you need it	Cost
Inward Remittance Advice / Certificate (FIRA)	Your AD bank	That a specific amount in a specific foreign currency was received from a named remitter on a date, under a stated purpose code	**Every GST refund claim.** Also for Softex, for client disputes, and for income-tax substantiation	Often free in the statement/advice form; ₹200–₹750 per certificate if requested formally, plus GST
FIRC (Foreign Inward Remittance Certificate)	Historically AD banks; now largely replaced for most purposes by the advice/FIRA, with FIRC issuance restricted in some contexts	Same facts, in the older certificate format	Where a specific authority insists on the FIRC form	Similar
e-BRC (electronic Bank Realisation Certificate)	Generated on **dgft.gov.in**, based on data uploaded by your bank — or self-certified under the revised e-BRC framework	That export proceeds against a specific export declaration were realised	FTP scheme claims, some government tenders, occasionally for closing EDPMS	Free; requires an IEC
SOFTEX (certified)	STPI (non-STPI unit) or SEZ Development Commissioner	Declaration of software export value	Where your AD bank requires it to close the EDPMS entry	STPI annual service charges, slab-based on export value
SWIFT MT103	The remitting bank	The payment instruction details, including charge type and	Tracing a missing or short-paid wire	Ask your client to request it from their bank; usually free

		intermediary deductions		

TEXT

EMAIL TO YOUR BANK'S TRADE DESK — SET THIS UP ONCE

Subject: Standing instructions for inward remittances —
A/c 50200012345678 — export of software services

Dear Trade Services team,

I am a resident individual exporting software consultancy services. Please record the following standing preferences for inward remittances to my current account:

1. PURPOSE CODE
   All inward remittances from my overseas clients are consideration for export of software consultancy and implementation services. Please apply purpose code P0802 unless I advise otherwise for a specific credit. I will email the corresponding commercial invoice for each credit on the day it is advised.

2. FX RATE
   For credits of USD 10,000 and above, please contact me on +91 98450 00000 BEFORE conversion so I can take a treasury rate rather than the card rate.

3. EEFC
   Please confirm whether I am eligible to open an EEFC account in USD, the documentation required, and the rules on crystallisation of balances.

4. DOCUMENTATION
   Please confirm:
   (a) Will you issue a Foreign Inward Remittance Advice (FIRA) for each credit automatically, or must I request it? What is the charge?
   (b) At what value, if any, will you require certified SOFTEX from STPI before releasing funds or closing the EDPMS entry?
   (c) Do you require an IEC for service exports under purpose code P0802?
   (d) What is the current realisation period applicable to my exports under the RBI Master Direction, and how do I apply for an extension if a client pays late?

Please reply in writing so I can hold your confirmation on file.

```
Regards,
Ananya Rao
```

✦ **That single email solves 80% of the FEMA questions consultants ask online**
Practice is bank-specific and even branch-specific. The written answer from your own AD bank is worth more than any general guidance, including this guide. Get it, save it, and re-confirm annually.

EEFC accounts — how they work and when they pay off

Feature	Position
What it is	An **Exchange Earners' Foreign Currency** account — a current account denominated in a permitted foreign currency, held with an AD bank in India, into which eligible foreign exchange earnings may be credited
Who may hold one	Persons resident in India who earn foreign exchange — including individual professionals and exporters
How much may be credited	Up to **100%** of eligible foreign exchange earnings, subject to the current Master Direction. **Verify the current percentage.**
Interest	**None.** It is a non-interest-bearing current account. This is the main cost.
Crystallisation	Balances are required to be converted into rupees on or before the last day of the **month succeeding** the month of credit, after adjusting for forward commitments and permitted outgo. **Verify the current rule — this has been amended.**
What you may pay out of it	Permitted current and capital account transactions — foreign vendor payments, travel, subscriptions billed abroad, professional fees to overseas advisers, conference fees
Cheque facility	Generally not available; operated through transfers

TEXT

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DOES AN EEFC PAY OFF? A WORKED TEST

You receive US$ 150,000 a year.
You SPEND US$ 28,000 a year abroad:
   AWS (billed USD)                  US$ 11,000
   OpenAI/Anthropic API              US$  7,200
   SaaS tools billed in USD          US$  3,600
   Overseas conference + travel      US$  4,200
   Foreign legal/accounting advice   US$  2,000

WITHOUT EEFC
  Convert US$150,000 → INR at 0.75% spread
     spread cost                        US$ 1,125
  Then buy back US$28,000 for payments
     at ~1.5% outward spread + fees
     spread cost                        US$   420
     outward remittance fees
     (approx ₹600 x 24 payments)        US$   164
  TOTAL FX FRICTION                     US$ 1,709  (₹1,50,392)

WITH EEFC
  Keep US$28,000 in EEFC, pay vendors directly in USD
     no conversion on that portion         US$   0
  Convert only US$122,000 at 0.75%         US$ 915
  EEFC outward transfer charges
     (approx ₹250 x 24)                    US$  68
  Interest foregone on the EEFC float:
     average balance ~US$4,500 for a year,
     at 6.5% INR equivalent                US$  293
  TOTAL FRICTION                           US$ 1,276  (₹1,12,288)

NET SAVING                                 US$   433  (₹38,104)

VERDICT: an EEFC pays off when you have MEANINGFUL and
REGULAR foreign-currency OUTGO. If you spend under about
US$10,000 a year abroad, the admin and the crystallisation
discipline are not worth the saving. If you spend
US$25,000+ abroad, open one.

ALWAYS VERIFY the current crediting percentage and the
crystallisation rule at rbi.org.in before relying on this.
```

Realisation, EDPMS and what happens when a client pays late

1 **The obligation**

Section 7 of FEMA 1999 and the Export Regulations require an exporter to furnish a declaration and to realise and repatriate the full export value within the prescribed period. For software exports, this operates through SOFTEX and EDPMS.

2 **The period**

Commonly stated as **nine months** from the date of export for non-SEZ exporters, having been varied by the RBI from time to time. **Verify the period currently in force at rbi.org.in.**

3 **What an open entry looks like**

Your AD bank's EDPMS shows an export declaration with no matching realisation. The bank sends you a reminder, then a stronger reminder, then escalates. Repeated open entries can affect your ability to transact.

4 **Extension**

AD banks are empowered to extend the realisation period in defined circumstances on written application, supported by evidence — the client's email confirming a revised payment date, a dispute note, a restructured payment plan. Apply **before** the period expires, not after.

5 **Write-off**

Where the amount is genuinely unrecoverable, the Regulations and Master Direction permit self-write-off up to specified percentages of the previous year's export realisations, and bank-approved write-off beyond that, subject to conditions and evidence of recovery efforts. **Verify the current limits and conditions.**

6 **Short realisation**

Where the client deducts bank charges or a disputed amount, your realisation will be less than the declared export value. Document the reason and ask your bank how to reconcile the EDPMS entry — most banks accept a reconciliation statement with the MT103 showing correspondent deductions.

✕ **Contraventions of FEMA are compoundable, not criminal — but they are not free**

Section 13 of FEMA 1999 provides for a penalty of up to **three times the sum involved** where the amount is quantifiable. In practice, genuine delays by a consultant with documentation are resolved administratively through the AD bank, and the RBI's compounding mechanism exists for real contraventions. The practical risk is not prosecution; it is a bank relationship that becomes difficult, remittances that get held for days, and a problem you have to explain during any future due diligence. Keep the paper trail.

Your FEMA document set per invoice

- ☐ The commercial export invoice with the purpose code printed on it
- ☐ The contract or SOW that the invoice is raised under
- ☐ The bank's inward remittance advice or FIRA showing currency, amount, remitter and purpose code
- ☐ The SWIFT MT103 if there were correspondent deductions, so you can reconcile the short credit
- ☐ Certified SOFTEX, where your bank requires it, with the STPI acknowledgement
- ☐ Your invoice register row updated with date paid, INR received and FIRA reference
- ☐ A screenshot or statement line showing the credit in your account on the value date

Double Taxation and Foreign Withholding

The single most common question an Indian consultant receives from a new US client is "we need a W-9 for tax" — which is the wrong form, because you are not a US person. The second is "our finance team says we have to withhold 30%" — which is usually wrong too. Knowing precisely why, and having the right form ready, is worth thousands of dollars per engagement and makes you look like a professional rather than a hobbyist.

⚠ **Treaty positions and forms as at early 2026**
The India–US Double Taxation Avoidance Agreement, Form W-8BEN/W-8BEN-E and the US withholding rules under Chapter 3 of the Internal Revenue Code are foreign law. The Indian-side mechanics — Tax Residency Certificate under Section 90(4), Form 10F, foreign tax credit under Rule 128 and Form 67 — are at **incometax.gov.in**. **Verify both sides. For any engagement above a few lakh rupees, pay a cross-border tax adviser for an hour of their time.**

How a DTAA actually works

1. **Two countries both claim the right to tax the same income.**
   India taxes you because you are resident here (Section 5, worldwide income). The US may claim a right because the income has a US source.
2. **The treaty allocates the right.**

Under Section 90(2) of the Income-tax Act, you may choose the more beneficial of the Act or the treaty. The treaty's distributive articles decide who taxes what.

3 **For business profits (Article 7), the source state may tax only if there is a Permanent Establishment there.**
A consultant in Bengaluru with no US office, no US employees, no dependent agent and no fixed place of business in the US has no US PE. The US therefore has no right to tax the business profits.

4 **For independent personal services (Article 15 of the India–US treaty), the source state may tax only if there is a fixed base regularly available, or presence exceeding the specified number of days.**
Again, not you.

5 **The trap is Article 12 — Royalties and Fees for Included Services.**
If your service is "fees for included services", the US may tax it at a reduced treaty rate even without a PE. The definition requires that the service either is ancillary to the application of a right/property for which a royalty is paid, or
"makes available" technical knowledge, experience, skill, know-how or processes
, or consists of the development and transfer of a technical plan or design.

6 **Where tax is nevertheless withheld, India gives credit.**
Article 25 (relief from double taxation) plus Section 90/91 read with Rule 128 and Form 67.

i **The "make available" test is the one to understand**
Routine software development, running a pipeline, maintaining infrastructure or delivering a report does **not** normally "make available" technical knowledge — the client cannot independently apply the technology after you leave. Training the client's engineers so they can thereafter perform the service themselves, or transferring a technical plan or design, may. The distinction is fact-specific and has produced a large body of Indian case law on inbound payments. For **outbound** services from India to the US, the practical outcome is that most consulting engagements are Article 7/15 business or professional income taxable only in India. **Take advice for your specific deliverables.**

W-8BEN versus W-8BEN-E

	Form W-8BEN	Form W-8BEN-E
Who files	A non-US **individual** beneficial owner — you, as a sole proprietor	A non-US **entity** — your OPC, LLP or Pvt Ltd
Length	1 page	8 pages, most of it irrelevant to you
Key fields	Name; country of citizenship (India); permanent residence address **in India**; mailing address; **foreign TIN = your PAN**; date of birth; Part II treaty claim if you are claiming a reduced rate	Entity name; country of incorporation; **Chapter 3 status** (usually "Corporation" or "Partnership"); **Chapter 4 FATCA status** (commonly "Active NFFE" for an operating consulting company — Part XXV); permanent address; foreign TIN = entity PAN; Part III treaty claim
Validity	Generally from signing until the end of the **third** succeeding calendar year, unless circumstances change	Same
What it does	Certifies you are not a US person, establishes foreign status so the payer does not do backup withholding, and supports a treaty claim	Same, plus FATCA classification
Common error	Filing a **W-9** because the client's portal defaults to it. W-9 is for US persons and triggers US information reporting and potentially backup withholding at 24%.	Ticking "Passive NFFE" without reason, which can invite extra documentation requests
Where to get it	irs.gov — always download fresh; revisions change	irs.gov

Why a US client should generally not withhold on your services

TEXT

THE ARGUMENT, IN THE FORM YOU CAN SEND TO A CLIENT'S AP TEAM

Subject: W-8BEN and withholding - services performed outside the United States

Hi Jordan,

Attached is my signed Form W-8BEN. A short note on why no withholding should apply, which usually resolves this quickly with AP:

1. I am an individual resident in India and not a US person. Form W-8BEN establishes my foreign status; Form W-9 is not applicable to me.

2. The services are performed ENTIRELY OUTSIDE the United States. Under US sourcing rules, compensation for personal services is sourced to the place where the services are PERFORMED. I perform all services from Bengaluru, India. I have not been physically present in the United States in connection with this engagement.

3. Income from services performed outside the United States by a non-resident alien is generally FOREIGN SOURCE income, and foreign-source income paid to a non-resident alien is generally NOT subject to US withholding tax under Chapter 3.

4. I have no US trade or business, no office, no fixed base, no employees, no agent and no permanent establishment in the United States. Under Article 7 (Business Profits) and Article 15 (Independent Personal Services) of the India-United States income tax treaty, these profits are taxable only in India.

5. The engagement does not involve the transfer of a technical plan or design, and does not "make available" technical knowledge, experience, skill or know-how within the meaning of Article 12(4)(b) of the treaty.

6. Separately: the Indian equalisation levy is no longer in force - the 2% e-commerce supply levy was withdrawn with effect from 1 August 2024 and the 6% online advertisement levy with effect from 1 April 2025. No levy applies to these payments.

If your team needs a Tax Residency Certificate issued by the Indian tax authority, or a Form 10F, I can provide both -

```
please let me know the deadline.

Happy to put your tax counsel in touch with my chartered
accountant if that is faster.

Best,
Ananya
```

Do not present the paragraph above as legal advice to the client, and do not rely on it yourself without confirmation

US sourcing and withholding is US law, and the analysis depends on facts you may not control — whether you travel to the US for the engagement, whether the contract characterises any part of the fee as a licence or royalty, whether any deliverable transfers a technical plan. The email above is a **starting position** that is correct in the common case. If the client's tax counsel disagrees, get your own advice rather than arguing. **Verify the current treaty text and US rules.**

If tax is withheld anyway — Tax Residency Certificate, Form 10F, Form

Step	Document	How to get it	Timing
1	**Tax Residency Certificate (TRC)** — Form 10FB, issued by the Indian income-tax authority	Apply in **Form 10FA** to your jurisdictional Assessing Officer, stating status, nationality, PAN, period for which the certificate is required, address and purpose. Section 90(4) makes a TRC a condition for claiming treaty relief.	Allow 2–6 weeks. Apply at the start of the financial year for the whole year.
2	**Form 10F**	Filed **electronically on incometax.gov.in** (it used to be a manual declaration). It supplies the particulars not contained in the TRC — status, nationality, TIN, period of residential status, address.	Generate and download the acknowledgement; it is a PDF you give the client.
3	**Evidence of foreign tax paid**	Withholding certificate from the payer (for the US, Form 1042-S), or a statement from the payer plus proof of deposit	US payers issue 1042-S by mid-March for the preceding calendar year — which does not line up with the Indian financial year. Plan for this.
4	**Form 67** — statement of income from a country outside India and foreign tax credit	Filed online on incometax.gov.in. Rule 128 governs. Form 67 must be furnished **on or before the end of the assessment year** relevant to the previous year in which the income was offered (relaxed from the earlier "due date of return" requirement). **Verify the current deadline.**	File before you file your ITR, or at least before the end of the AY
5	**Claim in the ITR**	Schedule FSI (income from outside India) and Schedule	At filing

		TR (tax relief) in ITR-3; credit is limited to the lower of the Indian tax on that income and the foreign tax paid	

TEXT

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WORKED — FOREIGN TAX CREDIT WHERE A CLIENT WITHHELD

FACTS
  Singapore client treats your fee as "fees for technical
  services" and withholds at the treaty rate.
  Gross invoices for FY 2025-26        SGD 60,000
  Exchange rate assumed                ₹65.50 / SGD
  Gross in INR                         39,30,000
  Foreign tax withheld @10%            SGD 6,000 = 3,93,000
  Net received                         SGD 54,000 = 35,37,000

  Other Indian receipts (US clients)   22,00,000
  TOTAL GROSS RECEIPTS                 61,30,000
  (above ₹50L but within ₹75L, cash receipts nil → 44ADA
   available if conditions met)

INDIAN COMPUTATION
  Deemed income u/s 44ADA @50%         30,65,000
  Tax (new regime):
     first 24,00,000                    3,00,000
     24,00,001-30,65,000 @30%           1,99,500
                           Tax          4,99,500
     Cess @4%                             19,980
     TOTAL INDIAN TAX                   5,19,480

FOREIGN TAX CREDIT (Rule 128)
  Credit is the LOWER of:
   (a) foreign tax paid                 3,93,000
   (b) Indian tax attributable to that
       doubly-taxed income:
       Doubly taxed income offered in India
         = 50% of 39,30,000 = 19,65,000
       Indian tax on total income       5,19,480
       Average rate = 5,19,480 / 30,65,000 = 16.95%
       Indian tax on 19,65,000 @16.95%  3,33,068
  CREDIT ALLOWED                        3,33,068

  Indian tax payable after credit
       5,19,480 - 3,33,068            = 1,86,412

  UNRELIEVED FOREIGN TAX                   59,932
  This is a REAL LOSS. It arises because 44ADA taxes only
  50% of receipts in India, so the Indian tax base on that
  income is half the foreign tax base.

THE LESSON
  If a client is going to withhold, presumptive taxation can
  leave you with stranded foreign tax credit. In that
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situation, compute BOTH 44ADA and regular computation
including the FTC, and choose. Also: negotiate the
withholding away up front with a TRC and Form 10F, which
is far better than recovering it later.

VERIFY Rule 128, the FTC computation method and Form 67
timelines at incometax.gov.in.
```

Country-by-country quick reference for an Indian consultant

Client country	Form they will ask for	Likely withholding on services performed in India	Watch out for
United States	W-8BEN / W-8BEN-E	None, if services performed outside the US and no US PE	AP teams defaulting to W-9 and 30% withholding; any travel to the US changing the sourcing analysis
United Kingdom	Usually nothing; sometimes a self-certification	Generally none on services	UK VAT reverse charge is the client's problem, not yours; your supply is still an Indian export
EU (Germany, Netherlands, Ireland…)	Self-billing agreements, VAT ID confirmation	Generally none on services	Clients may ask for your "VAT number" — you do not have one; supply your GSTIN and explain you are outside the EU VAT system
Singapore	TRC + Form 10F commonly requested	Possible withholding on "technical services" under domestic law, reduced by treaty	Get the TRC early; negotiate the characterisation of your fee in the contract
Australia	Sometimes a statement of no Australian PE	Generally none on services	ABN questions; you do not need an ABN as a non-resident supplier without an Australian presence
UAE / Gulf	Trade licence copy of client; sometimes TRC	Generally none	Corporate tax has been introduced in the UAE; clients' documentation requests have increased
Canada	Form NR301 or equivalent	Possible withholding on services rendered **in** Canada; generally none for services performed in India	Regulation 105 withholding applies to services rendered in Canada

⚠ **The table above is directional only**

Withholding outcomes depend on the precise characterisation of your fee, the treaty in force, the client's domestic law and your own facts. Treat it as a map of where to look, not as an answer. **For any engagement above roughly ₹20 lakh, buy an hour of cross-border tax advice before signing. It is the cheapest insurance you will ever buy.**

The equalisation levy — officially gone

The equalisation levy was introduced in 2016 as a 6% charge on payments to non-residents for online advertisement services, and extended in 2020 as a 2% charge on consideration received by non-resident e-commerce operators for e-commerce supply or services. Both have been withdrawn: the **2% e-commerce levy with effect from 1 August 2024**, and the **6% advertisement levy with effect from 1 April 2025**. For an Indian consultant this matters in two directions: you no longer need to consider whether payments *you* make to foreign digital platforms attract the 6% levy, and foreign clients who were told to gross up for Indian levies no longer need to. Residual compliance for earlier periods — Form 1 annual statements, interest and penalties for past years — may still be live. **Verify at incometax.gov.in.**

Pricing

Most Indian consultants price by taking their last salary, dividing by 2,000 hours, adding a bit, and then discounting when the client hesitates. That method guarantees you earn less than you did as an employee while carrying all the risk. Price instead from a **target income**, working backwards through non-billable time, self-funded benefits, taxes and gaps — and then anchor on **value delivered**, not hours consumed.

The six pricing models

Model	How it works	Best for	Your risk	Client's risk	Ty co ra
Hourly	Billed per hour against a timesheet, invoiced monthly	Open-ended work, early engagements, staff augmentation	Low — you are paid for what you do	High — no cost certainty	₹2 ₹9 do U ex
Daily	A day rate for a minimum block, usually 8 hours	Advisory, workshops, short intensive work	Low	Medium	₹2 ₹7 do U 1,
Weekly	A week rate, typically 4 days of your time to allow a buffer day	Sprint-style delivery with a clear cadence	Low-medium	Medium	U U ex
Fixed price	One number for a defined scope and set of deliverables	Well-understood, bounded work with crisp acceptance criteria	**High** — every estimation error is yours	Low	Sc de at hc
Retainer	A recurring monthly fee for availability and/or a committed capacity	Ongoing advisory, maintenance, fractional roles	Low — predictable revenue	Medium — pays whether or not they use you	₹1 la do U 15 ex
Value-based	Priced against the economic outcome — a percentage of savings, a share of uplift, or a fee anchored to the	Work with measurable financial impact and a client who can quantify it	Medium — requires measurement and trust	Low — they pay for outcome	N 15 qu is ar

	value of the decision				
Equity / equity + cash	Part or all of the fee in shares, options or SAFEs	Early startups you genuinely believe in and can afford to work for free	**Very high** — most of it is worth nothing	Low	N 3(er va lo

Equity for services has specific Indian tax and FEMA consequences

Receiving shares in a foreign company as consideration for services is not a simple barter. It is consideration received otherwise than in convertible foreign exchange (a GST export-condition problem), it may be taxable as professional income at the fair value on receipt, and acquiring foreign securities engages the FEMA (Overseas Investment) Rules and the Liberalised Remittance Scheme framework for residents. Shares in an Indian private company for services raise separate issues under the Companies Act (sweat equity under Section 54) and Section 56(2)(x). **Do not take equity for services without a CA and a lawyer looking at the structure first.**

Building your rate from a target income — the full calculation

TEXT

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STEP 1 — WHAT DO YOU NEED TO TAKE HOME?
  Household expenses, 12 months              18,00,000
  Home loan EMI                               9,60,000
  School fees                                 3,60,000
  Insurance premiums (health, term, PA)       1,10,000
  Retirement savings target                   6,00,000
  Travel and discretionary                    4,00,000
  Emergency fund top-up                       3,00,000
  ──────────────────────────────────────────────────────
  TARGET POST-TAX, POST-EXPENSE INCOME       45,30,000

STEP 2 — GROSS IT UP FOR TAX
  Assume 44ADA, new regime, ~₹90L receipts? Too high.
  Iterate: try gross receipts of ₹78,00,000 → over the
  44ADA ceiling. Try ₹72,00,000.

  Gross receipts                             72,00,000
  Deemed income u/s 44ADA @50%               36,00,000
  Tax (new regime):
     first 24,00,000                          3,00,000
     24,00,001–36,00,000 @30%                 3,60,000
                            Tax               6,60,000
     Cess @4%                                    26,400
     TOTAL TAX                                6,86,400

STEP 3 — SUBTRACT REAL BUSINESS COSTS
  Cloud, APIs, software                       3,60,000
  Co-working                                  1,44,000
  Hardware amortised                          1,00,000
  CA, legal, compliance                       1,20,000
  Professional indemnity + cyber insurance      85,000
  Conferences, courses, books                   90,000
  Bank/FX friction (~1.2% of receipts)          86,400
  Marketing, website, tools                     60,000
  Sub-contractor (occasional design help)     2,40,000
  ──────────────────────────────────────────────────────
  TOTAL BUSINESS COSTS                       12,85,400

STEP 4 — CHECK
  Gross receipts                             72,00,000
  less tax                                   (6,86,400)
  less business costs                       (12,85,400)
  ──────────────────────────────────────────────────────
  AVAILABLE TO YOU                           52,28,200
  vs target 45,30,000  → ₹6.98L of headroom. Good.
  (Headroom is not surplus. It is your buffer for a bad
   quarter, a currency move, and the client who does not
   renew.)
```

```
STEP 5 — CONVERT TO BILLABLE CAPACITY
  Weeks in a year                                    52
  less annual leave (4 weeks)                       (4)
  less public holidays + sick (2 weeks)             (2)
  less conference/learning (1 week)                 (1)
  ──────────────────────────────────────────────────────
  WORKING WEEKS                                      45

  Hours per working week available                   45
  TOTAL AVAILABLE HOURS                           2,025

  NON-BILLABLE ALLOCATION (be honest)
     Sales, proposals, discovery calls      12%
     Admin, invoicing, compliance, banking   8%
     Marketing, content, networking          8%
     Internal R&D, learning, tooling         5%
     ──────────────────────────────────────
     TOTAL NON-BILLABLE                     33%

  BILLABLE HOURS = 2,025 x 67%                    1,357

STEP 6 — THE RATE
  Required rate = 72,00,000 / 1,357 = ₹5,306/hour
  At ₹88/US$                        = US$ 60.3/hour

STEP 7 — ADD THE RISK PREMIUM
  You will not be 100% utilised in year one. Assume
  you only fill 75% of your billable capacity:
     Effective billable hours = 1,357 x 0.75 = 1,018
     Required rate = 72,00,000 / 1,018 = ₹7,073/hour
                                       = US$ 80.4/hour

  >>> QUOTE US$ 85/HOUR. Round up, never down.
      Then build towards retainers so that utilisation
      stops being a variable.
```

> **Note what that calculation exposes**
>
> A "₹72 lakh a year" consultant is not a "₹72 lakh ÷ 2,000 hours = ₹3,600/hour" consultant. The honest number is roughly **double** the naive one, because non-billable time and under-utilisation are real. Every consultant who prices off the naive number ends up working 60-hour weeks to hit a number they could have hit in 40.

A worked rate card

TEXT

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RAO SYSTEMS — RATE CARD 2026
Effective 1 January 2026. Valid for 12 months. All rates
exclusive of applicable taxes. Export of services is
zero-rated under Indian GST; no GST is charged to clients
outside India.
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A. TIME AND MATERIALS
  Senior AI / platform engineering             US$   95 / hour
  Architecture and technical advisory          US$  145 / hour
  Day rate (8 hours, booked as a block)        US$  720 / day
  Week rate (4 delivery days + 1 buffer)       US$ 2,900 / week
  Minimum engagement                           8 hours

B. RETAINERS  (minimum 3-month commitment, billed monthly
               in advance, unused hours do not carry forward
               beyond one month)
  ADVISORY        8 hours/month                US$   900 / month
     - async Slack access, 2 scheduled calls, design reviews
  EMBEDDED LITE   40 hours/month               US$ 3,600 / month
     - 10 hrs/week, named availability windows
  EMBEDDED        80 hours/month               US$ 6,800 / month
     - 20 hrs/week, participation in your sprint cadence
  FRACTIONAL HEAD OF AI  60 hours/month        US$ 7,500 / month
     - roadmap ownership, hiring input, vendor selection,
       board/stakeholder reporting

C. FIXED-SCOPE PACKAGES
  AI READINESS ASSESSMENT                      US$ 6,500 fixed
     2 weeks. Deliverables: current-state report, data and
     infrastructure gap analysis, prioritised opportunity
     list with effort/impact, 12-month roadmap, 90-minute
     readout. Up to 8 stakeholder interviews.
  RAG PIPELINE PRODUCTION HARDENING            US$ 18,000 fixed
     4 weeks. Deliverables: evaluation harness with golden
     set, retrieval quality baseline and improvements,
     observability and cost instrumentation, deployment
     runbook, handover workshop.
  TECHNICAL DUE DILIGENCE (for investors)      US$ 9,500 fixed
     10 business days. Deliverables: code and architecture
     review, team assessment, scalability and security
     findings, risk register, written report and call.

D. RUSH, OUT-OF-HOURS AND TRAVEL
  Work scheduled with less than 5 business
    days' notice                               +25%
  Work required outside 09:00–19:00 IST
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    Mon–Fri at Client's request                +35%
  Weekend or Indian public holiday work        +50%
  On-site travel: economy airfare, airport
    transfers, 4-star accommodation, and a
    travel day billed at 50% of the day rate,
    all pre-approved in writing

E. PAYMENT TERMS
  Net 15 days from invoice date
  New clients: 30% of the first engagement value payable
    in advance before work commences
  Late payment: 1.5% per month on the outstanding balance
  All bank charges on an "OUR" basis so that the full
    invoiced amount is credited

F. WHAT IS NOT CHARGED
  Scoping call (up to 45 minutes)
  Proposal preparation
  Travel time within Bengaluru
  Routine invoicing and status reporting
═══════════════════════════════════════════════════════════
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✦ **Publish rate bands, not a single number**

A rate card with three tiers lets a client self-select and anchors them above your floor. A single "US$95/hour" invites negotiation to US$80. A card that shows US$95 for engineering and US$145 for advisory tells the client that your judgement is worth more than your typing, which is the message that eventually moves you up-market.

Benchmark ranges — where Indian engineers actually sit

Profile	Indian clients (₹/hour)	US / Western Europe clients (US$/hour)	Notes
3–5 yrs, general full-stack	₹1,200–₹2,500	US$25–45	Heavy competition; marketplace-driven; hard to escape without specialising
6–10 yrs, strong specialism (data engineering, SRE, mobile, security)	₹2,500–₹5,000	US$50–90	The main band for an experienced independent
10+ yrs, recognised domain authority	₹5,000–₹9,000	US$90–160	Requires visible proof — talks, open source, published case studies
AI/ML engineering with production track record	₹4,000–₹9,000	US$80–180	Currently the strongest premium; expect compression as supply grows
Architecture / fractional CTO / advisory	₹6,000–₹15,000	US$150–350	Sold in days and retainers, not hours
Technical due diligence for investors	₹8,000–₹20,000	US$200–400	Short, high-stakes, relationship-driven
Expert witness / litigation support	₹10,000–₹30,000	US$300–600	Rare, lucrative, requires credentials

⚠ **These bands are observational, not authoritative**

They reflect commonly reported ranges for Indian independent consultants in 2025–26 and will vary enormously by niche, client size, geography and your own proof of work. Use them to sanity-check, not to price. The only reliable signal is what clients in your specific niche actually pay — ask three peers in confidence.

The geography discount question

Clients sometimes argue that because you live in India your rate should be lower. The correct answer is that you sell **outcomes**, not cost-of-living. The practical answer is more nuanced: you will not get San Francisco rates, and pretending otherwise loses deals. A workable position for a strong senior Indian consultant is **55–75% of the equivalent US independent contractor rate**, which is still three to six times what an Indian employer pays, and leaves the client with a genuine saving that justifies the time-zone friction. Push upward each year with evidence.

TEXT

```
THE RESPONSE WHEN A CLIENT RAISES COST OF LIVING

Client: "We have another candidate in Pune at US$40/hour.
         Why are you at US$95?"

Weak:   "I can do US$60."
        (You just told them your price is fiction.)

Better: "That's a fair question. Two things.

        First, you're not buying hours, you're buying the
        probability that this ships correctly the first
        time. I've taken four RAG systems to production,
        two of which I had to rescue after someone else's
        first attempt. The rescue engagements each cost
        the client more than the original build.

        Second, let's test it cheaply. Take the two-week
        readiness assessment at US$6,500. At the end you
        have a written roadmap you own regardless of who
        builds it. If you don't think I'm worth the rate
        after that, you've lost two weeks and learned
        exactly what needs doing.

        What I won't do is drop to US$60 — if I did, you
        should reasonably wonder what the US$95 was for."

Why it works:
  - It does not argue about cost of living at all
  - It reframes from hourly cost to risk of failure
  - It offers a small, low-risk first step (the "foot in
    the door" that also happens to be profitable)
  - It holds the price without hostility
```

Raising rates on existing clients

1. **Decide the number and the date before you talk to anyone.**
   A 10–20% annual increase is normal and expected. A 60% jump needs a story.

2. **Give 60–90 days' notice in writing.**
   Enterprise clients have budget cycles; surprising them in week one of their fiscal year is how you lose the account.

3. **Anchor to value delivered, not to inflation.**
   "Your inference costs are down 40% and the eval harness catches regressions before release" beats "costs have gone up".

4. **Offer one thing in exchange.**
   A longer commitment at a slightly lower increase, a guaranteed response time, a quarterly roadmap session. Make it a trade, not a demand.

5. **Grandfather generously for your best client, once.**
   Keeping your highest-trust, highest-volume client at last year's rate for six more months is cheap relative to replacing them.

6. **Be prepared to lose someone.**
   If every client accepts the increase without a murmur, you raised too little. Losing the bottom 10–20% of your book at the moment you raise rates is the system working.

TEXT

RATE INCREASE EMAIL — 75 DAYS' NOTICE

Subject: Rate adjustment effective 1 April 2026 — advance notice

Hi Maya,

Advance notice of a rate change so it doesn't land in the middle of your planning cycle.

From 1 April 2026 my engineering rate moves from US$85 to US$95 per hour, and the Embedded retainer from US$6,200 to US$6,800 per month. This is my first increase since we started in March 2024.

Context for why: over the last 14 months we have

- cut inference cost per request by 41% (US$9.2k/month saved at current volume)
- taken p95 latency from 3.8s to 1.1s
- built the eval harness that has caught 7 regressions before release, including the retrieval bug in October that would have shipped to all enterprise accounts
- onboarded two of your engineers so that routine pipeline changes no longer need me

Two options, your choice:

OPTION A Continue month-to-month at the new rates.
OPTION B Commit to 12 months at US$90/hour and US$6,400/month — locked until April 2027, with 20 hours of annual architecture review included at no charge.

Either is fine with me. If neither works, I'd rather know now so we can plan a clean handover with documentation and a transition period, rather than have it come up awkwardly later.

Happy to talk it through on Thursday's call.

Ananya

Discounting policy

Request	Your answer	Why
"Can you do 20% less?"	"I can do 10% less for a 6-month commitment paid monthly in advance, or 15% less for the full engagement paid up front."	Never discount for nothing. Trade price for certainty, volume or cash timing.
"We're a startup, we have no money"	"Then let's reduce scope, not rate. Here's a US$6,500 version that solves the most expensive 60% of the problem."	Protects your rate integrity and still wins the deal
"Our procurement requires a 15% vendor discount"	Quote 15% higher and give the discount.	Procurement is measured on discount achieved, not on price paid. Let them win.
"Can we pay in equity?"	"I can take up to 25% of the fee in equity if the cash portion covers my costs, and subject to Indian tax and FEMA advice which I'll need two weeks to get."	Caps your exposure and buys time to check the structure
"The last contractor charged half"	"That's useful data. What happened to the work they did?"	Usually the answer explains why they are talking to you
"Give us a discount and we'll send more work"	"Happy to — the volume discount kicks in at 400 hours a year, retrospectively applied once we get there."	Makes the promised volume real before you pay for it

✕ **Never discount silently to keep an unhappy client**
If a client is unhappy, a discount buys you one more month of the same problem at less money. Fix the delivery issue or end the engagement. Price is almost never the real objection in a failing relationship.

Finding Clients

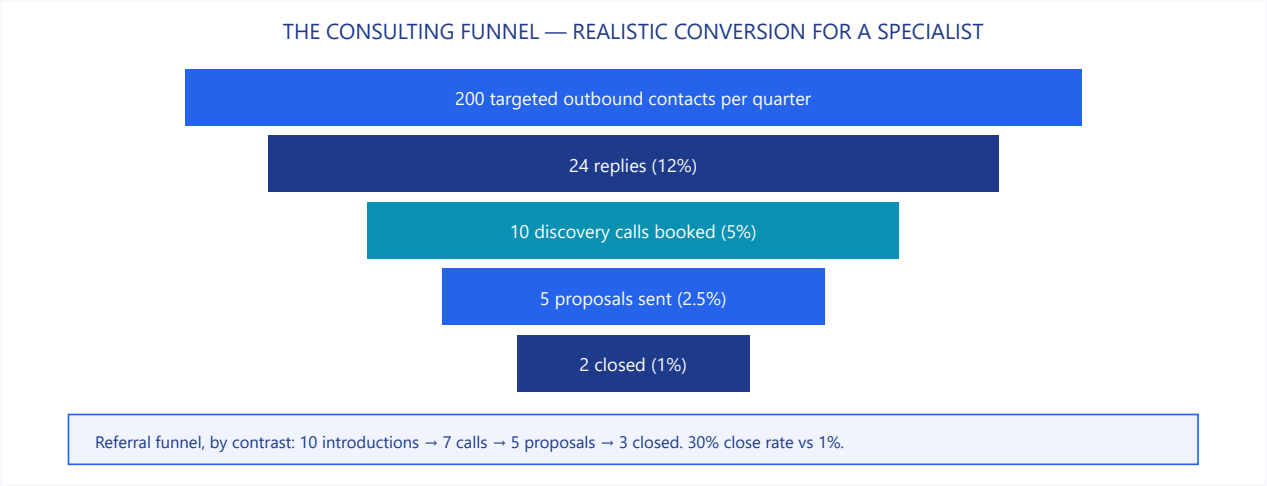
Consultants fail at sales, not engineering. The good news is that the channels which actually work for Indian software consultants are few and boring: referrals, former employers and colleagues, visible expertise, and disciplined cold outreach. The channels

that feel productive — posting on LinkedIn daily, bidding on Upwork, buying a course on "personal branding" — mostly are not, at least not at the start.

Channel effectiveness, honestly

Channel	Time to first deal	Effort	Deal quality	Ra
Referrals from past clients	Immediate once you have a client	Low (but requires asking)	**Highest** — pre-trusted	Fu
Former employers	Weeks	Low	High — they know your work	Of ma rer sal
Former colleagues now elsewhere	1–6 months	Low-medium — maintain relationships	High	Fu
Communities (Slack/Discord groups, local meetups, specialist forums)	2–6 months	Medium, sustained	High	Fu
Content (writing, talks, open source)	6–18 months	High, sustained	Very high — inbound buyers are pre-sold	Ab
Cold outreach (email/LinkedIn)	4–12 weeks	High, repetitive	Medium	Fu tar
Toptal / Gun.io / A.Team / Braintrust (curated)	2–8 weeks after passing screening	Medium — screening is hard	Medium-high	Gc 20 tal

Upwork / Fiverr / Freelancer	Days to weeks	High — proposal volume	Low initially	Lo wi
Agency sub-contracting	Weeks	Low	Medium — you never meet the end client	50 rat
Partner networks (AWS/Azure/Databricks/Snowflake partner ecosystems)	3–9 months	Medium — certification and relationship	High	Fu
Paid ads	Immediate spend, slow learning	High and expensive	Low for high-ticket consulting	Va



Cold outreach works at scale and terrible efficiency. Referrals work at tiny scale and excellent efficiency. You need both.

Positioning and niching

The single highest-leverage change most Indian consultants can make is to stop describing themselves as a "full-stack developer with 9 years of experience" and start describing a **specific problem for a specific kind of company**. Compare:

GENERIC (LOW RATE, HIGH COMPETITION)

"Senior software engineer with 9 years of experience in Python, React, AWS, Docker, Kubernetes and machine learning. Available for freelance projects."

Competes with 400,000 people. Buyer cannot tell you apart. Priced by the hour against the cheapest adequate option.

POSITIONED (HIGH RATE, LOW COMPETITION)

"I take RAG systems that work in a demo and make them survive production at Series B SaaS companies — evaluation harnesses, retrieval quality, cost and latency. Four shipped; two were rescues."

Competes with perhaps 50 people globally. Buyer self-identifies instantly. Priced against the cost of failure.

TEXT

```
THE POSITIONING SENTENCE — FILL THIS IN

  I help [SPECIFIC KIND OF COMPANY]
  [ACHIEVE A SPECIFIC OUTCOME]
  by [YOUR SPECIFIC MECHANISM],
  so that [COMMERCIAL CONSEQUENCE THEY CARE ABOUT].

WORKED EXAMPLES

  "I help Series A–C B2B SaaS companies cut LLM inference
   spend by 30–60% by rebuilding their prompt, caching and
   model-routing layer, so that AI features stop eating
   their gross margin."

  "I help European fintechs pass their first SOC 2 Type II
   by fixing the engineering controls six months ahead of
   the audit, so that enterprise deals stop stalling in
   security review."

  "I help data teams at mid-market retailers migrate off
   fragile Airflow installations onto a tested, observable
   pipeline, so that the Monday morning sales report stops
   being wrong."

TEST IT
  1. Can a buyer tell in 5 seconds whether this is for them?
  2. Does it name a consequence a CFO would recognise?
  3. Could any of the 400,000 generic engineers say the
     same sentence truthfully? If yes, narrow it.
  4. Do you have at least ONE piece of proof?

NICHING DOES NOT MEAN REFUSING OTHER WORK. It means this is
the sentence on your site, in your outreach, and in your
first 20 seconds on a call. You can still take the Django
maintenance job.
```

A worked cold-outreach sequence

TEXT

```
TARGET DEFINITION (do this before writing a single email)
  Company:  B2B SaaS, Series A or B, 40-250 people
  Signal:   has shipped an AI feature in the last 6 months
            (press release, changelog, job posting for an
            "AI engineer", conference talk)
  Person:   VP Engineering, Head of Platform, or CTO
  Volume:   40 companies per month, researched individually
  NOT:      a scraped list of 5,000 "CTOs"

_____________________________________________________________

EMAIL 1 - DAY 0
Subject: your Oct changelog - the reranking note

Hi Daniel,

Your October changelog mentioned you'd added reranking to
the document search in Northwind. I had a look at the public
demo - the retrieval looks solid on short queries and gets
noticeably weaker past about 25 words, which is the usual
chunking-boundary problem.

I rebuild retrieval layers for Series B SaaS teams. Most
recently for a 90-person HR-tech company: recall@5 went from
0.61 to 0.88 and inference cost dropped 38%, in five weeks.

Two questions, not a pitch:
  1. Is retrieval quality something you're actively working
     on this quarter, or is it parked?
  2. Who owns it internally?

If it's parked, I'll leave you alone.

Ananya Rao
Bengaluru | raosystems.in/work/northwind-style-rag

_____________________________________________________________

EMAIL 2 - DAY 4  (reply in the same thread)
Subject: re: your Oct changelog - the reranking note

Daniel - one concrete thing in case it's useful regardless
of whether we ever work together.

The long-query degradation is usually one of three causes.
Quickest diagnostic, about 30 minutes of an engineer's time:

  1. Take 50 of your longest real queries from logs.
  2. For each, record whether the correct document appears
     in the top 20 of the FIRST-STAGE retrieval, before
```

```
     reranking.
  3. If it is missing from the top 20, reranking cannot
     save you - it is a chunking or embedding problem.
     If it is present but ranked 14th after reranking, the
     reranker is the issue.

That single split tells you which half of the system to fix
and saves a fortnight of guessing.

Ananya

_____________________________________________________________

EMAIL 3 - DAY 11
Subject: re: your Oct changelog - the reranking note

Hi Daniel,

Last note from me on this.

I wrote up the full diagnostic as a short piece, including
the chunking fix that usually resolves the long-query case:
  raosystems.in/writing/long-query-retrieval

If retrieval quality moves up your list in Q2, I'm easy to
find. If someone else on your team owns it, I'm happy to be
forwarded.

Good luck with the launch.

Ananya

_____________________________________________________________

EMAIL 4 - DAY 75  (only if there was ANY engagement -
                   an open, a click, a one-line reply)
Subject: Northwind - six months on

Hi Daniel,

Circling back once. We spoke briefly in November about
retrieval quality in Northwind.

Since then I've finished two similar engagements and the
pattern is consistent enough that I now sell it as a fixed
two-week assessment - US$6,500, written report, you own it
whether or not you use me to implement.

If it's still open, worth 20 minutes?

Ananya
```

```
_____________________________________________________________

RULES THAT MAKE THIS WORK
  - Reference something SPECIFIC and PUBLIC about them in
    the first line. Not "I came across your company".
  - Give something away in email 2. Always.
  - Never more than four emails. Never automated-looking.
  - One clear ask, and an easy way to say no.
  - Send Tuesday to Thursday, 08:00–10:00 in THEIR timezone.
  - Track in a spreadsheet: company, person, date, signal
    used, response. 40 a month, reviewed monthly.
  - Expect 10–15% reply, 4–6% meeting, 1–2% close.
```

The case study format that converts

TEXT

```
================================================================
CASE STUDY - ONE PAGE, FIVE SECTIONS, NO FLUFF
================================================================

1. THE SITUATION  (2-3 sentences, name the company type not
   the company if you are under NDA)
   "A 90-person HR-tech SaaS company, Series B, had shipped
    an AI document-search feature to 200 enterprise accounts.
    Support tickets about 'it can't find my policy document'
    were the second-highest ticket category."

2. THE PROBLEM, QUANTIFIED  (the number that hurt)
   "Recall@5 on their own evaluation set was 0.61. Inference
    cost was US$24,000/month and rising 11% month over month.
    Two enterprise renewals had been flagged at risk."

3. WHAT I DID  (specific, technical, 4-6 bullets)
   - Built a 400-query golden set from real support tickets
     and production logs, labelled with the engineering team
   - Replaced fixed 512-token chunking with structure-aware
     chunking on their document hierarchy
   - Introduced a two-stage retriever: BM25 + dense recall,
     then a cross-encoder reranker on the top 50
   - Added per-query cost and latency instrumentation to
     their existing OpenTelemetry setup
   - Routed 70% of traffic to a smaller model where the
     eval showed no quality difference
   - Ran a two-day handover workshop with their three
     platform engineers

4. THE RESULT  (numbers, with the time period)
   - recall@5: 0.61 -> 0.88 over five weeks
   - p95 latency: 3.8s -> 1.1s
   - inference cost: US$24,000 -> US$14,900 per month
   - "cannot find document" tickets down 71% in the
     following quarter
   - both at-risk renewals closed

5. WHAT THE CLIENT SAID  (one quote, with name and title,
   with their written permission)
   "We'd been told this was a model problem. It was a
    chunking problem. Ananya found that in week one."
    - VP Engineering

FOOTER
   Engagement type: 5-week fixed scope
   Tech: Python, Postgres/pgvector, OpenSearch, OpenAI,
         Cohere rerank, OpenTelemetry, AWS
```

```
   Available to discuss: ananya@raosystems.in
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PERMISSION NOTE: get written approval before publishing any
client detail. Most MSAs restrict use of the client's name
and confidential information. An anonymised case study
("a 90-person HR-tech SaaS company") is usually permitted,
but CHECK YOUR CONTRACT — publicity and confidentiality
clauses govern this.
```

Realistic expectations for year one

Quarter	What usually happens	Revenue (typical, senior engineer)	What to focus on
Q1	One client, usually a former employer or colleague, at a rate you later regret	₹4–12 lakh	Deliver flawlessly. Get a written testimonial and a referral.
Q2	Second client from the first client's network. First gap week. First late payment.	₹6–15 lakh	Fix your contract template and payment terms. Start writing.
Q3	Pipeline feels empty and you panic. Cold outreach starts producing. You raise your rate for new clients only.	₹5–18 lakh	Build the case studies. Apply to one curated marketplace.
Q4	First retainer. First time you turn work down. Advance tax reality lands in March.	₹8–22 lakh	Convert one project client to a retainer. Fund the tax reserve properly.
Year 1 total	Below your old salary for most people	**₹23–67 lakh**	Survival and proof. Year two is where the economics turn.
Year 2	Referrals compound; rate up 20–35%; utilisation stabilises	₹45 lakh–₹1.1 crore	Specialise harder. Hire your first sub-contractor.

⚠ **Treat the table above as a shape, not a forecast**

Outcomes vary enormously with network, niche, geography and luck. What is consistent across almost every successful Indian independent consultant is that **year one is worse than expected and year three is better**. Plan your runway for the first, and do not quit in month eight.

Proposals and Closing

A proposal is not a document that describes what you will do. It is a document that lets a buyer justify a decision they have already half-made, to people who were not on the call. Write it for the person who has to approve the spend and was not in the room.

The discovery call, structured

1. **Minutes 0–3: frame**
   "Thanks for the time. I'd like to spend most of this understanding what's actually going on, then tell you honestly whether I'm the right person. If I'm not, I'll say so and suggest who is. Does that work?" This earns permission to ask hard questions.

2. **Minutes 3–20: the situation**
   What are you trying to achieve? What have you already tried? Who is working on it today? What does the current system look like? When did this become a priority?
   Shut up and let them talk.
   Most consultants talk 70% of a discovery call and lose it.

3. **Minutes 20–30: the cost of inaction**
   This is the part everyone skips. "If this is still broken in six months, what happens?" "What has it cost so far?" "What is the revenue or risk exposure attached to it?" You cannot price value you have not quantified, and the client often has not quantified it either — doing so for them is itself consulting.

4. **Minutes 30–38: the decision process**
   Who else needs to agree? What is the budget range you are working within? Is there a procurement process? What is the timeline? Has anything like this been bought before, and from whom? If you do not ask this, you will send a proposal into a void.

5. **Minutes 38–45: your honest read**
   Reflect back what you heard. Say what you would do and roughly what it would cost — **give a range verbally on the call**

. "Something in the US$15,000–25,000 range over four to six weeks" lets them react while you can see their face. Then agree the next step with a date.

6 **Within 24 hours: written recap**

Five bullets of what you understood, the range you discussed, and what happens next. This single email closes more deals than any proposal template.

✕ **Never send a proposal without a budget conversation**

If you do not know the range, you are guessing, and a guess is wrong in one of two expensive ways. Ask directly: "So I size this sensibly — are we talking about something closer to US$10,000 or closer to US$60,000?" Buyers answer this far more often than consultants expect. If they genuinely cannot say, give them three options at different price points and let the choice reveal the budget.

Scoping and estimating

Technique	How	When to use
Three-point estimate	Optimistic + 4×Likely + Pessimistic, divided by 6. Do this per work package, not for the whole project.	Any fixed-price engagement
Reference class	"The last three times I built an eval harness it took 11, 14 and 9 days." Use your own history over your intuition.	Work you have done before
Spike first	Sell a paid 3–5 day investigation before quoting the build. "I'll give you a fixed price after the spike."	Unknown codebases, unknown data quality, unknown integrations
Scope the boundary, not the middle	Write down explicitly what is **out** of scope. The out-list is more valuable than the in-list.	Always
Contingency	Add 25–40% to any fixed-price estimate involving someone else's legacy code, someone else's data, or a third-party API you have not used.	Always for fixed price
Assumption register	List every assumption as a numbered item in the SOW. "If assumption 4 is wrong, this becomes a change request."	Always

⚠ **Fixed-price risk, quantified**

On a fixed-price engagement your effective hourly rate is the fee divided by actual hours. A US$18,000 project estimated at 140 hours pays US$129/hour. The same project at 240 hours pays US$75/hour. The same project at 340 hours — which happens when the client's data is worse than described — pays US$53/hour, below your floor, while you carry all the risk. Fixed price is only safe where (a) you have done this exact work before, (b) the acceptance criteria are objectively testable, and (c) there is a genuine change-control clause you are willing to use.

A full worked proposal / SOW for an AI consulting engagement

TEXT

```
═══════════════════════════════════════════════════════════
STATEMENT OF WORK
Retrieval Quality and Cost Remediation - Northwind Analytics
Prepared by Rao Systems  |  14 February 2026  |  Valid 21 days
═══════════════════════════════════════════════════════════

1. SUMMARY

Northwind's document search feature is returning the correct
document in the top five results for 61% of real user
queries, measured against a sample of 400 production queries.
Inference spend is US$24,000 per month and growing at 11%
month over month. Two enterprise renewals, representing
US$410,000 of ARR, have been flagged as at risk citing
search quality.

This engagement rebuilds the retrieval layer and instruments
cost and quality so that both become measurable and managed.
Target: recall@5 of 0.85 or better, and a reduction in
monthly inference spend of at least 25%, within five weeks.

2. OBJECTIVES  (what success means)

  O1  A reproducible evaluation harness that Northwind's
      own engineers can run on every change
  O2  recall@5 ≥ 0.85 on the agreed 400-query golden set
  O3  p95 end-to-end search latency ≤ 1.5 seconds
  O4  Monthly inference spend reduced by ≥ 25% at current
      query volume
  O5  Northwind's platform team able to operate and extend
      the system without Rao Systems

3. SCOPE OF WORK

  PHASE 1 - BASELINE AND INSTRUMENTATION  (week 1)
    1.1  Build a 400-query golden set from production logs
         and support tickets, labelled jointly with the
         Northwind team (Northwind to provide 8 hours of an
         engineer's time for labelling)
    1.2  Implement the evaluation harness (recall@k, MRR,
         nDCG, per-query cost, p50/p95 latency)
    1.3  Establish and publish the baseline
    1.4  Add per-request cost and latency instrumentation to
         the existing OpenTelemetry pipeline
    DELIVERABLE D1: evaluation harness in Northwind's repo,
      with CI integration and a documented baseline report

  PHASE 2 - RETRIEVAL REBUILD  (weeks 2-3)
```

```
    2.1  Diagnose first-stage recall failures on long queries
    2.2  Implement structure-aware chunking over the existing
         document hierarchy, with a backfill plan
    2.3  Implement hybrid retrieval (BM25 + dense) with
         tuned fusion
    2.4  Introduce cross-encoder reranking over the top 50
    2.5  Re-run evaluation after each change; keep the
         changes that improve the metric and revert the rest
    DELIVERABLE D2: retrieval pipeline merged to main behind
      a feature flag, with before/after evaluation report

  PHASE 3 - COST AND LATENCY  (week 4)
    3.1  Model-routing analysis: identify query classes where
         a smaller model is quality-neutral
    3.2  Implement routing and semantic caching
    3.3  Re-run evaluation to confirm no quality regression
    3.4  Produce a cost model at 1x, 3x and 10x current volume
    DELIVERABLE D3: routing and caching live, with a cost
      report and projection

  PHASE 4 - HANDOVER  (week 5)
    4.1  Runbook: how to add documents, re-index, debug a
         bad result, interpret the dashboards
    4.2  Two half-day workshops with the platform team
    4.3  Prioritised backlog of further improvements with
         effort and expected impact
    DELIVERABLE D4: runbook, recorded workshops, backlog

4. OUT OF SCOPE  (explicitly not included)

  - Changes to the user-facing UI or front-end
  - Migration of the vector store to a different vendor
  - Any work on the ingestion connectors for Sharepoint or
    Google Drive
  - Multilingual retrieval (English only in this engagement)
  - Fine-tuning or training of any model
  - 24x7 production support or on-call
  - SOC 2 or other compliance work
  - Anything not listed in Section 3

  Work outside this list is available under the change
  control process in Section 9 at the rates in Section 7.

5. ASSUMPTIONS

  A1  Northwind provides a development environment with
      production-like data within 3 business days of start
  A2  Northwind provides read access to production query
      logs for the preceding 90 days
```

```
  A3  A named Northwind engineer is available for up to
      6 hours per week for pairing, review and labelling
  A4  Pull requests are reviewed within 2 business days
  A5  Current document corpus is approximately 1.2 million
      chunks and will not grow by more than 25% during the
      engagement
  A6  The existing OpenTelemetry collector is operational
  A7  No change freeze occurs during the engagement window

  If an assumption proves incorrect, the affected work
  becomes a change request under Section 9.

6. TIMELINE

  Start               2 March 2026
  Phase 1 complete    6 March 2026
  Phase 2 complete    20 March 2026
  Phase 3 complete    27 March 2026
  Phase 4 complete    3 April 2026

  Rao Systems commits approximately 28 hours per week to
  this engagement for 5 weeks.

7. COMMERCIALS

  Engagement type     Fixed price
  Total fee           US$ 24,500

  PAYMENT SCHEDULE
    On signature (mobilisation)        30%   US$ 7,350
    On acceptance of D1                20%   US$ 4,900
    On acceptance of D2                25%   US$ 6,125
    On acceptance of D3                15%   US$ 3,675
    On acceptance of D4                10%   US$ 2,450
                                             ----------
                                             US$ 24,500

  Invoices are payable within 15 days of issue.
  Work out of scope, and change requests, are charged at
    US$ 110 per hour.
  Rush or out-of-hours work at Northwind's request: +35%.
  Travel, if requested, is billed at cost with prior
    written approval.

  TAXES
    Rao Systems is an Indian resident supplier. This is an
    export of services, zero-rated under Section 16 of the
    IGST Act, 2017, supplied under a Letter of Undertaking.
    No Indian GST is charged.
```

Services are performed entirely in India. A Form W-8BEN is on file. No US withholding should be applied; see Appendix B.
All bank charges to be borne by Northwind ("OUR" basis).

8. ACCEPTANCE

Each deliverable is submitted with a written note of how it meets the acceptance criteria. Northwind has 5 business days to accept or to provide a single consolidated written list of specific deficiencies against the stated criteria. Absent a response within 5 business days, the deliverable is deemed accepted. Remediation of accepted deficiencies is included; new requirements are change requests.

ACCEPTANCE CRITERIA

- D1 Harness runs in CI; produces recall@k, MRR, nDCG, cost and latency on the 400-query set; baseline report delivered
- D2 recall@5 ≥ 0.85 on the golden set, measured by the harness in D1, with no regression in p95 latency beyond 1.5 seconds
- D3 Projected monthly inference spend at current volume reduced by ≥ 25% versus the February 2026 baseline, with recall@5 not below 0.85
- D4 Runbook delivered; two workshops delivered; backlog delivered

9. CHANGE CONTROL

Either party may request a change. Rao Systems will respond within 2 business days with the impact on scope, timeline and fee. No change takes effect until both parties sign the change request. Work continues on the agreed scope in the meantime.

10. CONTRACT

This SOW is governed by the Master Services Agreement between the parties dated 12 November 2025. In the event of conflict, the MSA prevails except in respect of scope, fees and timeline, where this SOW prevails.

ACCEPTED

For Northwind Analytics, Inc.	For Rao Systems
_____	_____
Name:	Ananya Rao, Proprietor

```
Title:                                  Date:
Date:
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✦ **Three things in that SOW do most of the work**

Section 4 (Out of Scope) prevents the slow expansion that destroys fixed-price margin. **Section 5 (Assumptions)** converts "their data was a mess" from your problem into a change request. **Section 8 (deemed acceptance after 5 business days)** stops a deliverable sitting unreviewed for six weeks while your payment waits. If you include nothing else from this template, include those three.

Handling procurement

What procurement asks for	What they actually want	Your move
"Complete our 120-question vendor security questionnaire"	Evidence that you will not be the breach	Write it once, reuse it. Answer honestly including "not applicable — sole practitioner, no sub-processors". Offer a short security annexe describing your actual controls.
"We need US$2 million professional indemnity and US$5 million general liability"	A box ticked	Get a quote before saying no. Indian professional indemnity at ₹1–2 crore cover is often ₹25,000–₹80,000/year. If the limits are genuinely unattainable, ask whether a lower limit plus a cap on your liability is acceptable.
"Sign our standard MSA, no changes"	Speed and precedent	Identify the three clauses you genuinely cannot live with (usually uncapped indemnity, full IP assignment of your pre-existing tools, and unilateral termination without payment for work done). Propose narrow redlines with a one-line reason each.
"Net 60 payment terms"	Working capital	Counter with Net 30 plus a mobilisation payment, or Net 60 with a 4% premium on the rate. Never accept Net 60 on a first engagement with a new client.
"We need you in our supplier portal (Ariba/Coupa)"	Their AP process	Register. It is tedious and it is also how you get paid without chasing. Record the supplier ID and PO number on every invoice.
"Provide a W-9"	The AP clerk's default	Send a W-8BEN with the explanatory note from the tax section
"Our rate card caps contractors at US$X"	An internal policy, often negotiable at a level above the person telling you	Offer a fixed-price package instead of an hourly rate — rate cards usually only govern hourly engagements

The Consulting Contract

You will sign two kinds of contract: the client's paper (most of the time) and your own (when you are dealing with a small company that has none). In both cases the same eight clauses determine whether a bad engagement costs you a fortnight or a year. Learn those eight, and treat the rest as boilerplate.

> ✕ **This section describes commercial practice, not legal advice**
> Contract law in India is governed by the **Indian Contract Act 1872** and the drafting below is illustrative. A clause that is reasonable for a US$20,000 engagement may be inadequate for a US$400,000 one. **Have an advocate review your template once** — it costs ₹15,000–₹50,000 and you will use it for a decade. For a deeper treatment of contract and IP law, see the companion guide "Contracts, IP & Legal Essentials (India)".

The clauses that protect you

Clause	What it must say	Why it matters	What "market" looks like
Scope and change control	Scope is defined in the SOW; anything not listed is out; changes require a signed change request with agreed fee and timeline impact	Scope creep is the single largest destroyer of consulting margin	Universal and uncontroversial. Insist on it.
Payment terms and late fees	Net 15 or 30 from invoice date; interest at 1.5%/month on overdue amounts; right to suspend services on 10 days' written notice if an undisputed invoice is more than 30 days overdue	The suspension right is your only real leverage	Net 30 is standard; Net 45–60 for large enterprises; 1–2%/month interest is normal
IP ownership and licence-back	Client owns the deliverables **on payment in full**; consultant retains ownership of pre-existing materials, tools, libraries and general know-how, and grants a perpetual non-exclusive licence to use them as embedded in the deliverables	Without the carve-out you may assign away your own reusable toolkit	The "on payment in full" condition and the background-IP carve-out are both market-standard and reasonable
Confidentiality	Mutual; defined confidential information; standard exclusions (public, already known, independently developed, lawfully received); survives 3–5 years, or indefinitely for trade secrets; permitted disclosure to advisers under equivalent obligations	Protects both sides; a one-way NDA against you is a negotiating signal	Mutual is market. Perpetual confidentiality for everything is not.
Limitation of liability	No liability for indirect, consequential, special or punitive damages or loss of profit, revenue, data or goodwill; aggregate liability capped at the fees paid under the relevant	Without this, a US$24,500 engagement carries unlimited exposure	A 12-month-fees cap is the standard anchor. Clients push for 2× or 3× fees; that is still survivable. Uncapped is not.

	SOW in the **12 months preceding** the claim		
Indemnity carve-outs	If you must indemnify (typically for IP infringement by your deliverables and for your breach of confidentiality), exclude claims arising from: client-supplied materials, client's modifications, combination with other products, use outside the documented purpose, and open-source components the client directed you to use	IP indemnities are where consultants accept catastrophic risk without noticing	Carve-outs are standard and defensible. A super-cap (e.g. 2× fees) on IP indemnity is a common compromise.
Termination and kill fee	Either party may terminate for convenience on 30 days' written notice; client pays for all work performed and all non-cancellable commitments up to the termination date; for fixed-price work, a minimum of X% of the remaining fee as a termination fee	Protects you from a client who cancels in week four of a five-week fixed-price job	Payment for work performed is universal. A kill fee of 25–50% of remaining fee is negotiable but reasonable for fixed-price work.
Governing law and dispute resolution	Named governing law; escalation to named executives; then arbitration under a named set of rules, with a named seat, in English, before a single arbitrator	Determines whether a dispute is expensive-but-possible or effectively impossible	Clients insist on their own law. Singapore (SIAC) or India (MCIA) seats are workable compromises; New York or California seats make disputes economically pointless for you.
Non-solicit	Mutual; limited to employees/contractors directly involved in the engagement; 12 months post-termination; carve-out for general advertisements	Stops a client hiring your sub-contractor directly, and stops you poaching their staff	Mutual and narrow is market. One-way non-solicit against you only is a flag.
Independent contractor status	Express statement that you are an independent contractor, not an employee, partner or agent;	Reduces (does not eliminate) worker-misclassification	Universal. Expect it in the client's template too.

	you control the manner and means of performance; you are responsible for your own taxes and statutory contributions; no authority to bind the client	risk in the client's jurisdiction	

The clauses clients push that you should resist

Clause pushed	Why it is dangerous	What to counter with
Uncapped liability, or a cap of "the greater of US$1,000,000 or fees paid"	A US$24,500 engagement cannot support a US$1m exposure. Your insurance may not either.	"I can accept a cap at the fees paid in the preceding 12 months, with the usual carve-outs for my breach of confidentiality and IP infringement, super-capped at 2× fees. Beyond that the engagement is not commercially viable for a sole practitioner."
Uncapped IP indemnity with no carve-outs	You become the insurer of every patent troll claim touching the client's product	Offer indemnity limited to infringement caused by **your original contributions**, excluding client materials, client modifications, combinations, and open-source the client specified. Super-cap it.
Assignment of "all intellectual property conceived during the term"	Claims your unrelated side project, your reusable library, your blog posts	Narrow to "deliverables created specifically for the Client under a SOW" and add an express background-IP carve-out with a schedule listing your pre-existing tools
Post-engagement non-compete ("shall not provide similar services to any company in the X industry for 24 months")	Destroys your specialism — the whole basis of your practice	"A non-compete of that breadth would prevent me from practising my profession. I can offer a 12-month non-solicit of your clients and employees, and a confidentiality obligation that already prevents me using anything of yours." Note that a post-employment restraint is void under Section 27 of the Indian Contract Act, but a **commercial** restraint between businesses is analysed differently and may be enforced in the client's jurisdiction.
"Work made for hire" language alone	"Work made for hire" is a US copyright concept that does not map cleanly onto Indian law. Standing alone it may not effect a valid assignment.	Insist on an express **assignment** in writing, which is what Section 19 of the Copyright Act 1957 requires, with "work made for hire" as a secondary provision if they want it
Unilateral termination with no payment for work in progress	You can deliver four of five phases and be paid for none	"Terminable for convenience is fine; payment for work performed to the date of termination is not negotiable."

Payment on "client's acceptance", undefined	Acceptance never happens and the invoice never becomes due	Insert objective acceptance criteria and a deemed-acceptance period of 5–10 business days
Most-favoured-customer pricing	Constrains your pricing across your entire practice for one client's benefit	Decline. Offer a fixed rate for a fixed term instead.
Audit rights over your books	Reasonable for time-and-materials; intrusive if drafted to cover your whole business	Limit to records directly relating to amounts invoiced under the agreement, once a year, on 15 days' notice, at the client's cost unless a material discrepancy is found
Exclusivity	You become a de facto employee with none of the protections	"I can commit to a minimum number of hours per week and to not taking on your named competitors during the engagement. Full exclusivity would make me an employee, which creates classification risk for you too."

A worked short-form consulting agreement

TEXT

CONSULTING SERVICES AGREEMENT

This Agreement is made on 2 March 2026

BETWEEN

(1) ANANYA RAO, sole proprietor trading as RAO SYSTEMS, of No. 14, 2nd Floor, 5th Cross, Indiranagar, Bengaluru 560038, India ("Consultant"); and

(2) NORTHWIND ANALYTICS, INC., a Delaware corporation with its principal place of business at 1200 Market Street, Suite 400, San Francisco, CA 94102, USA ("Client").

1. SERVICES

1.1 The Consultant shall provide the services described in each statement of work signed by both parties ("SOW"). Each SOW forms part of this Agreement.

1.2 The Consultant shall perform the Services with the reasonable skill and care of a competent professional in the Consultant's field.

1.3 The Consultant determines the manner, method, hours and location of performance, subject to agreed timelines and reasonable collaboration requirements in the SOW.

1.4 The Consultant may engage sub-contractors with the Client's prior written consent, not to be unreasonably withheld, and remains responsible for their work.

2. FEES, EXPENSES AND TAXES

2.1 The Client shall pay the fees set out in the SOW.

2.2 Invoices are payable within fifteen (15) days of the invoice date, by wire transfer to the account notified by the Consultant, in United States Dollars.

2.3 All bank, correspondent and intermediary charges shall be borne by the Client, on an "OUR" basis, such that the full invoiced amount is credited to the Consultant.

2.4 Undisputed amounts outstanding beyond the due date bear interest at 1.5% per month, calculated daily, from the due date until payment.

2.5 The Client may dispute an invoice only by written notice within ten (10) days of receipt, specifying the disputed line items and the reason. Undisputed amounts remain payable on the due date.

2.6 The Consultant may suspend the Services on ten (10) days' written notice if any undisputed invoice remains unpaid thirty (30) days after its due date. Suspension does not relieve the Client of payment obligations and timelines are extended by the period of suspension.

2.7 Fees are exclusive of taxes. The Services constitute an

export of services from India, zero-rated under the Integrated Goods and Services Tax Act, 2017, supplied under a Letter of Undertaking. No Indian GST is charged.

2.8 The Consultant is a resident of India performing all Services in India and has no permanent establishment or fixed base in the United States. The Consultant has furnished a Form W-8BEN. The Client shall not withhold any amount from payments unless required by law, and shall promptly provide evidence of any amount withheld.

2.9 Pre-approved expenses are reimbursed at cost against receipts.

3. INTELLECTUAL PROPERTY

3.1 "Background IP" means any materials, software, tools, libraries, frameworks, templates, methodologies and know-how owned or licensed by the Consultant before the Effective Date or developed independently of this Agreement, including the items listed in Schedule 1.

3.2 "Deliverables" means the work product created by the Consultant specifically for the Client under a SOW, excluding Background IP.

3.3 Background IP remains the property of the Consultant.

3.4 Upon receipt by the Consultant of payment in full of all amounts due under the relevant SOW, the Consultant assigns to the Client all right, title and interest in the Deliverables, including copyright, throughout the world for the full term of such rights. The Consultant shall execute such further documents as the Client reasonably requires to perfect the assignment, at the Client's cost.

3.5 The Consultant grants the Client a perpetual, irrevocable, worldwide, non-exclusive, royalty-free licence to use, reproduce, modify and create derivative works of any Background IP incorporated into the Deliverables, solely as part of the Deliverables.

3.6 The Consultant retains the right to use the general skills, knowledge, techniques and experience acquired in performing the Services, provided no Confidential Information of the Client is disclosed or used.

3.7 Open-source software incorporated into the Deliverables is listed in the delivery note for each Deliverable, together with its licence. The Client is responsible for compliance with such licences in its own use.

4. CONFIDENTIALITY

4.1 Each party shall keep confidential all non-public information of the other disclosed in connection with this Agreement and marked or reasonably understood to be confidential ("Confidential Information").

4.2 Confidential Information excludes information that is or becomes public without breach, was lawfully known before disclosure, is independently developed without use of the other party's Confidential Information, or is lawfully received from a third party without restriction.

4.3 Each party may disclose Confidential Information to its professional advisers and sub-contractors who are bound by equivalent obligations, and as required by law or a competent authority, giving prompt notice where lawful.

4.4 These obligations survive for three (3) years after termination, and indefinitely in respect of any information constituting a trade secret.

4.5 On termination, each party shall, on written request, return or destroy the other's Confidential Information, save for one archival copy retained for legal or audit purposes and copies in routine backups.

5. DATA PROTECTION

5.1 Where the Consultant processes personal data on behalf of the Client, the Consultant acts as a data processor and shall process such data only on the Client's documented instructions, implement appropriate technical and organisational measures, and notify the Client without undue delay on becoming aware of a personal data breach.

5.2 The parties shall enter into a Data Processing Addendum where required by applicable law, including the Digital Personal Data Protection Act, 2023 (India) and, where applicable, Regulation (EU) 2016/679.

6. WARRANTIES

6.1 The Consultant warrants that the Services will be performed with reasonable skill and care, that the Deliverables will materially conform to the specifications in the SOW for thirty (30) days after acceptance, and that the Deliverables as originally delivered will not knowingly infringe the intellectual property rights of any third party.

6.2 The Consultant's sole obligation, and the Client's sole remedy, for breach of clause 6.1 is to re-perform the affected Services or correct the affected Deliverable at no additional charge.

6.3 EXCEPT AS EXPRESSLY STATED, ALL WARRANTIES, CONDITIONS AND TERMS IMPLIED BY STATUTE OR COMMON LAW ARE EXCLUDED TO THE FULLEST EXTENT PERMITTED BY LAW.

7. LIMITATION OF LIABILITY

7.1 Neither party is liable for any indirect, incidental, special, consequential or punitive damages, or for loss

of profit, revenue, business, anticipated savings, data or goodwill, however arising.

7.2 Each party's total aggregate liability arising out of or in connection with this Agreement, whether in contract, tort (including negligence), breach of statutory duty or otherwise, is limited to the total fees paid by the Client to the Consultant under the relevant SOW in the twelve (12) months preceding the event giving rise to the claim.

7.3 Clause 7.2 does not apply to the Consultant's liability under clause 8.1, which is limited to two (2) times the fees paid under the relevant SOW, nor to liability which cannot be limited by law, nor to the Client's obligation to pay fees.

8. INDEMNITY

8.1 The Consultant shall indemnify the Client against direct losses arising from a third-party claim that the Deliverables, as originally delivered by the Consultant, infringe that third party's copyright, subject to clause 7.3 and to clause 8.2.

8.2 Clause 8.1 does not apply to any claim arising from:

(a) materials, data, specifications or instructions supplied or directed by the Client;

(b) modification of the Deliverables by any person other than the Consultant;

(c) combination of the Deliverables with any product, service or data not supplied by the Consultant;

(d) use of the Deliverables otherwise than in accordance with the SOW or the documentation;

(e) third-party or open-source components, which are provided subject to their own licences; or

(f) continued use after the Consultant has provided a non-infringing alternative.

8.3 The indemnified party shall give prompt written notice, allow the indemnifying party to control the defence and settlement, and provide reasonable assistance at the indemnifying party's cost.

9. TERM AND TERMINATION

9.1 This Agreement commences on the Effective Date and continues until terminated.

9.2 Either party may terminate this Agreement or any SOW for convenience on thirty (30) days' written notice.

9.3 Either party may terminate immediately on written notice if the other commits a material breach not remedied within fifteen (15) days of written notice, or becomes insolvent.

9.4 On termination for any reason, the Client shall pay for

all Services performed and all non-cancellable commitments properly incurred up to the date of termination. Where a SOW is on a fixed-price basis and the Client terminates for convenience, the Client shall additionally pay twenty-five per cent (25%) of the unperformed balance of the fixed price.

9.5 Clauses 2 (to the extent of accrued amounts), 3, 4, 5, 6.3, 7, 8, 10 and 11 survive termination.

10. NON-SOLICITATION

10.1 During the term and for twelve (12) months afterwards, neither party shall knowingly solicit for employment or engagement any individual of the other who was directly involved in the Services, except in response to a general public advertisement not targeted at that individual.

11. GENERAL

11.1 INDEPENDENT CONTRACTOR. The Consultant is an independent contractor. Nothing creates an employment, partnership, joint venture or agency relationship. The Consultant is responsible for all taxes, social security and statutory contributions in respect of the Consultant and the Consultant's personnel.

11.2 PUBLICITY. Neither party shall use the other's name or marks without prior written consent, save that the Consultant may, with the Client's prior written consent, publish an anonymised description of the engagement.

11.3 FORCE MAJEURE. Neither party is liable for failure to perform caused by an event beyond its reasonable control, provided it notifies the other promptly and uses reasonable efforts to mitigate. This clause does not excuse payment obligations.

11.4 ASSIGNMENT. Neither party may assign without the other's written consent, save that either may assign to a successor of its business on written notice.

11.5 NOTICES. Notices must be in writing and sent by email to the addresses in the SOW, with a copy by courier for notices of breach or termination.

11.6 ENTIRE AGREEMENT. This Agreement and the SOWs are the entire agreement and supersede all prior discussions. Neither party relies on any statement not set out here.

11.7 VARIATION. No variation is effective unless in writing and signed by both parties.

11.8 SEVERABILITY. If any provision is held unenforceable, the remainder continues in force.

11.9 COUNTERPARTS. This Agreement may be executed in counterparts, including by electronic signature, each

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     of which is an original.
11.10 GOVERNING LAW AND DISPUTES. This Agreement is governed
     by the laws of Singapore. The parties shall first
     attempt resolution by escalation to a senior executive
     of each party within fifteen (15) days of written
     notice of dispute. Failing resolution, the dispute
     shall be finally resolved by arbitration administered
     by the Singapore International Arbitration Centre under
     its Rules, by one arbitrator, seated in Singapore, in
     English.

SCHEDULE 1 – CONSULTANT BACKGROUND IP
  1. "evalkit" – the Consultant's proprietary evaluation
     harness library and associated metrics implementations
  2. The Consultant's retrieval diagnostic scripts and
     golden-set construction tooling
  3. The Consultant's document templates, runbook templates
     and architecture review checklists
  4. General methodologies, know-how and techniques

SIGNED for and on behalf of the parties.
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⚠ **Two things that template deliberately does**
Clause 3.4 makes the IP assignment **conditional on payment in full** — the most powerful leverage a consultant has against non-payment, because until you are paid the client has no right to use the deliverable. Clause 2.6 gives you an express **suspension right**, so stopping work is a contractual remedy rather than a breach. **Have an advocate confirm both are effective under the governing law you end up agreeing.**

Getting Paid on Time and Dealing With Non-payment

Every consultant eventually meets the client who goes quiet. The defence is almost entirely structural and almost entirely applied **before** the work starts: deposits, milestones, short terms, and control of something the client needs. Once an invoice is 90 days old your realistic recovery probability is well under 50%, and legal action across borders rarely makes economic sense below roughly ₹15–20 lakh.

Structural defences, in order of effectiveness

Defence	How it works	Effectiveness	Client resistance
Advance / mobilisation payment	25–50% before work starts on any first engagement	**Highest** Filters out clients who cannot or will not pay	Low for small clients; enterprises often cannot do it — compensate with short terms
Milestone gating	Deliverable N+1 does not start until invoice N is paid	**Very high** Caps your exposure at one milestone	Low if stated up front
Short payment terms	Net 15 rather than Net 30 or 45	**High** Halves your exposure window	Medium — enterprises have fixed AP cycles
IP assignment conditional on payment	Clause 3.4 above. Until paid, the client has no licence.	**High** Particularly powerful if the client is fundraising or being acquired	Low — it is market standard
Access and deployment leverage	Work in your own environment and deliver on acceptance; hold the production deployment, the final model weights, the documentation, or the DNS cutover until payment	**High** but use carefully	Medium — be sure your contract permits suspension
Suspension right	Express contractual right to stop work on notice for non-payment	**High** Converts "I'm downing tools" from a breach into a remedy	Low
Monthly invoicing, not end-of-project	Invoice on the last working day of every month, without fail	**High** Problems surface in month one, not month five	None

Knowing the AP contact by name	Get the accounts payable email and a human name during onboarding, not during a dispute	Underrated	None
Purchase order discipline	Never start work at a large company without a PO number; put it on every invoice	High "No PO, no pay" is a real policy at most enterprises	None
Credit check on large engagements	For engagements above ~₹20 lakh, check the client's filings, funding history and any public litigation	Moderate	None — they will not know

The deposit is not about the money

A client who refuses a 30% mobilisation payment on a first engagement is telling you something. Sometimes it is a genuine procurement constraint at a large company — which is fine, and you compensate with monthly invoicing and short terms. Sometimes it is cash-flow trouble they have not disclosed. Ask directly: "Is this a policy constraint or a cash-flow timing issue? Either is workable but they need different structures."

The dunning sequence — four worked emails

TEXT

EMAIL 1 — DAY +3 AFTER DUE DATE
Tone: assume an administrative slip. Never accusatory.

Subject: Invoice EXP/25-26/0031 — due 20 Feb

Hi Daniel,

Quick note — invoice EXP/25-26/0031 for US$12,960 was due on 20 February and I don't show it as received yet. Copy attached for convenience.

It's probably sitting with AP. Could you confirm it's in the queue, or point me at the right person there?

PO reference: PO-2026-0147
Bank details are on the invoice; please remit on an "OUR" basis so the full amount arrives.

Thanks,
Ananya

EMAIL 2 — DAY +14
Tone: still friendly, now escalating to a named person and asking for a DATE, not a status.

Subject: Invoice EXP/25-26/0031 — now 14 days overdue

Hi Daniel, copying Sarah in AP.

Invoice EXP/25-26/0031 (US$12,960, PO-2026-0147) is now 14 days past its due date of 20 February.

Sarah — could you let me know the payment run date this will fall into? If anything is missing from my side — a W-8BEN, a vendor form, bank details in a particular format — tell me what you need and I'll send it today.

Daniel — work on Phase 3 continues in the meantime. Per clause 2.4 of our agreement, interest at 1.5% per month applies to overdue amounts from the due date, which I'd rather not invoice.

Thanks both,
Ananya

EMAIL 3 — DAY +32
Tone: formal, invokes the contract, names the consequence, still leaves a door open.

Subject: FORMAL NOTICE — Invoice EXP/25-26/0031 — 32 days overdue — suspension of services

Dear Daniel,

Invoice EXP/25-26/0031, dated 5 February 2026, for US$12,960, became due on 20 February 2026 and remains unpaid. It has not been disputed within the ten-day window under clause 2.5 of our Consulting Services Agreement dated 12 November 2025, and is therefore an undisputed amount.

Please treat this as formal notice under clause 2.6. If payment in full is not received by 5pm IST on 20 March 2026, I will suspend all Services under SOW-2 with effect from that date, including the Phase 3 work currently in progress. Timelines will be extended by the period of suspension.

For completeness:

- Interest at 1.5% per month accrues from 20 February under clause 2.4. As at today that is US$207.36.
- Under clause 3.4, title in the Deliverables does not pass to Northwind until payment in full is received. Northwind accordingly has no licence to use the Phase 1 and Phase 2 deliverables until the account is settled.

I would much rather resolve this. If there is a cash-flow issue, tell me and I will propose a payment schedule. If there is a problem with the work, tell me what it is and I will fix it. What I cannot do is continue unpaid.

Regards,
Ananya Rao
Rao Systems

EMAIL 4 — DAY +55
Tone: final. States exactly what happens next and when.

Subject: FINAL NOTICE before formal recovery — Invoice EXP/25-26/0031

Dear Daniel, copying Sarah and legal@northwindanalytics.com

Despite my notices of 23 February, 6 March and 9 March, invoice EXP/25-26/0031 for US$12,960 remains unpaid, 55 days

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past its due date. Services have been suspended since
20 March.

Total now outstanding:
  Principal                          US$ 12,960.00
  Interest to date (clause 2.4)      US$    381.60
  TOTAL                              US$ 13,341.60

Unless payment in full is received by 5pm IST on Friday
25 April 2026, I will, without further notice:

  1. Refer the matter to arbitration under clause 11.10 of
     our Agreement (SIAC, Singapore, single arbitrator), and
     claim the principal, contractual interest, and the
     costs of the arbitration;
  2. Instruct a commercial collections agency;
  3. Formally confirm in writing that, under clause 3.4,
     Northwind holds no licence to the Phase 1 and Phase 2
     deliverables, including the evaluation harness
     currently running in your CI pipeline, and require
     their removal.

I remain willing to accept a reasonable payment plan agreed
in writing before that date.

Regards,
Ananya Rao
Rao Systems
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THE RULES BEHIND THE SEQUENCE

- Fixed days: +3, +14, +32, +55. Put them in your calendar the day you issue the invoice. Do not improvise.
- Escalate the AUDIENCE, not the volume. Each email adds a recipient.
- Ask for a DATE from email 2 onwards. "Still processing" is not an answer.
- Reference the clause number every time. It signals you have a contract and have read it.
- Never threaten something you will not do.
- Never go silent yourself. Silence is interpreted as acceptance.

Legal options, and whether they are worth it

Route	Available when	Realistic cost	Realistic time	Worth it abo
MSME Samadhaan (samadhaan.msme.gov.in)	You are Udyam-registered as a micro/small enterprise and the buyer is in India. Claim under Sections 15–18 of the MSMED Act 2006 for the principal plus compound interest at 3× the RBI bank rate.	Free to file online; the Facilitation Council conciliates and then arbitrates	Statutory target of 90 days for the Council to decide; in practice 4–18 months	**Any amount.** is fast by India and the buyer disallowance u Section 43B(h) **current proce interest form samadhaan.n**
Section 138, Negotiable Instruments Act 1881 (cheque dishonour)	You hold a cheque that bounced. Demand notice within **30 days** of the bank memo; drawer has **15 days** to pay; complaint within **30 days** thereafter.	₹25,000–₹1,50,000 in advocate's fees	1–4 years, though the threat frequently produces payment	₹2 lakh. The cr character (up t imprisonment amount) make unusually effe leverage. **Verif current limita periods.**
Summary suit, Order XXXVII CPC	Debt is on a written contract, bill of exchange or promissory note and is a liquidated sum	₹75,000–₹4,00,000 plus court fees (ad valorem, state-specific)	1–3 years	₹8 lakh
Pre-institution mediation, Section 12A Commercial Courts Act 2015	**Mandatory** before filing a commercial suit of specified value (currently	Nominal	3 months, extendable by 2	Not optional - gateway. **Verif current speci**

	₹3 lakh and above) unless urgent interim relief is sought			
Commercial court suit	Commercial dispute of specified value	₹2–15 lakh	2–5 years	₹25 lakh
Arbitration (India — MCIA, DIAC, ad hoc)	Your contract has an arbitration clause	₹3–20 lakh including arbitrator fees, which the parties fund	Section 29A of the Arbitration and Conciliation Act 1996 requires the award within 12 months of completion of pleadings, extendable by 6 months by consent	₹25 lakh
Arbitration (SIAC/ICC, foreign seat)	Cross-border contract with an institutional clause	**US$25,000–US$150,000** all-in for a small claim	9–24 months	**US$150,000.** the arbitration than the debt. a SIAC clause US$25,000 en decoration, nc — though it is decoration in letter.
US small claims court	Client is a US entity; limits vary by state, typically US$5,000–US$25,000	Filing fee US$30–US$200; generally no lawyers permitted	2–6 months	**Genuinely us** may need a U agent or to ap remotely; rule state and cou the specific cc
Collections agency	Anywhere; international commercial collections firms operate on contingency	**15–35% of amounts recovered**, no recovery no fee	1–6 months	₹3 lakh. Often economic opt cross-border c US$50,000.

Reputational pressure	Always available; use with extreme care	Free	Immediate	Be very carefu accusations ca you to defama and will certai chance of pay factual statem mutual contac have an unres invoice" is diff public post.

⚠ **Limitation periods are not advisory**

Under the Limitation Act 1963, a suit for the price of goods sold or services rendered generally must be brought within **three years** from when the cause of action accrues. Cross-border claims are governed by the limitation law of the relevant forum. A written acknowledgement of the debt by the client restarts the clock under Section 18 — which is one reason to get the client to confirm the amount in writing even while they are not paying it. **Confirm limitation with an advocate; do not sit on a claim for two years and eleven months.**

When to write it off

1. **Do the arithmetic honestly.**
Recovery value = (amount owed) × (probability of recovery) − (cost of pursuit) − (value of your time at your own hourly rate). A ₹4 lakh debt with a 35% recovery probability and ₹1.5 lakh of pursuit cost plus 40 hours of your time at ₹5,000 is worth ₹1.4 lakh − ₹1.5 lakh − ₹2 lakh = **negative ₹2.1 lakh**. Write it off.

2. **Write off formally.**
In your books, record it as a bad debt. Under Section 36(1)(vii) of the Income-tax Act a bad debt written off as irrecoverable in the accounts is deductible, subject to Section 36(2) — broadly, the debt must have been taken into account in computing income. On 44ADA you have no such claim, because you are taxed on receipts, so an unpaid invoice simply never becomes a receipt. **Confirm the treatment with your CA.**

3. **Deal with the FEMA side.**
An unrealised export receipt leaves an open EDPMS entry. Apply to your AD bank for write-off under the Master Direction, with evidence of your recovery efforts — the dunning emails, the legal notice, the collections agency report. Keep that file.

4. **Deal with the GST side.**
   If you exported under LUT and were never paid, the export condition in Section 2(6)(iv) is not satisfied. Discuss with your CA whether any reversal or adjustment is required, particularly if you claimed an ITC refund attributable to that turnover.

5. **Extract the lesson, in writing.**
   What was the earliest signal you ignored? Almost always there was one: a missed kickoff, a vague answer about who approves spend, a procurement process that started after work did, a founder who was evasive about funding. Write it in a one-page "client red flags" note and read it before every new engagement.

6. **Move on fast.**
   The opportunity cost of a six-month collection obsession is usually larger than the debt. Your best recovery of a bad debt is a good new client.

Running the Practice

A consulting practice is a small business with one employee who is also the sales team, the delivery team, the finance function and the IT department. The practices below are the minimum operating discipline that keeps those four from interfering with each other.

Time tracking and utilisation

Track time even on fixed-price work. You cannot price the next engagement correctly without knowing what the last one actually cost you, and you cannot tell whether your rate is working without knowing your realised rate per hour.

Metric	Definition	Target for a solo consultant	What it tells you
Billable utilisation	Billable hours ÷ available hours	60–75%	Above 80% sustained means you have no pipeline time and will crash when the engagement ends
Realised rate	Revenue ÷ total hours worked (billable and non-billable)	Should exceed your target income ÷ 2,000	The only rate that matters. A US$120/hour nominal rate at 55% utilisation is a US$66/hour business.
Fixed-price margin	(Fee − hours × target rate) ÷ fee	Positive on 80% of engagements	If you are consistently negative, your estimating is optimistic, not your pricing
Pipeline coverage	Value of qualified opportunities ÷ revenue target for the next quarter	3× or better	Below 2× means start selling now, not next month
Days sales outstanding (DSO)	(Receivables ÷ revenue) × days in period	Under 35 days	Above 50 means your terms or your collections are broken
Client concentration	Largest client ÷ total revenue	Under 50%; under 35% is comfortable	Above 60% you are an employee with worse rights
Revenue per working day	Annual revenue ÷ working days	Track the trend, not the level	The simplest single health indicator

Tooling stack

Function	Options	Indicative cost	Notes
Invoicing + accounting	Zoho Books, TallyPrime, Vyapar, QuickBooks (India availability varies)	₹6,000–₹20,000/year	Pick one that generates GST-compliant invoices and files GSTR-1 directly. Zoho Books is the common choice for Indian solos.
Time tracking	Toggl Track, Harvest, Clockify	Free–₹1,000/month	Must export a timesheet you can attach to an invoice
Contracts and e-signature	DocuSign, Dropbox Sign, Zoho Sign, Leegality (India, Aadhaar eSign)	₹800–₹3,000/month	Indian e-sign with Aadhaar eSign or DSC is valid under Section 5 of the IT Act 2000; see the Contracts guide for the excluded document types
Proposals	Google Docs + PDF is entirely sufficient; PandaDoc/Better Proposals if you want tracking	Free–₹2,500/month	Do not spend money here before you have ten clients
CRM / pipeline	A Notion or Airtable table; HubSpot free tier	Free	A spreadsheet with company, contact, stage, value, next action, next date is genuinely enough below 30 opportunities
Banking	One current account at a bank with a competent trade desk; Wise Business as a second rail	Minimum balance requirements vary; ₹10,000–₹1,00,000 AMB	Ask about trade desk responsiveness before choosing. It matters more than the app.
Password and secrets	1Password, Bitwarden	₹300–₹800/month	Separate vaults per client. This is a security control clients will ask about.

Document storage	Google Workspace or Microsoft 365 on your own domain	₹150–₹700/user/month	Your own domain email is the cheapest credibility you can buy. Never run a consulting practice from a gmail.com address.
Backup	Backblaze, iDrive, plus a second physical copy	₹500–₹1,200/month	Test a restore once a quarter. Untested backups are a feeling, not a control.
Device security	Full-disk encryption, automatic updates, screen lock, separate work user account, MFA everywhere	Free	Write it up as a one-page security statement — client questionnaires ask for exactly this

Insurance

Cover	What it protects against	Indicative Indian premium	Do you need it?
Professional indemnity (errors & omissions)	Claims that your professional advice or work caused the client financial loss — negligent code, a failed migration, bad architecture advice	₹25,000–₹90,000/year for ₹1–5 crore cover, depending on turnover and scope	**Yes** if you sign contracts with liability exposure or serve enterprise clients. Often cheaper than the limited liability an OPC would give you.
Cyber liability	Data breach response, notification costs, third-party claims, business interruption, sometimes ransomware	₹20,000–₹80,000/year	**Yes** if you process client personal data or hold credentials to client systems. Increasingly a contractual requirement.
Commercial general liability	Third-party bodily injury and property damage — relevant if you visit client sites	₹8,000–₹25,000/year	Only if a client requires it
Health insurance (family floater + super top-up)	Hospitalisation	₹35,000–₹90,000/year for ₹10 lakh base + ₹50 lakh top-up, family of three, age 35	**Non-negotiable.** You have no group cover. Buy before you resign, while you are healthy, and serve the waiting periods early.
Term life	Your family's income if you die	₹15,000–₹30,000/year for ₹2 crore cover, age 35, non-smoker	**Yes** if anyone depends on your income. 10–15× annual income is the usual rule.
Personal accident / disability	Loss of income from an accident or disability — the risk consultants systematically ignore	₹3,000–₹12,000/year	**Yes.** You are a single point of failure for your own revenue.

Critical illness	Lump sum on diagnosis of a listed condition	₹8,000–₹25,000/year	Worth considering; an illness that stops you working for six months is a business-ending event for a solo practice

⚠ **Premiums above are indicative only**

Insurance pricing in India depends on age, sum insured, city, declared turnover, scope of services, claims history and insurer appetite. **Get at least three quotes through an IRDAI-registered broker and verify insurer registration at irdai.gov.in.** Read the exclusions in a professional indemnity policy carefully — many exclude contractual liabilities you have assumed, which is precisely what your client contract does.

Retirement savings with no PF

Vehicle	Limit	Lock-in	Taxation	Role in the portfolio
PPF (Public Provident Fund)	₹1,50,000 per financial year per individual	15 years, extendable in 5-year blocks; partial withdrawal from year 7	EEE — contribution deductible under 80C (old regime), interest exempt, maturity exempt	The debt anchor. Sovereign-backed. Open one even if you are in the new regime and get no deduction, for the tax-free compounding.
NPS Tier-I	No cap on contribution; deduction under 80CCD(1) within the 80C limit and an additional ₹50,000 under 80CCD(1B), both **old regime only**	Until age 60, with limited partial withdrawals	At exit, up to 60% of the corpus may be withdrawn tax-free and the balance must buy an annuity, which is taxable as income. **Verify current rules at npscra.nsdl.co.in / pfrda.org.in.**	Low-cost equity and debt exposure with an annuity constraint. Good discipline; poor liquidity.
Equity mutual funds / index funds	No limit	None (ELSS has 3 years)	LTCG and STCG on equity are taxed at rates fixed by the Finance Act, with an annual exemption threshold. **Verify the current rates and threshold at incometax.gov.in — these were revised in 2024.**	**The core of a self-employed retirement plan.** Liquidity matters more for you than for a salaried person because your income is lumpy.
Liquid / ultra-short debt funds or sweep-in FDs	No limit	None	Taxed as per current rules for debt funds; verify	The tax reserve and the emergency fund

				live here. Not a return vehicle.
Voluntary EPF	Not available to the self-employed — EPF requires an employer-employee relationship	—	—	A common misconception. You cannot contribute to EPF as a sole proprietor.
Real estate	—	Illiquid	Complex	Be careful. A large EMI against lumpy consulting income is the most common way consultants get forced back into employment.

✦ **The emergency fund rule for consultants**
A salaried person is advised to keep 3–6 months of expenses. A solo consultant should hold **6–9 months of household expenses plus one quarter of business costs plus the accumulated tax reserve** — and the tax reserve must not be counted as emergency money, because it belongs to the government. For a household spending ₹2.5 lakh a month, that is ₹15–22.5 lakh of genuinely liquid savings, separate from the tax account. Build it before you raise your lifestyle.

Record-keeping for audit and diligence

TEXT

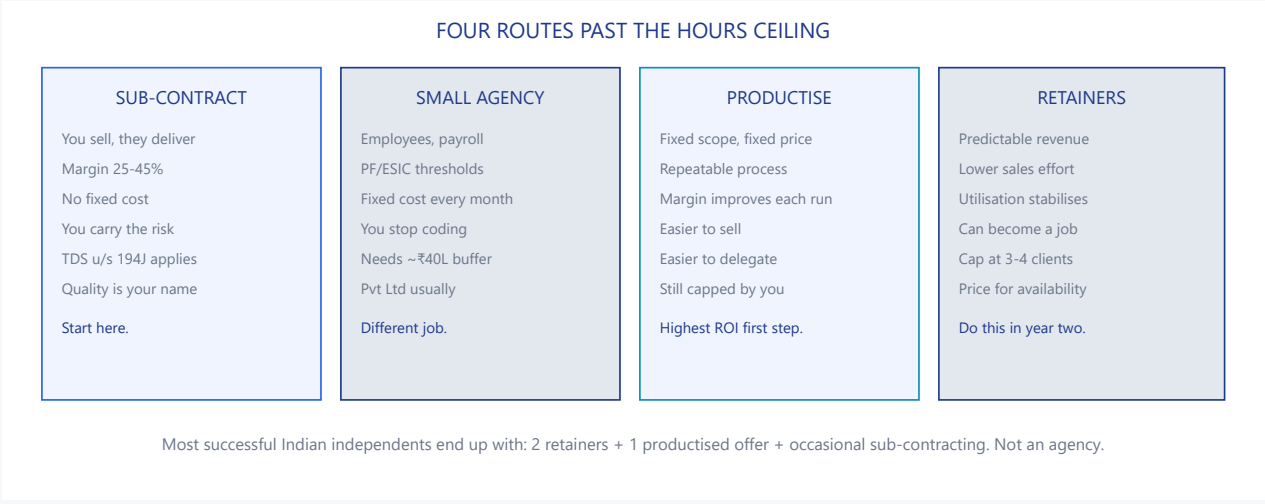
```
FOLDER STRUCTURE THAT SURVIVES EVERYTHING

/RaoSystems
  /01-Entity
      PAN, Aadhaar linkage, Udyam cert, GST REG-06,
      LUT acknowledgements by year, Shops & Est,
      professional tax enrolment, IEC, non-STPI cert
  /02-Clients
      /Northwind-Analytics
          /Contracts        MSA, SOWs, change requests,
                            NDAs, DPAs, W-8BEN sent
          /Invoices         EXP-25-26-0031.pdf ...
          /Payments         FIRA, MT103, bank advice
          /Deliverables     final artefacts as delivered
          /Correspondence   key decisions, approvals,
                            acceptance emails
  /03-Finance
      /FY2025-26
          /Bank             statements, reconciliations
          /Expenses         /04-Apr /05-May ... each with
                            vendor invoices
          /GST              GSTR-1, 3B, 2B, RFD-01,
                            refund orders
          /IncomeTax        challans, 26AS, AIS, ITR-V,
                            computation sheet
          /TDS              challans, 26Q, Form 16A issued
          /FixedAssets      asset register, purchase bills
  /04-Insurance
  /05-Legal                 templates, advocate opinions
  /06-Admin                 vendor contracts, subscriptions

NAMING          YYYY-MM-DD_party_description_amount.pdf
RETENTION       7 years minimum (Rule 6F: 6 years from the
                end of the relevant AY; keep 7)
BACKUP          cloud + one encrypted local copy; test a
                restore every quarter
ACCESS          if anything happened to you, could your
                spouse or your CA find the client list, the
                bank details and the outstanding invoices?
                Write a one-page "if I'm not here" note and
                tell one person where it is.
```

Scaling Beyond Yourself

A solo consultant's revenue is capped by hours. There are four ways past the cap — sub-contract, build an agency, productise, or shift to retainers — and each changes what your job is. Choose deliberately, because the version of you that enjoys deep technical work may actively hate running a 12-person services firm.



The four routes are not a ladder. They are alternatives with different lifestyles attached.

Sub-contracting — the mechanics

1. **Contract back-to-back.**
Your agreement with the associate should mirror the obligations you owe the client — confidentiality, IP assignment to you (so you can assign onward), warranties, and a liability position you can live with. Never promise the client more than you have secured from the associate.

2. **Deduct TDS.**
Payments to a resident professional attract TDS under Section 194J — 10% for professional services, 2% for technical services — above the annual threshold per payee (raised to ₹50,000 by the Finance Act 2025;
verify
). Deposit by the 7th of the following month, file Form 26Q quarterly, issue Form 16A. Failure means a 30% disallowance under Section 40(a)(ia) plus interest.

3. **Watch the GST position.**
If your associate is GST-registered they charge you 18%, which you claim as ITC and recover through your export refund. If they are unregistered, there is no GST on their invoice and

nothing to claim.

4 **Do not become an intermediary.**
Contract with the client in your own name, on your own account, bearing the delivery risk. See the GST section.

5 **Price the margin properly.**
If you pay ₹3,000/hour and bill US$95 (₹8,360), your gross margin is 64% — but you are carrying delivery risk, payment risk, review time and reputation risk. A 30–45% net margin after your own review time is realistic.

6 **Review everything before it leaves.**
Your name is on it. Budget 15–20% of the associate's hours for your own review, and include that in the price.

7 **Disclose or do not, but be consistent.**
Most clients are relaxed about sub-contracting if they know. Almost none are relaxed about discovering it. Check your MSA — many require prior written consent.

Productising a service

TEXT

```
TURNING A CUSTOM ENGAGEMENT INTO A PRODUCT

STEP 1  Find the repeat.
  Look at your last 10 engagements. Which problem appeared
  3+ times? For most AI consultants it is one of:
    - "our RAG demo doesn't work on real data"
    - "we have no idea what our LLM features cost"
    - "we need to pass a security review to close enterprise"
    - "our data pipeline breaks and nobody knows why"

STEP 2  Fix the scope and the price.
  Name it. Give it a duration, a fixed fee, and a fixed list
  of deliverables. Remove every "it depends".

    AI SPEND AUDIT
      Duration    8 business days
      Price       US$ 5,900
      Inputs      read access to logs and billing, 3 x 45-min
                  interviews, a sample of 500 production
                  requests
      Deliverables
        1. Cost breakdown by feature, model and query class
        2. Top 10 cost drivers with quantified savings
        3. Model-routing recommendation with quality risk
        4. A 90-day implementation plan
        5. A 60-minute readout with your team
      Guarantee   If identified annualised savings are less
                  than 3x the fee, the fee is refunded.

STEP 3  Build the machine.
  A questionnaire, an intake checklist, scripts that pull
  and normalise the data, a report template with the
  analysis pre-written and the numbers templated, a
  readout deck skeleton.
  Run 1: 70 hours. Run 2: 48 hours. Run 5: 26 hours.
  Same price. Margin goes from 36% to 81%.

STEP 4  Sell it as the first step.
  The productised offer is a low-risk entry point that
  converts to the larger engagement. Track the conversion
  rate; a good diagnostic product converts 40-60% into
  implementation work.

STEP 5  Delegate it.
  Once it is a documented process, an associate can run
  80% of it under your review. That is how you break the
  hours ceiling without becoming an agency.
```

When to incorporate a Private Limited

- ☐ **You have a co-founder.**Shared ownership needs a cap table, and a cap table needs a company. Do it on day one of the partnership, not later.
- ☐ **You want to hire employees with ESOPs.**Options require a company and a Section 62(1)(b) scheme. A proprietorship cannot grant equity.
- ☐ **You are raising external investment.**No institutional investor will fund a proprietorship or an LLP.
- ☐ **Gross receipts are consistently above ₹1 crore and you are reinvesting rather than extracting.**The 22% rate under Section 115BAA plus deferral of the dividend tax starts to beat the 30%+surcharge personal rate.
- ☐ **A material client genuinely cannot contract with an individual.**Verify this with their procurement before spending the money; it is often assumed rather than true.
- ☐ **You are building a product with a view to a sale or acquisition.**Buyers acquire shares, not sole traders.
- ☐ **Your work carries liability that insurance will not cover** and limited liability is a real protection rather than a comfort blanket.

✕ **Reasons that are NOT good enough to incorporate**
"It looks more professional." "Someone on LinkedIn said so." "I want a .com with a company name" (you can trade under a business name as a proprietor). "For tax savings" (at consulting receipts below ₹1 crore, incorporating usually **increases** your total tax). "To separate personal and business" (a separate current account does that). **Model the tax outcome with your CA before incorporating. The worked comparisons earlier in this guide show the gap is often ₹3–9 lakh a year against you.**

Frequently Asked Questions

I earn ₹42 lakh a year from one US client. Do I need to register for GST?

Yes. "Aggregate turnover" under Section 2(6) of the CGST Act 2017 **includes exports**, so your ₹42 lakh crosses the ₹20 lakh services threshold in Section 22. You must apply within 30 days of becoming liable. Once registered, file Form GST RFD-11 (LUT) for the financial year so you can export without paying IGST, then file GSTR-1 and GSTR-3B every period — including nil returns. You will also be able to claim refund of unutilised input tax credit on your cloud, co-working, hardware and professional

fees, which is usually worth ₹1–2 lakh a year. **Verify the current threshold and the continued operation of Notification 10/2017-Integrated Tax at gst.gov.in.**

My gross receipts will be about ₹68 lakh this year. Can I still use Section 44ADA?

Yes, provided your **cash receipts do not exceed 5%** of total gross receipts — the enhanced ceiling is ₹75 lakh (₹7,500,000) where that condition is met, against a base ceiling of ₹50 lakh. Bank wires, UPI, NEFT and account-payee cheques are not "cash" for this test. Two cautions. First, the test applies to receipts for the **whole previous year**, so a late client payment in March can push you over retrospectively and remove 44ADA for the entire year — track a rolling total weekly. Second, at ₹68 lakh you are close enough to the edge that you should maintain basic books anyway, so that a crossing does not leave you with a tax audit and no ledgers. **Verify the current limits on incometax.gov.in.**

My US client's finance team says they must withhold 30%. Are they right?

Almost certainly not, if you perform all services in India and have no US presence. Compensation for personal services is generally sourced to where the services are **performed**; services performed outside the United States by a non-resident alien are generally foreign-source and not subject to US Chapter 3 withholding. Separately, Articles 7 and 15 of the India–US treaty reserve taxing rights over business profits and independent personal services to India absent a US permanent establishment or fixed base. Send a signed **Form W-8BEN** (not a W-9 — that is for US persons) with a short covering note. Where their counsel still insists, the watch-point is Article 12(4) "fees for included services" and the "make available" test, which can be engaged if you transfer a technical plan or design or train their staff to perform the service themselves. **Get cross-border tax advice for any engagement above roughly ₹20 lakh; this is US law and it depends on your exact facts.**

Do I need an IEC to receive payments for software consulting?

Usually no. The Importer Exporter Code is mandatory for import and export of **goods**; for services, DGFT's position has been that IEC is required only where you claim benefits under the Foreign Trade Policy or fall within a notified category. In practice some bank relationship managers ask for one reflexively on an inward remittance. It costs ₹500 and takes a day on dgft.gov.in, so if a remittance is being held over it, obtain one rather than argue. You will also need an IEC if you ever need to generate an e-BRC. **Verify the current service-export position at dgft.gov.in.**

Do I have to file SOFTEX? My bank has never mentioned it.

It depends entirely on your bank and your values. Software exports are declared in Form SOFTEX under the RBI's Master Direction on Export of Goods and Services, certified by STPI for a non-STPI registered unit, and matched by your AD bank against the inward remittance in EDPMS. Some banks process consultancy remittances under purpose code P0802 with nothing more than an invoice; others will not close the EDPMS entry without certified SOFTEX and will send you escalating reminders. Ask your bank's trade desk **in writing**: "At what value, if any, will you require certified SOFTEX for inward remittances under P0802?" Act on the written answer. Registration with STPI costs

a few thousand rupees plus slab-based annual service charges on export value. **Verify current requirements at rbi.org.in and stpi.in.**

Should I incorporate a Private Limited company to look more credible?

Not for credibility alone. At ₹20 lakh of receipts, the worked comparison in this guide shows a proprietorship using Section 44ADA keeping roughly ₹3.7 lakh a year more than an OPC, because corporate profit is taxed at about 25.17% and then taxed again at your slab rate when you take a dividend out, on top of mandatory statutory audit and ROC filings. Incorporate when there is a structural reason: a co-founder, ESOPs, external investment, a client whose procurement genuinely blocks individuals, or sustained receipts above ₹1 crore with profit being reinvested. Credibility is cheaper to buy with a business name, your own domain, a professional indemnity certificate and two published case studies. **Run the numbers with your CA for your own figures before deciding.**

A client wants to pay me in USDT because their bank is slow. Is that fine?

No. Three separate problems. For **GST**, Section 2(6)(iv) of the IGST Act requires payment in convertible foreign exchange (or INR where the RBI permits) — a stablecoin is neither, so your supply may fail the export test and become taxable at 18% out of your own pocket. For **FEMA**, there is no authorised dealer, no purpose code, no FIRA and no EDPMS entry, so the export proceeds are not realised through the prescribed channel. For **income tax**, virtual digital assets are taxed under Section 115BBH at a flat 30% on gains with no deductions other than cost of acquisition and no loss set-off, plus 1% TDS under Section 194S on transfer. Ask the client to use Wise instead — it is usually faster than their bank anyway. **Verify the current VDA tax treatment at incometax.gov.in.**

I am still employed. Can I take a small consulting project on weekends?

Read your employment contract and the employee handbook first — exclusivity ("whole time and attention"), conflict of interest, IP assignment and systems-use clauses are what govern, and handbooks are usually incorporated by reference. If the contract permits outside work with prior written consent, ask for it in writing with a description of the engagement and a confirmation of no conflict. Then: use only your own laptop, accounts and network; work only outside contracted hours and on-call; pick a sector unrelated to your employer's business, customers and prospects; never reuse employer code, documents, prompts or customer information; and declare the income in your ITR. The legal risk is usually smaller than the practical risk — termination for cause, a withheld relieving letter, forfeited ESOPs and a negative background verification. A post-employment non-compete is void under Section 27 of the Indian Contract Act, but that gives you no protection while you are still on payroll.

What should I charge a US client as a senior engineer with nine years of experience?

Build it from your target income rather than from a benchmark. Take the post-tax income you need, gross it up for tax, add real business costs, divide by realistic billable hours (45 working weeks × 45 hours × 67% billable ≈ 1,357 hours), then divide again by an expected utilisation of 70–80% in your first two years. For a ₹72 lakh receipts target that calculation lands at roughly US$80–85 per hour. As an observational cross-check, senior Indian independents with a clear specialism commonly sit in the

US$50–90/hour band for engineering and higher for advisory, with AI/ML work currently carrying a premium. Publish a three-tier rate card rather than a single number, and expect to raise it 10–20% annually. **These bands are observational and will vary by niche; validate against three peers in your specific area.**

A client has not paid an invoice that is 70 days overdue. What now?

Work the sequence. Day +3: friendly note assuming an administrative slip, asking who in AP owns it. Day +14: copy AP, ask for a specific payment-run date, offer to supply anything missing, mention the contractual interest without invoicing it. Day +32: formal notice citing your suspension clause and your conditional IP-assignment clause, with a deadline, and suspend if unpaid. Day +55: final notice naming exactly what you will do and when. Alongside that, check your leverage: do you hold anything they need, and does your contract allow you to withhold it? For an Indian client, file free on **MSME Samadhaan** if you are Udyam-registered — Section 16 of the MSMED Act gives compound interest at three times the RBI bank rate and Section 43B(h) of the Income-tax Act denies them the deduction. For a foreign client below roughly US$50,000, an international commercial collections agency on 15–35% contingency is usually better economics than arbitration. Above all, do the arithmetic before you spend six months on it.

Can I claim my rent, laptop and internet if I use Section 44ADA?

No — not separately. Section 44ADA deems 50% of gross receipts to be your income and treats all deductions under Sections 30 to 38, including depreciation, as already allowed. You cannot deduct rent, equipment, internet or software **on top of** the 50%. The written-down value of your assets is also deemed to have been reduced as if depreciation had been claimed, so keep a fixed asset register even on 44ADA — you will need the correct opening WDV the year you exit. What you **can** still claim separately are Chapter VI-A deductions (80C, 80D, 80CCD(1B)), but only if you are in the old regime, which for most 44ADA consultants produces a worse outcome than the new regime. Run both in the ITR utility.

What is an EEFC account and should I open one?

An Exchange Earners' Foreign Currency account is a non-interest-bearing current account in India denominated in a foreign currency, into which eligible foreign exchange earnings may be credited, and from which permitted foreign-currency payments may be made without a round-trip conversion. It pays off only if you have **meaningful and regular foreign-currency outgo** — AWS billed in USD, AI API spend, overseas travel, foreign advisers. The worked example in this guide shows a saving of roughly ₹38,000 a year on US$28,000 of annual foreign spend against US$150,000 of receipts. Below about US$10,000 of annual foreign spend, the administration and the crystallisation discipline are not worth it. Note that balances must be converted to rupees on or before the last day of the month succeeding the month of credit, subject to the current rule. **Verify crediting percentages and crystallisation rules at rbi.org.in.**

My client's contract says I assign all IP "conceived during the term". Should I sign?

> Not as drafted. That wording reaches your unrelated side projects, your reusable libraries and your writing. Push for two changes. First, narrow the assignment to "the deliverables created specifically for the Client under a Statement of Work". Second, add an express **Background IP** carve-out with a schedule listing your pre-existing tools, libraries, templates and methodologies, coupled with a perpetual non-exclusive licence to the client to use that Background IP *as embedded in the deliverables*. Also make the assignment conditional on payment in full — it is market-standard and it is the single strongest anti-non-payment clause available to you. Separately, note that Section 19 of the Copyright Act 1957 requires an assignment to be in writing and signed; US-style "work made for hire" language alone may not effect a valid assignment under Indian law, so insist on an express assignment clause.

> **How much should I hold back from each payment for tax?**
>
> Set a fixed percentage and transfer it to a separate account the day the money lands, with no decision involved. On Section 44ADA with deemed income around ₹25 lakh the effective tax on receipts is roughly 7%, so reserve 10%. At deemed income around ₹37 lakh it is roughly 9.5%, so reserve 13%. On regular computation at ₹85 lakh of professional income the effective rate on receipts is roughly 24%, so reserve 28%. Always round up — a surplus on 31 March is a bonus, a shortfall is 1% a month under Sections 234B and 234C. If you are GST-registered and billing Indian clients, the GST you collect is additional and is never your money. Remember that under Section 44ADA/44AD the entire advance tax is payable in a **single instalment by 15 March**, so the reserve must be fully funded by then.

> **What is the one thing most new Indian consultants get wrong?**
>
> Underpricing, caused by dividing a target annual number by 2,000 hours. The honest divisor is closer to 1,000–1,350 billable hours, because 25–35% of your week goes to sales, admin, compliance and marketing, and because you will not be fully utilised in your first two years. That single arithmetic error produces a rate roughly half what it should be, which then forces 60-hour weeks to hit the number, which eliminates the time needed for business development, which guarantees the gaps that caused the under-utilisation in the first place. The second most common error is treating gross receipts as income and discovering in March that the tax was never set aside.

Compliance Calendar, Client Onboarding Checklist and Template Inventory

Everything in this guide reduces to three artefacts you should build in an afternoon and then use for a decade: a calendar with every statutory date on it, a checklist you run every time a new client appears, and a folder of documents you never have to write twice.

⚠ **Every date below is as at FY 2025-26 and must be re-verified annually**

Due dates change by notification and are extended most years. Confirm on **incometax.gov.in**, **gst.gov.in** and your state portals. Section numbers change from **1 April 2026** under the Income-tax Act, 2025.

The solo-consultant compliance calendar

TEXT

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ANNUAL COMPLIANCE CALENDAR — SOLE PROPRIETOR CONSULTANT
EXPORTING SERVICES, GST-REGISTERED, ON SECTION 44ADA
As at FY 2025-26. VERIFY EVERY DATE ANNUALLY.
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EVERY MONTH
  7th    Deposit TDS deducted in the previous month
         (Challan ITNS 281 on incometax.gov.in e-Pay Tax)
         — only if you pay associates / professionals
  11th   GSTR-1 for the previous month (monthly filers)
         or IFF by the 13th if on QRMP
  20th   GSTR-3B and tax payment (monthly filers)
  22/24  GSTR-3B for the quarter (QRMP, by state group)
  Last   Raise all invoices for the month. Without fail.
  Last   Reconcile bank + FIRA + invoice register
  Last   Transfer tax reserve percentage to the tax account

EVERY QUARTER
  Review GSTR-2B against your purchase register
  File RFD-01 refund of unutilised ITC (chronological order)
  Download Form 26AS and AIS; reconcile
  Test a backup restore
  Review pipeline coverage and DSO
  Check rolling 12-month aggregate turnover against the
    ₹20 lakh GST and ₹75 lakh 44ADA thresholds

APRIL
  1      New LUT must already be in force for the new FY
  30     Professional tax annual payment (state-specific,
         e.g. Karnataka)
  30     TDS deposit for March (note: 30 April, not 7 May)

MAY
  31     Form 26Q — TDS return for Q4 of the previous FY
  31     Issue Form 16A for Q4 to anyone you deducted from

JUNE
  15     Advance tax instalment 1 (15%) — ONLY if you are
         NOT on 44ADA/44AD
  15     Issue Form 16 to any employee

JULY
  31     Form 26Q — TDS return for Q1
  31     **ITR FILING DUE DATE** (non-audit cases)
         ITR-4 if 44ADA is your only presumptive income and
         you meet the other conditions; otherwise ITR-3
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SEPTEMBER
  15     Advance tax instalment 2 (cumulative 45%) -
         non-presumptive only
  30     Tax audit report (Form 3CA/3CB + 3CD) if applicable

OCTOBER
  31     Form 26Q - TDS return for Q2
  31     ITR due date for audit cases

NOVEMBER
  30     Last date to declare credit notes and amend GSTR-1
         for the previous FY (or date of annual return,
         whichever earlier) - VERIFY current cut-off

DECEMBER
  15     Advance tax instalment 3 (cumulative 75%) -
         non-presumptive only
  31     GSTR-9 / GSTR-9C annual return for the previous FY
         (where applicable by turnover)
  31     Belated / revised return deadline - VERIFY

JANUARY
  31     Form 26Q - TDS return for Q3
         Start the FY-end planning conversation with your CA

MARCH
  **15   ADVANCE TAX - 100%. For 44ADA/44AD this is the
         ONLY instalment and the entire year's tax is due.**
  20     FILE NEXT YEAR'S LUT (Form GST RFD-11) so that it
         is live on 1 April
  31     Complete 80C/80D/80CCD(1B) investments if you are
         in the old regime
  31     Close the invoice register; compute final receipts;
         confirm you are inside the 44ADA ceiling
  31     Renew insurance policies if they run on the FY

CONTINUOUSLY
  Keep the rolling receipts tracker current
  Keep the fixed asset register current
  Keep every FIRA filed against its invoice
  Keep the EDPMS entries closed with your bank
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Onboarding a new client — the checklist

- [ ] **Confirm the contracting entity.** Which legal entity signs, and which entity pays? If it is an Indian subsidiary, the supply is domestic at 18% GST with 10% TDS, not a zero-rated export. Ask before

you quote.

- [ ] **Confirm the billing currency and the payment rail.** SWIFT, Wise, their platform? Who bears bank charges — insist on "OUR".
- [ ] **Get the AP contact name and email.** Not the project manager. The person who runs the payment file.
- [ ] **Get a PO number** if the client is above about 200 people. "No PO, no pay" is a real policy.
- [ ] **Signed MSA or short-form consulting agreement** with your eight protective clauses intact.
- [ ] **Signed SOW** with objective acceptance criteria, deemed acceptance after 5 business days, an out-of-scope list, an assumptions register and a milestone payment schedule.
- [ ] **Mutual NDA** if not already covered by the MSA confidentiality clause.
- [ ] **Data Processing Addendum** if you will touch personal data — DPDP Act 2023 and, for EU clients, GDPR Article 28 terms plus a transfer mechanism.
- [ ] **W-8BEN or W-8BEN-E** sent before the first invoice, with the covering note on withholding.
- [ ] **TRC (Form 10FB) and electronically filed Form 10F** if the client's jurisdiction requires it for treaty relief — start this early, it takes weeks.
- [ ] **Your registration pack**: PAN, GSTIN certificate, current LUT acknowledgement, Udyam certificate, bank details with SWIFT and IFSC, insurance certificate.
- [ ] **Vendor portal registration** completed (Ariba, Coupa, their own portal) with the supplier ID recorded.
- [ ] **Security questionnaire** answered from your standard answer file; attach your one-page security statement.
- [ ] **Kickoff scheduled** with access requirements listed: repositories, environments, logs, data, named point of contact.
- [ ] **Mobilisation invoice raised and paid** before any work starts, on a first engagement.
- [ ] **Calendar entries created**: invoice date (last working day of each month), payment due date, and dunning dates at +3, +14, +32, +55.
- [ ] **Client folder created** in your document tree with the sub-folders for contracts, invoices, payments, deliverables and correspondence.

- [ ] **Time-tracking project created** with the budget loaded, so you can see burn against estimate weekly.
- [ ] **Rolling turnover tracker updated** with the expected receipts from this engagement, against the GST and 44ADA thresholds.

Document template inventory

#	Document	What it is for	Who should review it once	Refresh
1	**Master Services Agreement**	The standing terms you want, used when the client has no paper of their own	Advocate	Every 2 years
2	**Statement of Work template**	Scope, out-of-scope, assumptions, acceptance criteria, milestones, fees	You, refined after every engagement	Continuously
3	**Mutual NDA**	Pre-contract conversations	Advocate	Every 2 years
4	**Change request form**	One page: what changed, impact on scope, timeline and fee, two signatures	You	—
5	**Export invoice template**	All Rule 46 mandatory fields plus the LUT endorsement, SAC, purpose code and remittance instructions	CA	Annually, with the new LUT ARN
6	**Domestic invoice template**	CGST/SGST or IGST, TDS note, MSME declaration	CA	Annually
7	**Credit note template**	Section 34 corrections referencing the original invoice	CA	—

8	**Rate card**	Three tiers, retainers, packages, rush and travel policy, payment terms	You	Annually, in December
9	**Proposal / SOW skeleton**	Summary, objectives, scope, out-of-scope, assumptions, timeline, commercials, acceptance, change control	You	Continuously
10	**Discovery call question set**	Situation, cost of inaction, decision process, budget range	You	Continuously
11	**Case study template**	Situation, quantified problem, what you did, result, quote	You, plus client written permission	After each engagement
12	**Cold outreach sequence**	Four emails at day 0, 4, 11, 75	You	Quarterly, based on reply rates
13	**Dunning sequence**	Four emails at +3, +14, +32, +55 with escalating audience	Advocate for the formal notices	Rarely
14	**Rate increase email**	60–90 days' notice, value anchored, two options	You	Annually
15	**Sub-contractor agreement**	Back-to-back with your client terms; IP assignment to you; confidentiality; TDS acknowledgement	Advocate	Every 2 years

16	**Data Processing Addendum**	DPDP Act 2023 processor terms; GDPR Article 28 terms for EU clients; sub-processor list; breach notification	Advocate / privacy counsel	Annually, and whenever the DPDP Rules phase in
17	**Security statement**	One page: device encryption, MFA, password manager, backup, access control, incident process. Answers 70% of vendor questionnaires.	You	Annually
18	**Security questionnaire answer file**	Your standard answers to the 120 questions enterprises ask	You	After each questionnaire
19	**W-8BEN / W-8BEN-E** plus the withholding covering note	US clients	Cross-border tax adviser	Every 3 years, or on change of circumstances
20	**Registration pack PDF**	PAN, GSTIN, LUT ARN, Udyam, bank details, insurance certificate, in one file	You	Annually, in April
21	**Invoice and realisation register**	Invoice number, date, client, currency, amount, INR at CBIC rate, due date, date paid, INR received, FIRA reference, SOFTEX reference	CA	Weekly
22	**Fixed asset register**	Purchase date, put-to-use date, cost, block, depreciation,	CA	On each purchase

		WDV — maintained even on 44ADA		
23	**Client red flags note**	One page of the signals that preceded every bad engagement you have had. Read before every new contract.	You	After every bad experience
24	**"If I'm not here" note**	Where the client list, bank details, outstanding invoices, passwords and CA's contact live, for your family	You	Annually

✓ **If you do only five things from this guide**

(1) Open a separate current account and move a fixed tax percentage into a separate reserve account on the day every payment lands. **(2)** Set a 20 March calendar reminder to file next year's LUT, and a 14 March reminder to pay the whole year's advance tax. **(3)** Build your rate from a target income divided by **1,000–1,350** realistic billable hours, not 2,000. **(4)** Put four clauses in every contract: change control, payment terms with a suspension right, IP assignment conditional on payment in full with a background-IP carve-out, and a liability cap at 12 months' fees. **(5)** Ask every satisfied client, in writing, for one introduction. That last one will out-earn the other four combined.

✗ **Final reminder**

This guide is educational material written as at **FY 2025-26 / early 2026**. It is not legal, tax, accounting or financial advice, and it is not a substitute for a Chartered Accountant or an advocate advising on your actual facts. Section numbers follow the Income-tax Act 1961 and will change when the **Income-tax Act, 2025** takes effect from **1 April 2026**. GST rates reflect the position after the **September 2025 rationalisation** and must be confirmed for your SAC code. The **DPDP Act 2023 Rules** are phasing in. Verify every rate, threshold, fee, form number and due date on **incometax.gov.in**, **gst.gov.in**, **rbi.org.in**, **dgft.gov.in**, **stpi.in**, **udyamregistration.gov.in**, **mca.gov.in** and **ipindia.gov.in** before you act on it.